Jindal Saw Ltd. (JINDALSAW)

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Sub. : Intimation under Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Investor conference call on the financial results of the Company

Dear Sir /Madam ,

This is with reference to the captioned subject and our letter dated May 12 , 2023 , the transcript of the conference call organized by the Company for analyst and investors on the audited financial results of the Company (Q 4 FY23 Results) held on Thursday, May 18, 2023 at 5:00 PM IST is attached and the same has also been uploaded on the website of the Company.

This is for your information and record please.

Thanking you,

Yours faithfully,
For JINDAL SAW LTD.,

SUNIL K. JAIN
COMPANY SECRETARY
FCS : 3056

“Jindal SAW Limited Q4 FY23 Earnings Conference Call”

May 18, 2023

MANAGEMENT : MR. NEERAJ KUMAR – GROUP CEO & WHOLE -TIME DIRECTOR
MR. VINAY GUPTA – PRESIDENT & HEAD (TREASURY)

MR. NARENDRA MANTRI – PRESIDENT & HEAD
(COMMERCIAL) AND CFO
MR. RAJEEV GOYAL – VICE PRESIDENT -GROUP CORP .
FINANCE & TREASURY)

MODERATOR : MR. VIKASH SINGH , PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Jindal SAW Q4 FY23 Earnings Conference Call hosted by PhillipCapital (India) Private Limited .
As a reminder, all participants' lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference ove r to Mr. Vikash Singh from PhillipCapital (India) Private Limited . Thank you and over to you, sir.
Vikash Singh: Good evening everyone. A very warm welcome for the Jindal SAW Q4 FY23 Earnings Call . From the Management side, today we have with us Mr. Neeraj Kumar – Group CEO and Whole - time Director; Mr. Vinay Gupta – President & Head (Treasury); Mr. Narendra Mantri – President & Head (Commercial) and CFO; and Mr. Rajeev Goyal – VP-Group Corp. Finance & Treasury
Without taking much time, I will hand over the call to Mr. Neeraj Kumar for the opening remarks. Over to you, sir.
Neeraj Kumar: Good afternoon friends. I welcome all my stakeholders on this call. I need to thank all of you for your patience, perseverance, and continued interest in us. Yesterday, we had our Board meeting which followed the audit committee meeting. The results have been announced and I am sure all of you are in receipt of details of the results, performance, and guidelines for the future.
We are delighted that all our hard work on many fronts is beginning to now show some results. This process was temporarily kind of disrupted, halted, first by the pandemic, then by the extremely volatile commodity prices, but we stayed course and now I am happy to tell you that the results are beginnin g to show. This year ended 31st March '23 appears to be a watershed year. There is a clear demarcation. If you see the first 2 quarters' performance and then you see the 3rd quarter performance, clearly it shows a breakaway.
The 4th Quarter performance act ually is the first very strong data point towards a trend and coupled with other fundamentals which are shared with you – the corporate structure, the order book position – there is enough confidence that we would be able to sustain this momentum that has been created. We have always been saying Jindal SAW business model is very well thought out, it is unique, it is robust, and it is sustainable. We have chosen as a constant management, you can say strategy, policy, or goal to give up the short -term flashes in the pan and we have chosen for a very sustained long -term movement where the momentum carries on. That held us very well during pandemic where our suffering was largely reduced. It was kept within a manageable level. Immediately over the pandemic effect the moment the business environment turned in our favor, there was a tailwind from the government on infrastructure spent. Some of

their major initiatives gathered more momentum. We were absolutely ready and we are beginning to see the results. The results are in front of all of us.
Very quickly, let me just walk you through some of the numbers, and I won't go into too much of nitty -gritty's and details because it's important to understand on at what juncture we are at and from here what do we see fo r our future. So, let me first start with the annual numbers. Standalone, Rs. 15,703 crores of top line which is the first time ever we crossed Rs. 15,000 crores. EBITDA of Rs. 1,827 crores. Out of those if you have read the notes, Rs. 197 crores is just a ccounting entry. Removing that, the EBITDA is Rs. 1,630 crores as opposed to Rs. 1,385 crores last year. So, a turnover of Rs. 15,703 crores and EBITDA of Rs. 1,630 crores as opposed to a turnover of Rs. 11,243 crores an

d EBITDA of Rs. 1,385 crores last ye ar. If you look at the
financial charges, Rs. 369 crores versus Rs. 529 crores, there is a Rs. 50 crores forex impact which is just change in rupee. So, for a like -to-like comparison, this Rs. 50 crores needs to be removed from the financial expenses of Rs . 529 crores and then if you see the increased business performance, you would see that the financial charges are on track.

PBT of Rs. 924 crores which, again, removing the impact of Rs. 197 crores, a PBT of Rs. 727 crores as opposed to Rs. 637 crores. Thi s gives you a happy picture. But as I have already said in my opening remarks, let's look at the 4th Quarter because that appears to be the trendsetter. A turnover of Rs. 4,676 crores as opposed to Rs. 4,641 crores and EBITDA of Rs. 590 crores and a PBT of Rs. 356 crores as opposed to Rs. 440 crores which is appearing there.

If we take all of these into account, that would give you a sense of what the quarterly performance has been. A turnover of more than Rs. 4,500 crores and EBITDA of close to Rs. 600 cro res or Rs. 590 crores and a PBT of close to Rs. 350 crores at the last quarter. Now, if you look at our order book and the way we have created the capacity and the operations, we are very hopeful that we should be able to sustain this and we should be able to carry this momentum forward.

A very quick comment on the consolidated numbers. Top line is Rs. 18,000 crores. Rs. 1,844 crores is your EBITDA. Here we don't need to make that impact of Rs. 197 crores because that gets collapsed on consolidation; this i s the real EBITDA, a PBT of Rs. 736 crores. As we have been saying, the subsidiaries have also started contributing. Although this year Abu Dhabi has been profitable, but in terms of its relative to its last year's performance, it is on a lower side primar ily because of the commodity prices. For the current year, we expect to do far better, even may exceed the year before' s performance for Abu Dhabi. Similar is the case for the US. These subsidiaries are no longer a drain, financial support is not being gi ven anywhere, and they are contributing. This year, in the current year, we expect their contribution to improve from what they did last year. It is very important; order book position $1.4 billion which is a shade better than our sweet spot and we hope th at this momentum will continue. There is enough demand. The water segment is doing very well in India. Oil & gas prices are sustaining because of the macroeconomic factors and the demand in oil & gas is also looking good. We have had some very prestigious export contracts. So, if you really see this year's performance and if you

distribute it over export versus import, various segments, and various industries, it's a very balanced growth. The order book also gives us a lot of confidence that there are no sp ikes. It is a very balanced and a robust growth all around. More importantly, all of you keep a watch – our treasury team keeps a very sharp watch – the debt has reduced. The term loan is now Rs. 1,000 crores which is if you really make any comparison with anything, it is far superior than any benchmark in the peer group. So, the debt position is very good. The bankers' position is very good. They are very well disposed towards us and we are hopeful that the bankers' support will continue for our this year' s increased performance, improved performance.

Let me now touch upon some of the other highlights which I am sure would be of interest to you:

During the year, we saw the pellet's price having some correction primarily because the commodity prices correcte d. Most importantly the commodity prices thereby the raw material prices have corrected and we expect that now for a few years going forward, this would indeed remain the case, and therefore, the next year's performance we are very hopeful that we would

be able to continue this momentum throughout the year. In fact, from the place where we are looking at, we think and we have a lot of confidence with a high level of probability that we can see about 15 to 18 months of very good performance.

That is what we have at this point of time. Definitely, 15 to 18 months we think we can definitely have visibility, we have enough visibility. On the debt side, no major acquisition is now planned up beyond Sathavahana. On Sathavahana, I must say a very good effort by Nar endra Mantri who led the structuring and the other acquisition everything and very ably Vinay would arrange all the financing on time. The NCLT order that we have received is a classic order – takeover, merger, all in one stroke. As we speak, Sathavahana i s a division of Jindal SAW Limited, the South India DI division, which DI capacity has now been enhanced to over 7.5 lakh tonnes. The DI segment is seeing a lot of traction because of the water segment, the push of Jal Jeevan Mission, this being an electio n year. So, it looks like the timing of this acquisition is very opportune and we would be able to make a good start. During this intervening period, it was made sure that the plant is in working condition. All the equipment's have been refurbished, and today, the plant is in a running condition and we expect a full year performance of Sathavahana to come into Jindal SAW as well. That's one good acquisition which is going to be a stepped function with the full year performance of Sathavahana into Jindal SAW as a division.

I already said, Abu Dhabi, the demand is very good. This year's performance would definitely return to the previous year – means not the last year but the year before – a very good likelihood it can exceed that as well. The US also, the sam e. Others also, if you have been following our news very carefully, a few other subsidiaries in related field like stainless large diameter which were created have been incubated and now are getting merged. Now, Jindal SAW in India would be one mammoth ent ity. It would have an American subsidiary and it would have an Abu Dhabi subsidiary all focused on pipes, absolutely clean corporate structure that is where, and we wish to continue with this kind of a business model because all the other subsidiaries, all the other

associates, all the other companies in the PR Jindal Group, the good news is that now each one of them is standalone, viable, and they are all rising to their own potential so that there is absolutely no pressure within the group on any capital call on any of our businesses. All the businesses have now come out of age and are doing well rising up to their potential. We are also seeing that the supply chain, the important components of ocean freight, etc., are kind of stabilizing and are likely to move within a corridor.
At the end, I must say thank you to all for being with us, for your patience, and for your perseverance. It looks like the early results of all the tough decisions, the difficult path that we had chosen for ourselves, the business model, and the corporate structuring, all the efforts are now beginning to bear fruit and we have all confidence that it would sustain. With that, let me just stop. I would definitely be able to take some questions; we have some time. Thank you all once ag ain for being with us.
Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The first question is from the line of Dhananjay Mishra from Sunidhi Securities & Finance . Please go ahead.
Dhananjay Mishra: Congratulations for a very excellent performance and also a very strong commentary; especially for the last quarters, we have done very well and also you have done remarkably well in terms of balance sheet debt reductio n. So, my question is with regar

d to, if domestic opportunity which
we have mentioned in the press release as well, Jal Shakti Mission and then 15,500 km gas pipeline will be added over the next 3 -4 years, what is the kind of opportunity from the industry perspective we will have in terms of steel pipe in both the segments like water segment as well as the gas pipeline segment? In terms of you can give some value or whatever for the next 2 -3 years for the industry.
Neeraj Kumar: The commentary that probably you are referring to, it reflects the vision of the current government, and again, if you look at the current political scenario in the country, it would be safe to say that there is a more than 50% chance that there would be a continuity in the governmen t. Then, all of these must fructify. Also, many times that we have a confidence that the kind of position that now this government has taken the policies or initiatives for the economy, directionally to make a huge change may not be possible. Some tweaking of priority emphasis might happen. Having said that, a) With a more than 50% probably of the current government to continue, we believe all this will translate into real demand. b) Even assuming the other way, there would be some tinkering in the priority but the direction is not going to change. So, both the oil & gas and water segment will remain very strong. Very important now we should not miss the track on. The industrial sector and the defense sector are going to become very strong, and that is a big market for our seamless stainless segment. We have made inroads into nuclear, defense, and space technology. We are getting into instrumentation tubes and higher -grade value -added products. That is again something that we are very encouraged and

that woul d give us robust demand on multiple fronts which would help an organization like ours because we have that robust business model.
Dhananjay Mishra: My question was with industry size per se in terms of piping. For export market or the US market, we have se en volatility in the last 2 -3 years but domestically we have not seen apart from COVID hiccups. Things have started moving in the last….
Neeraj Kumar: There would not be any volatility. The demand would sustain because these are all likely to be in terms o f either government initiatives long -term or large projects. So, the demand would sustain. If you see the Jal Se Nal Mission, the water grid in every state would continue to come up one after the other. Likewise, all these oil & gas pipelines are very larg e projects and they are all likely to continue. They will all fructify. Please see all the oil majors, the refiners, and all those companies like GAIL or ONGC whatever they have to say. They all are pointing towards a sustained growth over a period of time .
Moderator: We have the next question from the line of Hetal Gada from Max Life Insurance. Please go ahead.
Hetal Gada: Sir, a couple of questions from my side. Firstly, just wanted to understand how you are planning to ramp up the Sathavahana assets. Wha t are your plans and any ramp -up guidance that you can

give us for FY24 and FY25?
Neeraj Kumar: Ramp -up guidance means Sathavahana is focused on DI. It is focused on battery and power. We already are leaders in all of those. So, we are on the curve. We don 't have to learn anything new there. The plant, as I already told you, has been made sure that it is refurbished. It is in absolutely good working condition. So, we have a very strong view that for the full year, we should see a good performance from Satha vahana because the order book is already there. If you see the order book in DI, it covers a lot of orders from south where we have a freight advantage and will all come from Sathavahana. You can take it that Sathavahana is a running train. It's not a trai n which is going to leave the station. It's a runnin

g train; so, it will gather momentum, and it will cover its distance throughout the year.
Hetal Gada: Actually sir, what I was trying to understand that since in our Gujarat plant, we are already operatin g at 100% utilization; so, in the DI segment per se, how much incremental volumes can we build in? That was my main question. Hence wanted to understand given that south is a very big market in itself.
Neeraj Kumar: Sathavahana has a capacity of 2 lakh tonnes. And as I told you, it's a running plant. So, we expect a very high level of capacity utilization.
Hetal Gada: Secondly sir, given that the order books that you had and the margins that you have reported for this quarter, you have also mentioned that you have received good orders from export market and even in the larger diameter pipes, any guidance on the margin profile for these pipe orders?

Neeraj Kumar: If you look at my 4th Quarter EBITDA without that other income, the book accounting entry income, it is around 12.6%, closer to 13%. So, EBITDA as a top line is 12.6% for the 4th Quarter . We expect to improve upon that during the year, primarily because the impact of the commodity prices on the raw material would have completely weaned off. So, we expect to improve on that.
Hetal Gada: Sir, on your order books also can we say this kind of run rate can be maintained? Because it shows a healthy revenue stream for us. And given the demand prospects that you are confident on, how would you see the de mand pockets from international markets as well as from the domestic markets? Can you just throw some light on that?
Neeraj Kumar: We see both staying firm. There could be some volatility in the US, but anyway, our export to the US as a total pie is not th at significant. And therefore, for us, the demand both in the domestic and export market should remain firm because now more or less if you see Ukraine and Russia also, things are now settling down and the world is waking up to the new reality. And America being too far, which is not one of our prime export markets, for us, as I said, we see a very stable export market.
Hetal Gada: Sir, there were a lot of key pipelines that were being planned in Europe. Any color on that whether we are participating in the se orders or….?
Neeraj Kumar: We would definitely participate.
Hetal Gada: And anything that we have received from there if you can comment, sir?
Neeraj Kumar: We don't typically keep on announcing order -wise, but Europe we have been strong suppliers, we are very strong in MENA region, and we would continue to do so.
Hetal Gada: And these orders, if I may ask, are mainly towards the oil & gas segment?
Neeraj Kumar: Water as well.
Hetal Gada: If you can give me a rough breakup of what percentage will be towa rds oil & gas?
Neeraj Kumar: Why don't you check with Rajeev? He can give that breakup to you tomorrow. Domestic versus export April '23 in the order book, oil & gas sector , between oil and water, it is like 3:1 and domestic and export in oil is 1:1 and wa ter sector's domestic versus export is 2:1. It's there in the commentary. If you read, there is a table which would give you that breakup and it will answer all your questions.
Hetal Gada: Lastly, any guidance on CAPEX for FY24 and FY25?
Neeraj Kumar: No m ajor acquisitions. Normal CAPEX .
Hetal Gada: And what will be the rough maintenance CAPEX or sustenance CAPEX for us?

Neeraj Kumar: Normally we do Rs. 300 crores to Rs. 400 crores.
Moderator: The next question is from the line of Deepak Poddar from Sapphir e Capital. Please go ahead.
Deepak Poddar: Sir, I just wanted to check one thing. We have mentioned that commodity prices have corrected. That will benefit the EBITDA margin over the course of the period, right? Over this year? What sort of delta we

are looking at or what sort of improvement in margins we are talking about here
which will largely be driven by the commodity prices correction?
Neeraj Kumar: As I told you, we see an improvement in the EBITDA margin over the last quarter which is 4th Quarter which is currently at 12.61%. We definitely see an improvement over that, but if you ask me to put a number on it forward looking, I am sorry, I will not be able to give you an exact number.
Deepak Poddar: In terms of growth as well, we have been talking a bout good demand and good order book scenario, right? What sort of growth range you are looking at this year FY24?
Neeraj Kumar: Let me just tell you, the growth trend of '22 versus '23, we are likely to maintain that trend in the coming year as well.
Deep ak Poddar: In top line, right?
Neeraj Kumar: Yes.
Moderator: The next question is from the line of Sahil Sanghvi from Monarch Networth Capital. Please go ahead.
Sahil Sanghvi: My first question is regarding the Sathavahana asset. The 4 -lakh tonne coke oven plant that we have over there, will we be also selling out some portion of the coke volumes in the open market? What is the internal captive usage and how much capacity will we be using for external sales?
Neeraj Kumar: The coke capacity is in excess of w hat can get consumed at the Sathavahana unit, but then there is a possibility of getting that coke either to our Abu Dhabi or our Samaghogha unit. At this point of time, do we have a huge plan to sell the coke in the open market? The answer is no. We will try and distribute it and use it among our units. I think it is better to do that because, again, after that correction of commodity prices, selling coke in the open market may not fetch a huge margin.
Sahil Sanghvi: My second question is, is there any slowdown in terms of line pipe orders coming from oil & gas, especially for transmission of oil & gas? Are you seeing any kind of slowdown, especially from domestic market?
Neeraj Kumar: Let me put your question in perspective. Oil & gas is always a projec t-based demand, and therefore, there would be a trend. It would never be a quarter -on-quarter growth or a quarter -on-

quarter slowdown. There are enough projects in the pipeline but the tenders are always timed and they don't have a certain pattern. So, to answer your question; on the horizon, are there a lot of oil & gas projects, the answer is yes. But can we put a finger on that this contract or this tender will come in a particular month, the answer is no. It may be a few months here and there but very r obust demand. For a strong player like us with a strong order book, we will definitely keep our order books full and we will stay busy. That much confidence we have.
Sahil Sanghvi: My third and last question is regarding Jindal ITF versus NTPC. What can we expect during the 23rd of May 2023 hearing? Where are we on those terms and what can we expect on this hearing now?
Neeraj Kumar: I will just read out one sentence from the court order regarding 23rd May hearing that now no adjournment shall be allowed un der any circumstances. The court has finally woke up to the fact it is really a little longish order where they have captured this and finally concluded that 23rd the argument has to begin. No more adjournments would be allowed. Then, we hope that it shoul d reach a conclusion pretty soon because if you really see the merits of the case, it's an open and shut case.
Moderator: The next question is from the line of Abhishek Maheshwari from SkyRidge Wealth Management. Please go ahead.
Abhishek Maheshwari: Firstly, many congratulations on great set of numbers. All of our clients are very happy to see their portfolios today. Sir, two questions. Your volume growth has been good this year in terms of overall volume growth in terms of all sites. If I may ask what you

r capacity utilization is at
the moment on overall basis?
Neeraj Kumar: Earlier also, I have answered this question on a few calls. Let me try and make a one more attempt. Capacity utilization for different units means different things. In pellet, we are a lmost at capacity. In DI, we are almost at capacity. In seamless and stainless, we are around 75% to 80% of capacity. In large diameter, capacity does not mean much except it would suffice if I say that we have enough capacity to take care of all these for eseeable demands largely because in large diameter, the capacity utilization doesn't mean much because there is so much of variation in the pipe sizes that those statistical benchmarks do not mean much. So, to answer your question, I have answered it in a manner where let me repeat – Pellet, we are near capacity; seamless, 75%; stainless, same; DI, near capacity; and enough capacity to deal with all the large - diameter segments all the orders that are coming.
Abhishek Maheshwari: So, the peak operating lever age for Jindal SAW has still not been reached, right? At 14% EBITDA you are at, at the moment. If the demand is good, outlook is good….
Neeraj Kumar: No, we haven't reached the peak as yet. In fact, I have answered in one of my previous questions;

I have a lready given you a guidance that '22 compared to '23, we are expecting a similar trend in '24. So, we are nowhere close to the peak. We still have a few paces to go before probably we

would require a new cycle of CAPEX or capacity expansion or mergers and acquisitions. Before we get into that, that's a stepped function. We still have enough available potential to go a few steps more.

Abhishek Maheshwari: Second question; sir, I was surprised to hear your positive commen tary in the USA. We might be wrong but from what we are hearing in news and everywhere, there is recession, debt freezing crisis all that. So, we were quite surprised to hear a positive commentary about your USA demand. Can you share some thoughts about th is?

Neeraj Kumar: What you are seeing is the global scenario of US economy, debt crisis and all that. If you see we are that way a pretty small insignificant operator in the US where the subsidiary of Jindal SAW is a job worker. It does take pipe and coats largely for the oil & gas sector. That sector is doing reasonably okay, and therefore, we are doing good. The other PR Jindal Group companies have nothing to do with Jindal SAW, and therefore, this commentary is no relating to them. But this Jindal SAW US A which is a coating facility which largely does job work of taking free supply of pipes, coating them, and giving it to their customers is doing reasonably well because the oil & gas sector there is sustaining and is maintaining its performance. What you are talking about is the larger American economy. There, this comment doesn't hold true in that context.

Moderator: We have the next question from the line of Pratiksha Daftari from Aequitas Investments. Please go ahead, ma'am.

Pratiksha Daftari: My first question is on the seamless division. What kind of volume growth do we expect in this year?

Neeraj Kumar: Seamless this year performance which is 31st March '23 was also a reasonably good performance. We would improve upon that in the coming year. We have an order book, we have enoug h operational headroom so we should improve upon that.

Pratiksha Daftari: Since we are expecting that commodity price pressure is not going to be too high this year and we don't have any other major CAPEX plan, what kind of debt reduction plans do we have for this year both long term as well as short term?

Neeraj Kumar: Long -term debt is already Rs. 1,000 crores and as we have said, it will follow its repayment trend. We would not try and accelerate it because then the banks star t insisting on prepayment and all that premium. So,

we are going to follow the repayment trend which roughly we have seen in a year it comes to around Rs. 300 crores. As far as working capital is concerned, there is one positive comment that now because of the infrastructure push, we may see a reduction in the working capital cycle because the government if they want a fast implementation, they may start paying us early. But having said that, working capital for a business like ours is a trade finance drive n business. The more business I do, the more trade finance I am likely to use. Therefore, it is difficult to say that in absolute terms there would be a reduction in working capital. But in percentage terms, in relative terms, in terms of DSO (days of sale outstanding),

in terms of working capital cycle, we would definitely improve upon that as we have done during this year.

Pratiksha Daftari: What kind of forex impact did we have in our interest expenses in the quarter?

Neeraj Kumar: Okay, you missed my op ening remarks. Out of the Rs. 529 crores that we pay, Rs. 50 crores is on account of movement in foreign exchange.

Pratiksha Daftari: What would be the effective cost of debt for the company right now?

Neeraj Kumar: My WACC is below 10.

Moderator: The next question is from the line of Aman K R Sonthalia from AK Securities. Please go ahead.

Aman K R Sonthalia: In the consolidated, the other income part is not there, this Rs. 201 crores?

Neeraj Kumar: Yes, because most of the other income that we have is with our subsidiaries by way of loans and given on interest. It all gets collapsed when you consol.

Aman K R Sonthalia: Sir, you are talking of 15 months to 18 months visibility is there, but on a medium -term basis, how do you see the visibility of the bus iness?

Neeraj Kumar: The kind of hard work that we have done in Jindal SAW, the kind of business model that we have been able to build, we are confident that as long as the economy supports, we would continue our trend in the medium term.

Aman K R Sonthali a: What is the scope of business in Hunting Energy? How it will get the business to the company?

Neeraj Kumar: This is one aspect that I have not touched upon. The Jindal Hunting joint venture is definitely getting commissioned during this calendar year fo r sure. That would give a fillip to your

seamless market because it is one of the facilities of its kind in this part of the world, which both Hunting and us are classifying as a center of excellence for premium connections in the OCTG market. That's a ver y profitable market. It's a huge market. It's an import substitute as far as India is concerned, and it has a very good potential in the MENA region and in this part of the world, Africa also. In fact, one of the things which is giving us confidence is the higher value -add product which is the 13 chrome, the CRA and the higher chrome. We may be able to even serve the global market because of the cost advantage that we have in putting this JV into the country. So, few bullet points for your guidance. Commiss ioning happening definitely. Huge potential in India and abroad. And expect this to be a very profitable venture because of the value -added segment and being the only facility of its kind in this part of the world.
Aman K R Sonthalia: Sir, what type of turnover we can expect when it is running at full capacity?

Neeraj Kumar: Let me answer that for you in the next quarter. Let's get closer to the launch and then maybe I would be able to give you some guidance because again it depends on the ONGC tenders a nd all of those. We have to see a calendar. It has a potential, but again, since it is going to be a contract -based operation, it's better that I give you some guidance in my next quarter con -call.
Aman K R Sonthalia: Sir, how is the margin in the domestic market compared to e

xport market?
Neeraj Kumar: You are talking about what? Hunting or Jindal SAW?
Aman K R Sonthalia: Jindal SAW.
Neeraj Kumar: Jindal SAW at present it balances out. Why it balances out because exports are largely very large projects and large projects some have very good margins, some we take it; they don't have. But if you take on an average export versus domestic, it balances out. We expect now the export market to give us a little more margin because the ocean freight is likely to set tle down.
Aman K R Sonthalia: Sir, one last question. How is our pellet plant different from other pellet plants in the country?
Neeraj Kumar: Geographical location. Pellets being made from beneficiation of low iron ore. Very good quality pellets in terms of we can go up to 67. When I say 67, I mean 67% Fe content. And the physical quality of our pellets is far superior to some of most of the other domestic pellets. Therefore, we have a very good export potential even in countries like Korea.
Aman K R Sonth alia: So, is there any scope for expansion in the pellets front?
Neeraj Kumar: We are at 1.7 million. Through the improvements in our processes, we have gone from 1.5 million to 1.7 million and we hope that we will be able to do that addition during the ye ar for which we have got all the environmental clearance and all that.
Moderator: The next question is from the line of Radha from B&K Securities. Please go ahead.
Radha: Firstly, on the tax rates. This year, we have moved to new tax rate. Just wanted to u nderstand what tax rate should we expect for the next few years?
Management: Between 26% to 27%.
Radha: Secondly, you were answering a question for the previous participant on Hunting JV. I read in the results blog that we have invested Rs. 15 crores this year in this JV and previously you had mentioned that we have plans to invest including working capital of around Rs. 400 crores. Till date, how much have we invested in this JV? And if you say that this is a premium product, then the margins of this will it be comparable to the stainless -steel products or even higher than that?
Neeraj Kumar: Let's distinguish a few things. When we say that we have invested Rs. 15 crores into the JV, it is an investment that Jindal SAW has made into the joint venture as equ ity contribution. When

you say a project of Rs. 300 crores or Rs. 400 crores total, that means my equity contribution and Hunting equity contribution; term debt for project; and on top of it, the working capital that the banks would provide for the busines s. That 300 or 400 number I don't know where you have got it from but that number talks about total exposure which is, I repeat, my equity or Jindal SAW's equity, Hunting's equity, term loan, and working capital and also I will be happy to tell you that th e project is financially closed; means all of those have been arranged. As far as Jindal SAW is concerned, the contribution is only Rs. 15 crores which is likely to stay put for the next few years. We are not looking at anymore equity investment because as I told you, the project is financially closed.
Radha: And sir, on the margin.
Neeraj Kumar: As far as the margin is concerned and that is whereas I said, I am saving this detailed explanation for the next quarter. Please don't again get confused. Jindal S AW would be a supplier of raw material to Hunting, which is pipes. All the premium connection and the revenue and the margins would come into the joint venture which is the Jindal Hunting joint venture. Even though it's a 51% joint venture, so in consolida tion, the impact would come. But when you are living a

standalone, Jindal SAW, all you will see is increased pipe production and value addition in terms of pipes of a higher grade like 13 chrome, 18 chrome, T91 and all of those.

Radha: One more question on the JITF and SULOG Trans shipment business. Since we are merging these two subsidiaries, just wanted to understand that are these subsidiaries operational and….?

Neeraj Kumar: Now you know but for the NTPC arbitration, we just run those barges which are again sustaining by itself. We don't have any major contract and we don't intend to do any major business in that segment. As I told you, there the only thing that we are waiting for is a few arbitration and litigation that we have.

Radha: What is the plan post the litigations are over with NTPC with respect to these two subsidiaries?

Neeraj Kumar: With the barge operations, we can just continue because it has again come to a very nice platform where it doesn't take money, it doesn't ask for anything from o utside, and at the same time, it just sustains itself and gives us some, you can say, change.

Moderator: Ladies and gentlemen, for paucity of time, that would be our last question for today. I would now like to hand the conference over to Mr. Vikash Singh for closing comments. Over to you, sir.

Vikash Singh: I just want to thank Jindal SAW management for giving us the opportunity to host them. And over to you Neeraj sir for any closing remarks.

Neeraj Kumar: Once again, thank you very much. I really appreci ate and acknowledge the support that we have got from our stakeholders and friends. In the last few calls, I did express that fundamentally we are doing everything okay but somehow market is not seeing those changes. Now I am happy to

see that at least aga in there seems to be a little breakaway. Market is slowly but surely beginning to look at our fundamentals and I assure everybody that we are on the right track. We have done everything and we will continue to do everything to create the stakeholders' weal th. With this, I would like to close with a warm welcome and to give all of you a confidence that we will come back with our 1st quarter results which would be a buildup on what we have shown so far. Thank you all very much and hope to see you on the 1st q uarter call.

Moderator: On behalf of PhillipCapital (India) Private Limited , that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Oct 2023

October 31 , 2023

The Manager BSE Limited
Listing Department P. J. Towers,
National Stock Exchange of India Ltd. Dalal Street,
'Exchange Plaza', C -1, Block -G, Mumbai – 400 001
Bandra -Kurla Complex, Bandra (E) Scrip Code : 500378
Mumbai – 400 0 51
Scrip Code : JINDALSAW

Sub. : Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Investor conference call on the financial results of the Company

Dear Sir /Madam ,

This is with reference to the captioned subject and our letter dated October 20, 2023 , the transcript of the conference call organized by the Company for analyst and investors on the unaudited financial results of the Company (Q 2 FY24 Results) held on Friday, October 27, 2023 at 4:00 PM IST is attached and the same has also been uploaded on the website of the Company.

This is for your information and record please.

Thanking you,

Yours faithfully,
For JINDAL SAW LTD.,

SUNIL K. JAIN
COMPANY SECRETARY
FCS : 3056

"Jindal Saw Limited

Q2 FY '2 4 Earnings Conference Call "
October 27 , 202 3

MANAGEMENT : MR. NEERAJ KUMAR – GROUP CHIEF EXECUTIVE OFFICER AND WHOLE -TIME DIRECTOR – JINDAL SAW LIMITED
MR. VINAY GUPTA – PRESIDENT AND HEAD, TREASURY – JINDAL SAW LIMITED
MR. NARENDRA MANTRI – PRESIDENT , HEAD, COMMERCIAL AND CHIEF FINANCIAL OFFICER – JINDAL SAW LIMITED
MR. RAJEEV GOYAL – VICE PRESIDENT , GROUP CORPORATE FINANCE AND TREASURY – JINDAL SAW LIMITED

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Jindal Saw Limited Q2 FY24 Earnings Conference Call hosted by Phi llipCapital India Private Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Vikas h Singh from PhillipCapital India P rivate Limited. Thank you and over to you, sir.

Vikas h Singh : Good evening everyone. On behalf of PhillipCapital , I w elcome everyone on Jindal Saw Q2 FY24 con call. From the management side, we have with us Mr. Neeraj Kumar, Group CEO and Whole -Time Director, Mr. Vinay Gupta, President and Head, Treasury, Mr. Narendra Mantri, President, Head, Commercial and CFO and Mr. R ajeev Goyal. Without taking any m uch time, I would hand over the dais to Mr. Neeraj Kumar for the opening remarks. Over to you, sir.

Neeraj Kumar: Good afternoon. Good afternoon, friends , a very warm welcome to all our stakeholders. Yesterday, we had our board meeting and the results are all in front of you. First, I would like to just take you through some of the numbers just to build a context. Then I would address some of the points which we believe would be most of the people would want to know and the n I would be there, happy to answer any more questions if we have not covered those aspects as well.

So, first highlight of the results. The second quarter, 23, top line INR4,611 crores, EBITDA 751, PBT 474 and PAT 348. Now, that is respective if you look at the trailing quarter, it is 37% growth on top line, no 20% growth on top line, 22% growth on the EBITDA, 26% and 25% respectively on PBT.

On the year on year, the growth appears to be much more significant because as we have been saying, now Jindal Saw platform or Jindal Saw performance has gone to a completely different platform altogether and as we have indicated in some of our earlier calls that this year is the breakaway year where we see that last year was the best ever. This year is likely to be better than that as well. So, it is a best over a best and it will put Jindal Saw on a different platform of performance.

If you look at the consolidated numbers, a similar pattern is emerging. Gross income 5400, EBITDA 827, PBT 496, PAT 356. Now, this ag ain you would see that the subsidiaries all around the world have started contributing and that trend is likely to continue.

So, if you look at the quarter result, both consolidated as well as standalone, this is probably one of the best quarters at both levels. When you see such a quarter result, a natural question that would come in everybody's mind and let me answer that upfront for you, is this a flash in the pan or this performance can be sustainable and for how long? So, a simple answer, we are at th e mid of the year.

This year, there is a complete visibility of the performance sustaining or even bettering. The demand is such that at least for the next 12, 18, 24 months, the trend should be similar. We may not see a similar rate of growth or the stee pness of curve, but the results will show an upward trend, will maintain and sustain.

We already have a visibility for the next two, three quarters and enough demand, enough factors to suggest that we have indeed arrived at a completely different level of fundamental strength. And we will talk about that fundamental strength in a bit. A few important other highlights, order book of 1.4. If you see, our sweet spot used to be about 1. During the co

mmodities volatility

time, we had deliberately bought it down to around 700, 600. Now, we are hovering around 1.4 and we wish to maintain it around 1.4 , because we do not want to bloat the order book and expose ourselves to a very long term delivery. Because then the issue of raw material prices, other prices, infla tion, customer satisfaction, many things come in.

So, 1.4 or around 1.4 is the new sweet spot that we have found after or in the new business model for Jindal Saw. As we have always been maintaining and emphasizing that we have a very strong discipline and is being maintained. Please look at the trend.

Turnover goes up, business goes up, working capital requirement goes up, but overall debt is under control and is showing a trend. Again, it's not a flash in the pan. It's showing a downward trend, which is s ustaining, which is a testimony of that, yes, we do have an active treasury. We do have a disciplined financial management system and we do care, monitor and work towards keeping the debt under check.

I'm sure all of you would have noticed. The rating agen cies have also upgraded us. Now we are at AA with a stable outlook, which is good enough. We are among the best rated among our peers and this is where we always belonged and very soon we have found our home position even from our rating agencies. Banks, f inancial institutions, we maintain a very good relationship.

So resources has never been a concern for us and in the near future, we don't see resources ever coming in the way of our performance. We have enough resources, whether it be financial or other resources at our command. The company's fundamentals are very strong.

So very briefly, having covered the financials, just to give you a perspective, I'm sure all of you have the much more detailed results in front of you and you would have got a chance to look at it. Let's first talk about now some of the qualitative aspects which gives us confidence that indeed

our performance is robust, sustainable and is a result of a lot of hard work that has gone over the last few years.

So business model, one of the most diversified product portfolio in the world, in the pipe and tube industry, covering varied segments like water, oil and gas industry. In industry also, many segments, power, sugar, refinery, automobiles and such a large product portfolio. In every segment, we have a sizable amount of capacity and therefore we maintain a very, very good market share standing with our clients.

We also have some value -added products, value -added segments like Hunting JV. In others also, we have everywhere few things like double chamber pipe in DI, 1.2 meters of DI pipe in India, which gives us a unique positioning and is a barrier for our other peers. So our positioning among the clients is very different than what our peers have. So this backed up by the quality assurance , quality control system that we have, by the financial resources that we have, the management bandwidth that we have, the technology that we have developed home grown, the systems and processes like single slab platform across the world.

So all of these e lements put together make our business model very robust. The demand is there, is likely to sustain. In fact, few sectors, oil and gas sector is showing encouragement from our investment in the pipe or the transportation of oil and gas because of the geopo litical factors which are there.

So even though the oil market per se appears to be volatile based on the outcome of all the geopolitical events, but since the average or mean level of oil price is beyond a certain threshold, investments in pipelines are s howing a good trend, which is very good news for us. Jal Jeevan Mission and the unfinished products, projects in Jal Jeevan Mission is very good news. India becoming a manufacturing hub, defense, space, nuclear, all these

are excellent good news

because we have all the tubular products to serve all these markets.

And the way the industry is panning out, this is going to sustain in the foreseeable future unless there is a complete collapse disaster like a third world war. Because Indian economy has again enough resilience and strength. RBI is doing a very good job of preserving and protecting India. Political stability seems to be very strong even though we are entering the election year, but the results, the probabilities and the predictability is very high. So all put together, it all suggests that we indeed are in a sweet spot and all the saplings that were grown have grown and are beginning to blossom their fruit at the right time. So a good environment and we are absolutely there, ready to take advantage of all the opportunities that are being thrown open at us.

And please remember this is just the second quarter. Usually the third and the fourth quarter, because of the government budgetary allocation, shows a little upward trend that has been the traditio nal case primarily because most of our clients are government who rely on the budgetary support. So we are in the right direction and we are hopeful that this year we will show a very good performance.

Now exports, because of the quick execution, mixture a t 37 has come down to 34 -35, but this is a very small corridor. The export as a basket would remain above 30 for sure and unlikely to go beyond 40. Because we would like to keep a proper balance between the domestic and the export market. So exports will r emain between 30% and 40% of my order book and my revenue. That is what we look at. This many of you would have seen.

We had a soft launch or a proper launch of the JV. It's operational. We are just waiting for the API license. This year we become operatio nal and if we become operational as planned, means if we get the API license in calendar year '23, in the last quarter by itself, the JV would break even. The total investment from Jindal Saw is $2 million. The rest is all debt, stand -alone for the joint v enture.

And first our effort would be to reach the capacity before we look at any investment cycle. So there is no more investment planned in the Hunting JV at present. As all of you would see, if the profits are going up, the company would have a cash gen eration. But we are at this point of time not looking at any M&A or any major capex. A few things are being thought about, but they are very much still on the drawing board. We will come back to you whenever we have seen that there is some traction on it.

So at present, the cash generated would be conserved in the company, shared with the shareholders and will be used to repay debt, surplus bring down working capital loan, which if you see has been the case and that is why the working capital utilization ha s not grown in the same proportion as the top line. We have talked about the demand scenario. We have talked about the oil and gas.

Okay, one important or rather two important factors I just want to touch upon before I stop and take questions. The geopolit ical scenario in Middle East, MENA region. Till the time the war is limited to Gaza, Israel and maybe a part of Syria, Hezbollah and all that, it has got zero impact. Oil and gas prices is likely to go up. So that's a positive news for us, even though it i s at the cost of humanitarian crisis. Obviously, we are all sad about it. But if the war spills into something much larger, much bigger, which we don't believe will happen, the MENA region should continue to remain stable is what our assessment is.

We have a very large facility in Abu Dhabi and there also the exports, which is largely products are exported to about 33 countries all over the world, including all MENA region. We have not seen any slowdown. We have not seen any problem there. So,

as long as th is is localized, we are

fine and we hope and believe that it will remain localized.

Because every side, the cost of escalation or spread is very high and I don't think anybody is prepared to take a plunge. Ukraine, Russia, now it looks like that industry a nd everybody has more or less settled and moved on. It has been fully factored in. But it has had a, again, any war has a humanitarian crisis. It has got cost. But speaking purely from a demand business

perspective, a narrow perspective, if you take, it ha s had a positive impact because Ukraine was a large supplier of seamless, stainless pipes and tubes to Europe.

So Europe has now started looking at India as a possible supplier, which is good news for us, for our products. And therefore, even though on a g eopolitical worldwide economy recession, things seem to be a bit concerned. But from a very limited tunneled window of Jindal Saw, demands seem to be sustaining. Demand seems to be growing and the acceptance of India is getting better in Europe, in MENA.

Many places we were seeing that China and India were hyphenated. But now in some markets, we also see that separation is happening. We don't have to or we no longer have to sit with the Chinese as our competitor and negotiate, which is again a welcome news for us. So with these words, let me conclude. We have entered a phase of performance at a new platform level. It will sustain, it will grow from here on. So I thank all of you for the trust and now things are beginning to show the result. So let me stop he re.

Thank you very much and take a few questions.

Moderator: Thank you very much. First question is from the Dhananjay Mishra from Sunidhi Securities. Please go ahead.

Dhananjay Mishra: Thanks for the opportunity, sir. So, congratulations on consistent goo d operating performance for last three quarters, four quarters and your initial remark, I'm hopeful that many more quarters, years will have a similar good performance. Just wanted to know in terms of, as you have given demand outlook perspective, so if yo u give product -wise, where we have seen in more demand, whether it is saw pipe or DI pipe or maybe stainless steel, different product categories. So where do you see more demand in terms of, and we have been witnessing, so if you give more color on that.

And secondly, about this joint venture we talked about, so what kind of potential in terms of

revenue we can have, because we just started the commercial operation? So, just two questions from my side.
Neeraj Kumar: Lovely. To your first question, in my las t call I had spent a lot of time deliberating upon that now we are taking a more customer -centric approach in our performance, in our measurement, because that reflects the ground reality much better. Because now, we have got such a large product portfolio and some of the products are competing among themselves.
So, I have given you an industry -wise outlook in terms of water looks very strong, oil and gas looks good, and the industrial sector like power, sugar, defence, they are all looking very good. So, the demand is good for all our products. And in order not to confuse many people, we do not now talk about the different product segments, which at one point of time, when we had some limited number of products, we used to talk about.

Now, coming to JV, investment is complete. We are not in commercial production as yet. We have started trials. We are waiting for the API license. The potential of this is 50,000 pieces to 70,000 pieces in metric tons in one year. And let the Board approve the business plan, then I would be able to talk about the financial business plan of the joint venture.
But it is a very high margin business and it is a profitable business because it caters to the premium segment. The

number guidance, probably when we talk next time, hope fully the Board by then would have approved the business plan and we can talk about it. Thank you very much.
Dhananjay Mishra: And lastly, one more question in terms of domestic market. If you could talk about more in water segment, which states are invest ing more, we are getting orders and which states are ready to invest in water. And if you have any data on that?
Neeraj Kumar: The water segment, the important states for us are starting from top, Rajasthan, Himachal Pradesh, Uttar Pradesh, Gujarat, Maharashtra, Telangana, Andhra, Odisha. So, these areas that we are seeing and now with Sathavahana coming and being, we would also try and penetrate into Tamil Nadu further south. So, with these two plants and the capacities, but for the east and northeas t and but for the extreme north, where like Jammu Kashmir, we are more or less very strong in all these central parts of India.
And all of these states have now announced their own water grid. Plus, they are all participating in the Jal Jeevan mission, whi ch is yet to be completed. And therefore, the next two years, three years is going to be busy for the water infrastructure segment. Thank you.
Dhananjay Mishra: Okay, sir. And also it will be really helpful, sir. Thank you. All the best.
Moderator: Thank y ou. Next question is from the line of Bhavin Chheda from Enam Holdings. Please go ahead.
Bhavin Chheda: Yes, good afternoon, sir. Overall, good set of numbers. Sir, since you have diverse product segments, probably you don't disclose the breakup of the pip es between different segments. But if you can give some guidance on, how are the margins across different products like Seamless pipe, DI pipes, and your line pipes, in order of preference, like which would be the highest and which would be the lowest. Thi s is one. And that from the current quarter, the South India DI division also you have given the numbers, 44,000 tons was sold from that unit. So, how are the margins on that business vis -a-vis your in -house DI pipes?
Neeraj Kumar: See, again, you are gett ing into an area which we never discuss and disclose, because that is the USP of Jindal Saw. Putting everything in a conglomerate fashion, in a robust fashion, gives us a unique advantage of pricing our products and entering the market wherever we can. And therefore, the margins are in every segment, dynamic in nature, based on the strategy, demand, and supply, we price our products accordingly.

What I would request all of you to focus on is that, the EBITDA margin about a year back, which was in the 12% an d the 13% range, have now come up to 15% and 16%.
Bhavin Chheda: That is a percentage of sales, sir?
Neeraj Kumar: Yes. Today, the EBITDA to sales for this quarter is 16%. That is important. Because you are interested in Jindal Saw and not in a division o f Jindal Saw.
Bhavin Chheda: Sure, sir. And you expect, sir, being your order book is very strong and momentum picking up. So, you expect this to be a new normal and this margin to be sustainable going forward? Since you already have a visibility of over 2 million to 3 million...

Neeraj Kumar: Yes, We would like to have told you, we always want to have a sweet spot. So, the order book of $1.4 billion appears to be a sweet spot for us in the new scenario because we have M&A, we have added capacities, we have expanded capacities, we have done some capacity balancing. So, $1.4 billion is and we would like to keep it around this only. Because I told you, the bloating the order book, it is possible because we can keep on winning more contracts. But that then expo ses us to a long term, volatility in terms of inflation, price differential and all that. So, $1.4 billion is sustainable and we would stay around the same.
Bhavin Chheda: Sure. And the last question, if you can

highlight now, what exactly is the install capacity or achievable production capacity? Probably if you have pipe wise or whatsoever, you define your install capacity of DI pipes, seamless, LSAW, spiral. What that number have been?
Neeraj Kumar: Yes, I can give you. All the pipes put together is abo ut 2.5 million tons. My pellet is around 1.7 million tons. Those are two segments, which are separate segments. And that is the capacity that we have.
Bhavin Chheda: And 2.5 million tons is including the overseas capacity, right?
Neeraj Kumar: No, I'm talk ing about domestic.
Bhavin Chheda: Domestic. And Abu Dhabi would be, sir?
Neeraj Kumar: Abu Dhabi is about 3 lakhs tons, 300,000 tons.
Bhavin Chheda: Okay. Thanks a lot and best of luck.
Neeraj Kumar: Thank you.
Moderator: Next question is from the line of Sailesh Raja from B&K Securities. Please go ahead.
Sailesh Raja: Yes, thanks for the opportunity, sir. Congrats for the good set of numbers. Sir, on the volume front, things are very much intact, as you mentioned in the opening remarks. But my question is on the cost side. Now the coking coal prices have gone up sharply in the last two months from

$230 to $340. So what is our average inventory cost and how many days' inventory we have on the coking coal side?
And I also wanted to know when this increased c oking coal price will start reflecting in our numbers? Because last year, in the first half of FY '23, our performance was impacted because of rising coking coal prices. So what is our mitigation plan for this time?
Neeraj Kumar: Yes. There's a difference between the last time and this time in the movement in the commodity or the raw material prices. a. The movement is not that sharp and it is unlikely to be that volatile.
b. Learning from the past experience, we have, a. tried to hedge, work with the gover nment to have a price variation clause so that there is a benchmark raw material price of these commodities included in the contract and any increase is passed on to the customer. In a lot of contracts, we have succeeded in doing it.
Second, we are also ma king some technological modifications to the blast furnace, like adding the PCI, pulverized coal injection to the blast furnace, so that the specific cost of coal per unit of liquid production is going to come down significantly. So with technological modi fications, price variation clause, and the volatility remaining within a certain range, we are hopeful that the results we would be able to sustain. If at all there is an impact, it will be marginal. It would be nowhere close to what we witnessed in the la st year or last time when we went into that commodities pile.
Sailesh Raja: Sir, can INR5,000 minimum sustain EBITDA per kg in GI pipe? Now it is around INR10, INR11 per kg for the industry. Because of the initiatives we have taken, can we maintain that IN R5,000 -- INR5 per kg?
Neeraj Kumar: Industry average is best that you guys calculate. Let me not talk about industry, let me not talk about my peers. We would maintain in every product segment, we maintain a healthy EBITDA margin. And again, as I said, be ing a USP of Jindal Saw, we do not discuss the segment -wise EBITDA margin.
Sailesh Raja: Sir, my second question, could you please talk about opportunities we are seeing in ELSA pipes? In FY '19, we have reported around 2.6 lakh tons volume. And last four years, we have been reporting volumes at sub 2 lakh tons only. So what kind of growth you are expecting in ELSA pipes? And also our capacity utilization is very much underutilized for many years. So 100% we are betting on overseas market only. And till dat e, opportunities are not big enough to fill our capacities. So what is our strategy here?
Neeraj Kumar: I have, in a few of my earlier calls emphasise especially in a large segment, capacity utilization is a kin

d of a miss normal, be cause each plant is cap able of producing, say from each spiral plant could produce anywhere from 20 inches in diameter to 80 inches in diameter. So the boiler plate capacity is based on an ideal size which you never get in the market.

Second, change over time is not. So when you look at a boiler plate capacity versus the actual capacity utilization, across the globe you will see, in large diameter pipe, you would actually be performing to your full capacity if you are going anywhere close to 45, 50, 60. Because of the product mix , because of the thickness, because of the sizes and the changeover, etcetera. So I have always, that's why I have requested my stakeholders, my friends and investors, please move away from those usual benchmarks that are used in other industries. Otherwis e, you may get misguided.
So in large diameter, the boiler plate capacity actually does not mean much when it comes to serving the industry. At this point of time, I can tell you, most of our plants are busy and we have headroom for whatever we are doing a t present. Probably we could go another 20% more. So that headroom we have. But start looking at from this perspective rather than boiler plate and the capacity utilization. Because in a pipe industry where there is so much of variability in terms of diame ter, thickness, you would get misguided.
Sailesh Raja: Okay. Thanks. So last five years we have been reporting EBITDA above INR1,200 crores per annum and cumulative EBITDA last five years is around INR7,300 crores which is commendable. But debt is still at similar levels of FY '19. So basically we need to understand, what is our capital allocation policy for the next two years? Could you please tell me in percentage terms how much of the total cash generation, how much it will go to capex, when we get repay ment and dividend payments?
Neeraj Kumar: I have already covered in my remarks, no project announced all capex are in the nature of normal maintenance capex, and some modification technological improvements for example, putting that PCI in the three blast furnace that we have. So all capex at this point of time are in the nature of maintenance, normal capex, no projects, no M&A activity on the horizon. We are completed Satwana and f or now none of those are there.
The moment we have anything coming closer to fruition, we will definitely come back to you. As a business, we have to continue to look forward, keep on exploring, examining, which is a part of any dynamic organization. We do it, but we don't have anything at this point of time that we can announce.
Sailesh Raja: So one last question. Do you see any reduction in interest rate because of improvement in credit rating? What is our current…
Neeraj Kumar: The VAT has come down, but overall impact of financial charges on the entire per unit of production or sale will further go down because the surplus cash generated would also be used to bring down my working capital debt.
Sailesh Raja: Sir, are we doing any bill discounting?

Neeraj Kumar: Between export and domestic, we use all treasury equipments. We have a very active treasury. So we use all of those. One thing that we always emphasize on is the credit worthiness and the quality of receivables. Usually, we avoid giving open credit to private sector.
Sailesh Raja: Thank you, sir.
Moderator: Thank you. Next question is from the line of Riya Mehta from Equitas Investment Consultancy. Please go ahead.
Riya Mehta: Thank you for giving me the opportunity. My first question is in regards to the capacity utilization at Satwana level. And we had excess capacity the re. So what are we doing about it?
Neeraj Kumar: See, Satwana, currently we are running at a capacity utilization of 60% to 70%. But we are also doi

ng some capacity balancing, adding some balancing equipments. So the capacity by itself is likely to increas e by a good 20% to 25%. And by next year, we expect to run almost 80% to 90% capacity.
Riya Mehta: Sure. Thank you. My next question is in regards to the -- could you give the order book volume?
Neeraj Kumar: I have already told you, 1.4 billion. The breakup probably would be supplied in the notes that have been given. Otherwise, check with Rajeev Goya l, he would be able to give that to you.
Riya Mehta: Okay. And in terms of we have INR454 crore s of capex in our cash flow. For what would that be?
Neera j Kumar: I don't have that figure in front of me. So those very specific questions, I would encourage you

to send a mail to Raj eev Go yal and he will be able to clarify all that to you.
Riya Mehta: And in terms of my last question, what is the pipeline from Middle East and Saudi? Could you elaborate on that?
Neeraj Kumar: I told you my export portfolio is around 34% at this point of time. Majority of which is from Middle East.
Riya Mehta: Thank you.
Moderator: Thank you. Next question is from the line of Ab hishek Maheshwari from SkyRidge Wealth Management. Please go ahead.
Abhishek Maheshwari: Hi. Thank you for taking my question. Just one question. I wanted to understand your order book strategy. Because see today we have our trailing sales of about INR20,0 00 crores. And if see how do we plan to achieve growth while maintaining our order book at current levels? Are we planning to go for more small sized gestation period orders? Or I just wanted to understand the strategy here?

Neeraj Kumar: Just one clarification. We don't do trading. All the top -line turnover majority of it has come from sales. Second, maintaining an order book, especially if you have a very healthy sales funnel, does not hamper growth. Because as we grow in our capacity utilization, we keep on taking more orders because the sales funnel is very healthy based on a good demand in the market.
When I say a sweet spot around 1.4, with this, we can still achieve growth because then the rate of replenishing this 1.4 will enhance as we enhan ce the rate of execution. And that has been the trend in fact for the last few quarters. So that is not an issue at all. We are also consciously moving more towards value -added segments, stainless steel, defence, nuclear and all of those.
So that the per t on NSR, as we call it, the net sales utilization per ton, keeps on going up because in those spaces the competition is also less.
The vendor qualification is tough. Not all of our peers easily qualify because of these stringent quality conditions. So that is the strategy. The strategy is to move up the value chain, to go for the elite customers, get into space where there are entry barriers of quality etc. where we believe we can do very well. And therefore, you would be able to have a sustainable business and you don't get into a street fight to get your business.
Abhishek Maheshwari: Okay. Understood the part regarding the premiumization. Just one small follow -up. From what I am understanding, what you are saying is you want to also focus on faster executi on. What I mentioned when I said low gestation period is from the moment you receive an order till the time you supply the product. I mean, since you provide your order book status every quarter three -monthly basis, so is it correct to assume that most of your orders will also be, the timeline of it will be around three months or so only? You get the order and supply the product within three months?
Neeraj Kumar: No, no, no. Different products have different timelines. Specially I will give you two extreme examples. Pellets is just in time. I have my aranore, you pay me your money, I will give you the pellets tomorrow. On the other hand, large -dia which is Nace, Sour g

rade, High grade, probably
the delivery line would be six to seven months.
Because those sp ecial grade steels I will have to import or buy. They will make it from me because Nace grade and X70 and X80 is not available on the shelf. So, I will have to buy, open LC, deliver, manufacture, port and then deliver. So, the delivery time very much depen ds is very product specificity.
Abhishek Maheshwari: Okay, I think I understood what you are trying to say and that was helpful. So, just one last thing. So, we should just expect that there should be an order book reset every three, four years maybe.
So, ideally it was $1 billion three, four years ago. So, it's 1.4 now and as the growth increases, we can expect maybe 1.7, 1.8, three, four years down the line, right, sir?
Neeraj Kumar: I won't put a number three, four years, maybe 2.5 or maybe 3.5 depending on how we continue to grow. But you are right. That's why I used the phrase that now we have achieved a different platform of performance where the baseline has moved up. So, it's like a step function. You

grow, take a step, grow, take a step. So, you are right. It would be reset upwards in the medium term I would say. The time we will have to see how the market dynamic works.
Abhishek Maheshwari: Thank you very much, sir.

Moderator: Thank you. Next question is from the line of Harsh Rajesh Shah from Sanct um Wealth. Please go ahead. We have lost the connection for Mr. Harsh. We will move to the next question from the line of Dhavan Shah from Alfaccurate Advisors. Please go ahead.
Dhavan Shah: Thanks for the opportunity, sir. So, my question is, on the SAW p ipe, can you help us to understand the demand supply situation in the domestic market? So, you already highlighted that there is a good demand, strong demand across the oil and gas plus the null -settle. So, how do you foresee the incremental investment fro m these two segments or two sectors for the next two to three years? And what would be the incremental demand in terms of the tonnage wise can help us to understand versus the capacity in the Indian market? And considering any new capacities coming in, so how do you see the overall demand supply situation for the SAW pipe?
Neeraj Kumar: Let me try and address that for you. Fund allocation to the infrastructure like oil and gas and water, I am sure you will find it in the budgetary allocations because not al l of them come to just the pipe. So, those larger picture you can get it from the government budgetary allocation. Two, as far as the pipe industry is concerned, we expect the demand to grow at a healthy rate of maybe 10% to 15% per annum. And therefore, t here is space for some new players, new capacities to enter because at present if you see the entire industry is operating at a good capacity utilization. So, the increment or the growth in the pipe industry is creating space for new players. Anyway, entry of new players in all these segments, they will have to work for at least few years before they become a significant contributor. So, for us, as I told you, next 18 to 24 months is good, will remain good. None of these factors are really going to impact u s in the next 18 to 24 months.
Dhavan Shah: Okay. So, our plans are operating at what utilization for the SAW business and you already mentioned that the new players can catch up with the clear?
Neeraj Kumar: At present, if you want to, if you insist, boi ler plate capacity, it would be at upward of 60% to 65%.
Moderator: It seems that we have lost the connection from Mr. Dhavan Shah. Ladies and gentlemen, we will take this as the last question for the day. I now hand the conference over to Mr. Vikas Singh for the closing comments.
Vikas Singh: Thank you, Yusuf. On behalf of Phi llipCapital, I would like to thank Jindal Saw Management for giving us the opportunity to host a call. I

am just forwarding this call to Mr. Neeraj Kumar for any closing remarks. Over to you, sir.
Neeraj Kumar: Thank you, stakeholders. Thank you, shareholders and others, investors, everybody, I have to thank you for showing the confidence in us, for waiting. And now, I am sure all of you would

be happy that the company fundamental have indeed become strong and the market has also started reacting to it. We believe th ere is still a lot of headroom.
We believe there is still a lot of potential. So, with these, I assure you that we will do everything to make the organization more valuable and I hope to see you over the next quarterly call with another set of good results. Thank you. Bye.
Moderator: Thank you ver y much. On behalf of Phillip Capital India Private Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Jan 2024

January 19, 2024

The Manager BSE Limited
Listing Department P. J. Towers,
National Stock Exchange of India Ltd. Dalal Street,
‘Exchange Plaza’, C -1, Block -G, Mumbai – 400 001
Bandra -Kurla Complex, Bandra (E) Scrip Code : 500378
Mumbai – 400 0 51
Scrip Code : JINDALSAW

Sub. : Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Investor conference call on the financial results of the Company

Dear Sir /Madam ,

This is with reference to the captioned subject and our letter dated January 11, 2024 and January 17, 2024 , the transcript of the conference call organized by the Company for analyst and investors on the unaudited financial results of the Company for the 3rd quarter/9 months en ded December 31, 2023 (Q3 FY24 Results) held on Wed nesday, January 17, 2024 at 4:00 PM IST is attached and the same has also been uploaded on the website of the Company.

This is for your information and record please.

Thanking you,

Yours faithfully,
For JINDAL SAW LTD.,

SUNIL K. JAIN
COMPANY SECRETARY
FCS : 3056

“Jindal Saw Limited

Q3 FY ‘2 4 Earnings Conference Call ”
January 17, 202 4

MANAGEMENT : MR. NEERAJ KUMAR – GROUP CHIEF EXECUTIVE OFFICER AND WHOLE -TIME DIRECTOR – JINDAL SAW LIMITED
MR. VINAY GUPTA – PRESIDENT AND HEAD, TREASURY – JINDAL SAW LIMITED
MR. NARENDRA MANTRI – PRESIDENT , HEAD, COMMERCIAL AND CHIEF FINANCIAL OFFICER –

JINDAL SAW LIMITED
MR. RAJEEV GOYAL – ASSOCIATE VICE PRESIDENT –
JINDAL SAW LIMITED

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL INDIA PRIVATE
LIMITED

Mod erator: Ladies and gentlemen, good day, and welcome to Jindal Saw Limited Q3 FY '24 Earnings Conference Call hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during th e conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vikash Singh from PhillipCapital India Private Limited. Thank you, and over to you, Mr. Singh .
Vikash Singh : Good afternoon, everyone. I welcome you all on 3Q FY '24 Earnings Conference Call of Jindal Saw. From the management side today, we have with us Mr. Neeraj Kumar, Group CEO and Whole Time Director; Mr. Vinay Gupta, President, and Head Treasury; Mr. Narendra Mantri, President, Head -Commercial, and CFO; and Mr. Rajeev Goyal.
Without taking anyone's time, I would hand over the call to Mr. Neeraj Kumar for his opening remarks. Over to you, sir.
Moderator: Your audio is not coming, sir.
Vikash Singh : Neeraj sir, I think you are on mute.
Neeraj Kumar: Good afternoon, friends. Now is it okay?
Vikash Singh : Yes, sir. Yes, sir.
Neeraj Kumar: Okay. So yesterday, we had our Board meeting, and we declared our results. This quarter is the best ever result declared by Jindal Saw, and this has been happening now for last few quarters that every time we set a benchmark and we ourselves go and jump ov er it. This is primarily a culmination of, as I say, a lot of efforts. So now we do have a momentum, we have an order book, we have the capacity, we have the market, and we have all the other resources which are required to be able to perform in a very coordinated manner.
So highlights of the result. Stand -alone top line, INR4,786 crores. EBITDA, INR890 crores. PBT, INR619 crores. PAT, INR452 crores. Now when you compare it with the comparable quarter last year, which is 31st March -- 31st December '22, look at the results there. There was a note. There was an accounting entry for which t here was an other income of INR 113 crores. That is not there in this time. So when we make that comparison, you will see that the improvement for the development has been even more steeper than what the numbers tell you. EBITDA percentage, from 12.9% a year ago, now it is 18.6% in the current quarter.
Likewise, if you see the consolidated results; EBITDA of INR1,030 crores; Gross income, INR5,697 crores , PBT is INR700 crores , PAT INR512 crores. So again, that indicates that our subsidiaries are doing well. Especially, our Abu Dhabi facility is doing very well. We have a good order book, stable performance, tonnage very good. And the very important factor that has

been supporting us over the last few quarters, the commodity prices have kind of stabilized. The progresses everywhere we are seeing that probably it has a little downward trend. So that puts us into a very, very good position.
Turning our attention to the distribution of our income, which should give you a clear sense of the robustness or the quality of our income, the stability of our income. Water sector, approximately 68% , oil and gas, 28% , industry and other sectors, 4% to 5%. Also, the diversification between the domestic and the export, very well balanced. Domestic, aro und 60%; export, the other 40%.
So if we look at the metrics of the kind of industries that we address, and the export versus domestic, this gives us a lot of comfort in terms of the revenue quality. It is not a spike. It is not one particular sector or it is one particular -- so it is n ot a flash in the pan kind of revenue. This is something why I'm highlighting because we pay

particular attention to this metric s, which is
the quality of the -- or the robustness of our top line revenue.
If we look at the debt profile. Given the turnover etcetera has gone up, JSAW net debt has come down from INR 4200 cro res to INR 3,900 crores. On a total consolidated JSAW b asis, it has come down from INR 5,600 crores to INR5,400 crores . The institutional debt has come down from INR4,900 to INR 4,700.
So what this again tells you that after the M&A activity that we carried out for Sathavahana, which added a term loan of about INR 1,000 crores to the balance sheet, the debt is being managed well. Out of the total debt of l ong-term debt, we have only INR1,800 crores, out of which INR 1,000 crores is on account of Sathavahana, which is a very recent M&A activity. So the debt continues to stay within control.
Working capital utilization will continue to go down because primarily all the cash that would get generated, we hope to generate a lot of cash, would be used for routine capex and reduction in working capital. We do not have any other M&A on the cards. We are working on capacity, you can say, building by debottling and capacity utilization at Sathavahana, because we see there is a lot of headroom there. With a marginal capex and debottling, we can do capacity balancing and thereby enhancing that capacity.
So that's one area where the capex is going. We are also putting up new coke oven batteries, which is taking some capex . We are also trying to enhance our capacity for seamless pipes in Nashik. If you see, in Nashik, currently we have one piercer. Going forward, it has got 2 lines. One line is 7 inches and below. I'm talking about seamless tubes -- carbon seamless tubes. O ne line is then above 7 inches, and it goes up to 15 inches.
Again, what we are doing is, we are trying to debottleneck that, create additional piercer, so that the 2 lines work independently. So that's in seamless, in Nashik, we will have a dedicated line for 7 inches and below, and a dedicated line for 7 inches an d above, up to 16 inches. This will enhance the capacity, this will improve the productivity, this will improve the market reach. And

through this and a combination of different diameters of double bead LSAW, which is dual bead, one bead on top, one bead -- so that's a much stronger weld as well as spiral.
We are looking at possibility that we if use the right grade of steel material, can we provide, again, a solution for hydrogen transportation. Because what we assume is that hydrogen may become an important factor for the clean energy. And therefore, we are trying to ready ourselves, besides addressing the market, to be absolutely ready for this important segment, and that is where the seamless -- having a dedicated line for the 7 inches and above and one dedicated line for below, plus these would help.
By the way, we also have stainless steel. We can do large d ia stainless steel going up to 40 -inches in diameter. And on the lower side, we can go up to as low as half. So with all this, we are wanting to create a full bouquet of products which can go into hydrogen transportation whenever that comes.
Now moving from the financial highlights to the business outlook. I think we have a momentum. We are likely to close the year on a high. The order book is good, 1.4 billion. We already talked about it. That's a sweet spot for us under the enhanced capacity . And usually, the fourth quarter is always the best quarter for Jindal Saw. We hope we will be able to repeat that this year as well.
So we have momentum. We have a good order book. We have a stable commodity price. Capex, already we have spoken that there is nothing major except for capacity balancing at the Sathavahana Haresamudram plant, a coke oven battery, and this dual -- double li ne for Nashik in seamless, so that the capacity goe

s up.
Let me now turn my attention to the market outlook. The way things are happening, first, we definitely are getting concerned and we are watching the developments in Red Sea and around. Because we do note that Iran is kind of going all over. First they hit North, now they are trying to hit South. So US is retaliating. So we just are seeing complexities developing in that part of world.
Hamas continues to be under huge pressure. Israel is not relenting, unlikely to relent. Probably, the world has now reconciled to it. And therefore, rather than now any negotiations, different people have different reactions, some are supporting, some are waiting, and some are retaliating in their own way. How will it play out, we'll have to wait and see it. But assuming nothing major goes wrong, we see oil capex to pick up, both in India as well as in this part of the world.
India, as we see now, deep sea, the KG Basin, especially in the Bay of Bengal, there's a lot of activity. Both the PSUs as well as the private sector improved their production and exploration, expanding directly. So overall, we see that the demand for pipe s for oil and gas sector should be

there, should be robust.

Water segment has been a very good initiative, very good opportunity for us. This Jal Jeevan Mission has given us very robust and sustainable demand for pipes of all categories. Our large diameter pipes, our DI pipes, our STP, we have benefited on all fron ts. And the way things are, in all probability, there would be political stability and continuity at the centre even after general elections.

So we expect that momentum to continue because still the water grid has not reached the desired level in the country. There are pockets where still it needs to be -- there are pockets where it's there, but still a lot to go. So we see, in the short term, d efinitely this water segment, the water demand for pipes in the water segment will continue to remain very high.

Two more small points I would like to touch before I turn my attention to questions. NTPC, now finally, after a lot of consideration, we have been able to get the Solicitor General to begin his argument. Currently, the case is partly heard. That's good new s because then there is not going to be any change of roster or change of judge.

And it appears that now the argument is going to end soon, because once you have a partly heard, judge has given two dates, so you will have to finish it. So that's good news. Now we are definitely seeing that there is a movement, and there should be an en d.

So far, the last order that the judge passed, we have taken note, where the Solicitor General had said he has substantially completed his arguments and probably would need a small session of about an hour or so, and then he will end his arguments. After th at it will be an opportunity for us to rebut.

So far, whatever arguments that we have heard from him, we feel that we are on a very strong level. And we also feel that now there should be movement. And once all of these are argued very well at the High Court level itself, probably then the next steps towards a final adjudication would be now simpler and should not take very long.

The last thing that I want to talk about is the joint venture, the Jindal Hunting Joint Venture. We have completed the API audit. No doubts it has gone very well. We are likely to get the API license in the next month or so. Likewise, the premium connectio n which does not require API is just the license from Hunting.

All training, all offloading trials, etcetera, are done. The final agreement will be inked any day. So basically now this JV will be in business commercial activities soon. The kind of orders that are lined up, we expect that in the year '24 -'25, which wil l be technically the first year of operation, because we are assuming that during this quarter we wou

ld get the API license and
all that, the JV would have a profitable operation.

The level of planning, the level of detailing, and the way we have managed our capex and costs, it gives us a lot of confidence, it gives us a lot of comfort that in the first full year of operation

itself, the JV would be profitable and would contribute. Anyway, this JV's financials, etcetera, everything is independent.

We have a separate bank line, so there is no drain on the account or other subsidiaries. But on a stand -alone basis also, the company would be -- the JV would be profitable in year '24 -'25, which is its first year of operation. So far, the trials have been successful. Results are good. People have witnessed it. Clients are excited. And we expect that we will penetrate the market very soon.

So with these initial opening remarks, financial results, and outlook, let me stop here and take few questions from all of you.

Moderator: Thank you so much. We will now begin the question -and-answer session. Next question is from the line of Mr. Abhishek Maheshwari from SkyRidge Wealth Management. Please go ahead.

Abhishek Maheshwari: Am I audible?

Moderator: Yes, sir.

Neeraj Kumar: Yes, yes. I can hear you clearly.

Abhishek Maheshwari: Thank you for the opportunity sir, glad to be back. Sir, so first question is regarding your exports to Saudi Arabia. I'm assuming the bulk of your revenues come from -- a whole lot of revenues come from Saudi Arabia. And the situation in Red Sea, it's not as if we can take Cape of Good Hope route, right, but we can take the Persian Gulf route to export our products to Saudi, right?

Is that helping you? Or are you seeing some pressure on exports due to this?
Neeraj Kumar: To classify that a bulk or substantial is coming from Saudi Arabia would not be the -- if you look at the total pie of our revenues and the portion that has come from Saudi Arabia, yes, it is an important contract, but it's not that we are very, very highl y dependent. And still the Saudi Arabia contract is very well running into the next year as well. So it's a large contract totalling INR3,000 crores, but split into 2 years.
As far as transportation of pipes through ships are concerned, so far, there have been no incidents. And unless the guys become reckless, pipes are of very little consequence to anybody. It's not oil and gas, it's not a commodity. No pirate would be able t o do anything with the pipe, I think. So we don't expect that we are on the target. But if the entire route is disturbed, then as I already said, yes, that is a risk and this is a concern.
Abhishek Maheshwari: No sir, I understood your point, but just wanted -- for the sake of clarity, is there an alternative route to get the goods to Saudi? Because there is one route that is Red Sea. And there is other route through Persian Gulf, through Dubai. So is there an a lternative we are considering there?
Neeraj Kumar: Yes, yes, we can -- see Saudi Arabia, if you see, is kind of a very large peninsula. It has got the water channels on both sides. So suppose if one channel gets completely blocked or disturbed, then the alternate route would be available. But the proximity of each other is so much that if

Iran is the one who is doing all this, then it is very unlikely that they will hit one and not mess around with the other channel as well.
And you talked about -- see, Cape of Good Hope doesn't come here. Cape of Good Hope is on the trip of the South Africa. So you don't need to go to South Africa anyway if you have to go to Saudi Arabia from India.
Abhishek Maheshwari: Right. Understood. Sir, my second question is regarding this QIP that you're planning, INR1,000 crores. Sir, if the tailwind is in our favour , we are generating a lot of cash, working capital requirement is comi

ng down, so just didn't understand the whole purpose of raising so much money right now.
Neeraj Kumar: Yes. Let me put that in the right perspective. At this point of time, we are just keeping all the enabling provisions ready, so that, based on the guidance that we get from the market analysts, merchandisers, other experts, if required, we would be able to close this transaction within a short timeframe, say about three weeks to four weeks. But the QIP has not been put on the calendar as yet. And therefore, at this point of time, besides saying that we are in a state of readiness for the QIP, anything else would be speculative in nature, because we don't have any date as yet.
Second, the use of the QIP also has been well spelt out in our Board resolution, in our communication to everywhere. So we have made it very clear that the QIP would essentially move towards reducing the debt burden. Essentially, then the debt, whenever th at QIP happens -- let me just caveat it, I'm not putting a date as yet. Whenever that happens, the Sathavahana loan would be completely repaid.
So it will be used for the reduction of the debt on the company. But when it happens, as I told you, we are keeping this thing ready. There are too many factors. There's the market factor, there is a general election, there is a requirement. So at this poi nt of time, is the company in dire need of that fund in any manner? The answer is no. And therefore, we will time it very properly, based on expert advice, and it would be used, whenever it is done, essentially to reduce the debt. Any other discussion at t his point of time on QIP, I think, is speculative.
Abhishek Maheshwari: So let me see if I get this right. From your perspective, in maybe coming years, there could be substantial growth which can come in. And you want to be in a state of readiness. If that growth does come in where you can see 15%, 20% growth in revenues, you are in a position to meet all your working capital requirement, so that you do not have to forgo that growth. Am I getting that right?
Neeraj Kumar: That could be one of the follow -ups, yes. The whole idea of dressing up the balance sheet, the whole idea of reducing the debt burden, lightening of the balance sheet is obviously to be in a state of readiness where the financial health, the capital structure is such that it can support rap id growth. Yes, that is one of the definite benefits that we might achieve out of that.

Abhishek Maheshwari: Okay, understood. Thank you so much. That's all from me.
Neeraj Kumar: Thank you.
Moderator: Thank you so much, sir. Our next question is from Mr. Kirtan Mehta from BOB Capital Markets. Please go ahead, sir.
Kirtan Mehta: Thank you, sir, for giving this opportunity and congratulations for sort of good set of numbers continuing [mid-term]. First question was about the Hunting Oil JV. We would be basically getting the API approval sometime this week and first year would be the operation. I just wanted to understand in terms of the scale of operations that could develop there eventually, wh at could be the capacities, revenues, and sort of the profitability there?
Neeraj Kumar: Capacity, we can go up to 70,000 joints per annum. When we say joints, it is both the pin end and the coupling end. That is called a joint. So 70,000 -- basically, if you talk in terms of revenue, it has a potential of approximately $100 million, if the ma rket size is good and we are able to hit all the value -added segments. Because coupling also, we can go for 13 chromes , we can go for higher, plus we can go for base grade. Our effort would be to go for high value -add products and enter the club of the JFE and the Sumitomo and Tenaris, those guys. If we are able to enter that, then it's a profitable business. So a top lin e of $100 million is what this JV has the potential.
Kirtan Mehta:

And when we look at sort of the India market, what percentage of the market would we be able to sort of address with this? Would it be 5%, 10%? Or it's sort of a larger range?
Neeraj Kumar: In terms of the product range, we can address the entire product range of premium connections in India and most parts of the world. Because this is the only facility which can go right from 2 inches, 7 inches, 8 inches up to 36 inches. Obviously, the highe r size includes connectors, but it does the same function. So it can cover the entire range.
So product -wise, we are very versatile, we are very capable and we can address. How much we can achieve in terms of the market penetration, market share, we have to pan out. As I told you, so far, we have enough orders where we are going to be busy and tur n profitable in year one, because we already have received all the pre -qualification receipts. In such segments, one critical milestone is receiving the pre -qualification.
Based on the track record and experience of Hunting and Jindal, the JV has already been qualified to bid for regular tenders in ONGC, in the major. We are also working with other private sector players like GAIL, Reliance, etcetera. There they call it the vendor qualification. So currently, a lot of pre -qualifications have already been -- are in place. And the vendor qualifications also for all major players in India are in place. We are using the Hunting network to try and address the export market as well in terms of the vendor qualifications. So we think that we are making the right start for the JV.
Kirtan Mehta: And because of the domestic production, would we have the cost advantage over the imports?

Neeraj Kumar: This project is completely under the regime of Aatmanirbhar Bharat. So not only that we have a cost advantage and income tax advantage, because there is a preferential rate for perpetuity. We also expect that the Government of India might give us the right kind of protection as long as we are able to satisfy their demand. We may even have some protection as it is in other products under this Aatmanirbhar Bharat scheme. But obviously, the cost advantage is there. That is one of the unique advantages of this, not only for the domestic market, but also for the international market.
Kirtan Mehta: Understood, sir. Just one more question in terms of sort of more of a medium -term sort of the outlook. So currently, we are primarily dependent on water and oil and gas sector, and we are trying to develop our capabilities into the hydrogen sector. Are the re any other segments that we would like to target over five years sort of -- looking at a five -year horizon? Or are we sort of comfortable that these two segments give us enough opportunity to grow our revenue base from here?
Neeraj Kumar: Okay. One area where the stainless and seamless can go is the industrial sector. Because seamless products are for transportation, drilling is all oil, gas, water, and all types of things. The other one is Jindal products are used in industrial sector wher e it is used as a heat exchanger in boiler tubes, sugar industry, refineries. So that's the industrial sector, which we club all and make it into an industrial sector.
So that's one area where we can, but there the demand would not be so high that it can absorb our entire capacity. So the dependence on the water as well as on the oil and gas and this part also will be there definitely in the short to medium term, till hy drogen becomes something very big.
Kirtan Mehta: Right. Just last follow -up. In terms of sort of the water sector, while we are primarily focused into the India at this point, is it possible to leverage our expertise to basically target the export

market in the water segment as well? And would we be comp etitive in the export market there?
Neeraj Kumar: Our Abu Dhabi facility is co

mpletely taken to the export market. Not a kg of DI pipes from Abu
Dhabi is coming into India. So Abu Dhabi is a completely -- if you see in our parlance, the way
you say export market being currently available in India are getting addressed by Abu Dhabi,
they are doing very well. Last guy also -- the earlier question was about Saudi. That's the water
pipeline. So we are addressing wherever we get an opportunity.
In DI, now we have so much -- we have close to 7.5 lakh tons of capacity in DI in India. But
since we are strategically located in West and South, we are busy with the Indian demand itself.
There is little requirement for us to export DI pipes abroad, exce pt for small diameters.
Kirtan Mehta: Thank you, sir, for this clarification. Thanks.
Neeraj Kumar: Thank you.

Moderator: Thank you so much. The next question is from the line of Riya, Aequitas Investment. Please go
ahead, ma'am.
Riya: Thank you for giving me the opportunity. My first question is in terms of the interest cost. What
would be the breakup of the forex impact and debt?
Neeraj Kumar: The forex impact in this quarter, financial charges are hardly anything.
Riya: Okay. And in terms of other income, we've seen a substantial increase on a quarter -on-quarter
basis. What would that constitute of?
Neeraj Kumar: Other income, significantly increased? No, if you compare with the last quarter, there was about
INR113 crores of revaluation accounting entry for RPS, which is not here this time.
Riya Mehta: No, on the Q -o-Q...
Neeraj Kumar: Hold, hold, hold. No, other income is what -- 60, 40, what is it? Just give me a second, let me
have a look at it. Because I don't think it's a significant -- see, on our top line of some INR4,000
crores, it is a two -digit other income. What is it?
Riya: Sure. And in terms of UAE, what would be your execution period be for our order book?
Neeraj Kumar: You are talking about Saudi Arabia? I told you it's next year. It will spill into next year. It will
complete in the next year.
Riya: Okay . The entire would -be next year. Okay. Thank you. That's it from my side.
Moderator: Thank you. The next question is from the line of Ashutosh Garud from Ambit Gpc Pms. Please
go ahead, sir.
Ashutosh Garud: Hello . Am I audible?
Moderator: Yes.
Neeraj Kumar: Yes, I can. Just a little louder and a little slower, please.
Ashutosh Garud: Okay . So I just wanted to understand the broad, I mean, cycle of our industry. Historically, we
have seen that this industry has been fairly cyclical. And if I see the results in the recent few
quarters, we have on EBITDA level, margins we have recorded very, very good margins, which
are historically very high. Especially in the current quarter, we have recorded margins which are
predicted high kind of level. So just wanted some clarifications on the next two, three -year
journey for ourselve s?
From a margin perspective, what would you like to guide on EBITDA level? And from a top
line growth perspective, given the kind of utilization levels here, maybe you can throw some
more light on what kind of utilization levels you have in the subsegments a part from just being

in steel price? Maybe there are other subsegments which you can define for us to give us some
clarity over the next two, three years journey from growth and the EBITDA margin sustainability
of the same?
Neeraj Kumar: Right . Well, you have asked multiple questions. Let me try and take it one by one. See, in terms
of capacity, as you know, we are improving capacity and we are working at a high-capacity
utilization. But we have enough headroom where the whole operation can grow without a
significant step jump. So that's the first point.
Second, you asked about future outlook. Next six months look strong because we already have
an ord

er book, there are deal pipeline is healthy, so six months look very strong. But beyond that, it is something like we will have to win the contracts. It is st ill not -- so we are hopeful that we would have a good or a robust demand, but the confidence level that we have over the next six months is higher than beyond that. So that should give you some guidance about it.
See, the good part is that the Indian economy, if it continues to grow at the robust pace as a leading world economy, we are one of the four sectors. So we do expect that we should get that benefit. We should have the support of the growing demand in a gr owing economy.
Ashutosh Garud: Right. Sir, when you said you are operating at a high utilization level, what is the utilization levels currently?
Neeraj Kumar: See, I have always maintained that percentage would be misleading, primarily because boilerplate size and actual production in terms of tonnage, how it is measured, there is very little.
But let me put it this way, we can grow the business easily by 20% wi thout any significant capex.
So from the current level of, say, INR20,000 crores, we can go up to INR25,000 crores without any significant capex.
Ashutosh Garud: You can grow to? Sorry, I missed the number.
Neeraj Kumar: INR25,000 crores of top line without any significant capex.
Ashutosh Garud: Okay. Thank you, sir. Thanks so much.
Moderator: Thanks so much. The next question is from the line of Shweta Dikshit from Systematix Group. Please go ahead.
Shweta Dikshit: Good evening, everyone. Thank you for the opportunity and congratulations on a good set of numbers. I just wanted to ask the volume numbers for the quarter, does this include the Abu Dhabi volumes as well? Or is it just from Indian operations?
Neeraj Kumar: Probably, you'll have to repeat your question. You were not very audible.
Shweta Dikshit: The volume numbers reported for the quarter, around 442,000 tons. Does this include -- this is consol volume numbers, which includes Abu Dhabi as well?

Neeraj Kumar: No, no, this is stand -alone.
Shweta Dikshit: This is stand -alone. Could you throw some light on the Abu Dhabi volume number for the quarter?
Neeraj Kumar: Abu Dhabi volume numbers for this quarter. Normally, they're 2 million, right? So for the quarter, they would be doing close to 50,000 – 63,000 so that's 63,000.
Shweta Dikshit: 60,000 tons?
Neeraj Kumar: 63,000 metric tons for this quarter. Today, the run rate is upward of 2 lakhs. So roughly, 50,000 to 60,000 per quarter is an average run rate, and we are doing well. We have a sustained order book for that.
Shweta Dikshit: All right. The next question, as you said that orders are already lined up in terms of the Jindal Hunting JV for the premium connection's product. Could you quantify any number on the existing orders that are lined up for that?
Neeraj Kumar: Please allow me to declare commercial production first, and then I'll talk about order book.
Shweta Dikshit: Okay, sir. That's it from my side. Thank you.
Neeraj Kumar: Thank you.
Moderator: Thank you. Next question is from the line of Mr. Ram Modi from Prabhudas Liladher. Please go ahead, sir.
Ram Modi: Sir, I just wanted to check, are the margins same as for the new orders what we are bidding or winning? Because I believe there may be some high -margin orders which we were executing during the next two quarters. But are the new orders coming at the same m argins?
Neeraj Kumar: Okay. Let me further that yes, that is one thing that one of the earlier questions was. But see, this 18.6% of EBITDA margin, how sustainable is it? No, we expect this to settle down a little bit. But it will definitely not go as below as we have been doin g in the past. So 18.6% can settle down a little bit, because some of the orders, we are getting the advantage of the stabilizing commodit

y prices. So either with a lead or a lag, that will settle down. So 18% should settle down. But I think it should be -- let me not speculate because it relates to the piping strategy.
But I think it should be allowed for me to tell you that it will not be as low as 12, 13, 14 that was there. But we expect some settling down of 18.6%.
Ram Modi: Okay. And sir, what is the quantity of the order book? We have around $1.45 billion of orders on the domestic. What is the volume of the order book?
Neeraj Kumar: The quantity is about 14 lakh tons.

Ram Modi: 14 lakh tons. So the net NSR would be around $1,000 for us, for our pipes?
Neeraj Kumar: Those calculations you can do.
Ram Modi: Okay, okay. And lastly, sir, in terms of how is our stainless -steel pipe division doing, because we do not have a breakup there, but how are the volumes and how the margins and realization is?
Neeraj Kumar: It is likely to pick up significantly. It is doing well. Because there, our major achievement in stainless steel segment has been so far getting pre -qualifications into key industries like nuclear space defence, getting into higher segments like super dupl ex and those, moving away from the base rate of technical partners as it is called the 304 and 316. So those are the significant developments that we have achieved. Now we expect that there should be a steep growth in the market. Instrumentat ion tubes, we have made some very good progress. Those are again, the focus on our stainless -steel business is to focus on high value -added Indian products.
Ram Modi: Okay. Okay. Thank you.
Neeraj Kumar: Thank you.
Moderator: Thank you. Next question is from the line of Mr. Vipulkumar Shah from Sumangal Investment. Please go ahead, sir.
Vipulkumar Shah: My question relates to capacity of Sathavahana. So what is the additional capacity we are getting for this acquisition? And how much time will it take to reach those capacities?
Neeraj Kumar: Okay. Currently, we are at 2 lakh tons per annum. With all the debottlenecking and improvement in efficiencies, it is likely to go up to 2 to 2.5. The time taken to go from 2 to 2.5 in terms of capacity will be close to year to 15 months. Currently, we are at a high-capacity utilization of over 80%.
Vipulkumar Shah: At Sathavahana, right sir?
Neeraj Kumar: Yes.
Vipulkumar Shah: Okay, sir. And regarding this Hunter JV, what type of capacity utilization we can expect in first year, sir?
Neeraj Kumar: Please allow me to first declare the commercial production, then we can talk about it. Because the compliance guides sitting in front of me are saying don't make speculative statements.
Vipulkumar Shah: Okay, sir. Thank you and all the best.
Neeraj Kumar: Because unless I'm in commercial production. Once I'm in commercial production, I would be able to talk about business and I will be able to really openly talk about business .

Vipulkumar Shah: Okay, sir.
Neeraj Kumar: Thank you.
Moderator: Thank you. The last question is from the Dhyey Desai from Niveshaay Investment Advisors. Please go ahead.
Dhyey Desai: Congratulations on the good set of numbers, sir. I just wanted to understand on the competitiveness of our products. So basically, like we all know, China is opening up and that could be an intense competition that we might experience from China. So how...
Neeraj Kumar: Could you just repeat your question? You were not very audible. What are you wanting to look at?
Dhyey Desai: Am I audible now?
Neeraj Kumar: Just repeat your question, please?
Dhyey Desai: Yes. So I wanted to understand on the Chinese competitiveness. So basically, China is also opening up. And there is a lot of intense competition that we might experience from China. So I just wanted to understand how competitive we are in terms

of quality as well as the pricing
when we compare us with the Chinese players in the market, especially in the export market.
Neeraj Kumar: Understood. China is not a competition to us at all. Primarily because quality -wise we are far superior. We know, cost -wise they are much cheaper. But now, in India, there are no Chinese products which are allowed. Most of the other countries also, who are quality conscious, are banning Chinese.
So basically, we don't have any competition from China, because there are two different markets. One is the quality -conscious markets, where we are very competitive because we compete with the other Indian peers and the Europeans. And there is, you can say , less quality -conscious markets, where we don't even bother going, because that's where China is. So we don't see much competition with China because we address different kind of markets.
Dhyey Desai: Correct, sir. So sir, I just missed those numbers. You mentioned about the sector bifurcation of our revenues. Can you please repeat those numbers?

Neeraj Kumar: Okay.
Dhyey Desai: Of revenue. So you mentioned that the water sector was around 68%, oil and gas was around 48%?
Neeraj Kumar: Okay. Water, 68%; oil and gas, 28%; industrial sector, around 4% to 5%. Domestic export 40%.

Dhyey Desai: Correct, sir. That's very helpful. Also, sir, in terms of order book, how is our order book bifurcated in terms of oil, gas, and water, and also in terms of domestic and exports?
Neeraj Kumar: Domestic and exports. Order book for domestic is about 65 -35; exports 35, domestic,65. And you're looking for water versus oil and gas. Just one second. Okay, same. Around you can take it 70-30 broadly, or 70 -25, 5 leave it for industrial sector. The order book is also following the same pattern as our revenue.
Dhyey Desai: Correct, sir. That's very helpful. Also, sir, so in the exports market, where are we seeing demand from? Are we seeing it from the Saudi Arabia, so MENA region, or we are also seeing it from the export market?
Neeraj Kumar: Water segment, lot of demand from MENA. Oil and gas, also from MENA. So MENA regions...
Dhyey Desai: Are we seeing any demand thrust from the American markets?
Neeraj Kumar: American markets? No, no. We don't address the American market either in the DI, because they have a different socket design. And large dia going to America is a, we have a freight disadvantage. So American market is available to us only for our seamless a nd stainless, plus now with Hunting premium products, OCTG products. In large dia and DI, we don't address U.S. market.
Dhyey Desai: Okay, that's very helpful. Thanks a lot, sir. All the best for the future.
Neeraj Kumar: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to Mr. Vikash Singh for closing comments. Over to you, sir.
Vikash Singh: On behalf of PhillipCapital , I would like to thank Jindal Saw management for giving us the opportunity to host the call. And I would hand over to Neerajji for his closing remarks.
Neeraj Kumar: Thank you all very much. We are very encouraged by the kind of response that we are seeing from all the stakeholders. So thank you very much. We will continue our good work. We will continue the momentum. We'll continue to work hard. And hope to see you ne xt quarter. Thank you. Bye.
Moderator: Thank you very much, sir. On the behalf of PhillipCapital India Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

May 10 , 2024

The Manager BSE Limited
Listing Department P. J. Towers,
National Stock Exchange of India Ltd. Dalal Street,
'Exchange Plaza', C -1, Block -G, Mumbai – 400 001
Bandra -Kurla Complex, Bandra (E) Scrip Code : 500378
Mumbai – 400 0 51
Scrip Code : JINDALSAW

Sub. : Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Investor conference call on the financial results of the Company

Dear Sir /Madam ,

This is with reference to the captioned subject and our letter dated May 1, 2024 and May 8 , 2024 , the transcript of the conference call organized by the Company for analyst and investors on the audited (standalone & consolidated) financial results (Q4FY24) of the Company for the quarter/year ended March 31, 2024 on Wednesday, May 8, 2024 at 3:30 PM (IST) is attached and the same has also been uploaded on the website of the Company.

This is for your information and record please.

Thanking you,

Yours faithfully,
For JINDAL SAW LTD.,

SUNIL K. JAIN
COMPANY SECRETARY
FCS : 3056

"Jindal Saw Limited Q4 FY-24 Earnings Conference Call"

May 08, 2024

MANAGEMENT : MR. NEERAJ KUMAR – GROUP CEO & WHOLE -TIME

DIRECTOR , JINDAL SAW LIMITED
MR. VINAY GUPTA – PRESIDENT & HEAD TREASURY ,
JINDAL SAW LIMITED
MR. NARENDRA MANTRI – PRESIDENT & HEAD
(COMMERCIAL) & CFO , JINDAL SAW LIMITED
MR. RAJEEV GOYAL – ASSISTANT TREASURER , JINDAL
SAW LIMITED
MODERATOR : MR. VIKAS H SINGH – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Moderator : Ladies and gentlemen , good day and welcome to Jindal Saw Limited Q 4 FY24 Earnings Conference Call hosted by PhillipCapital (India) Private Limited.
As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Vikas h Singh from PhillipCapital (India) Private Limited. Thank you and over to you sir.
Vikas h Singh : Good afternoon , everyone. Welcome to Jin dal Saw con -call.
Today from the management side we have with us Mr. Neeraj Kumar – Group CEO and Whole - Time Director , Mr. Vinay Gupta – President and Head (Treasury) and Mr. Narendra Man tri – President , Head (Commercial) and CFO.
Without taking any more time , I will hand over the dais to Mr. Neeraj Kumar for his opening results. Over to you sir.
Neeraj Kumar: Good afternoon , friends . Mr. Raj eev Go yal, who is the Assistant Treasurer in Vinay 's team , he is also joining us and assisting us over the call.
Welcome friends to our annual investor call. This year is one more time a best result over the last year 's which was then the best ever results . So, we have now done twice in a row the best ever last year to top it up our best ever this year and on a few parameters , this year the result has been significant.
Let me just take you through the highlights of some of the numbers :
I will very quickly run through the numbers :
I am sure all of you would have seen the detailed note which has been circulated by all . To start with standalone first ; top line 18 ,233 crores , EBITDA 3 ,226 crores , PBT 2,188 crores and P AT 1,614 crores compared to last year top line 15 ,704, EBITDA 1 ,630, PBT 938 , PAT 715. So everywhere if you see it's a breakaway , it's a significant improvement. Likewise , if you look at the consol ; top line 21 ,126 this year as compared to last year 18 ,061, EBITDA 3 ,489 as compared to 1,857 last year , PBT 2 ,216 this year as compared to 745 last year , PAT 1,593 this year as compared to 452 last year. Similar significant trend.
One thing important to point out ; Jindal Saw contributes around 85% of revenue in the consol , 7% EBITDA , 7% EBITDA is by subsidi aries, so 92% and 2.5% EBITDA and subsidi aries contribute 1.26% of profit. So pretty much 98.75% consolidated profit comes actually from Jindal Saw . So, this gives us two clear indications. (A). The subsidiaries are all now positively

contributing but in comparison to Jinda l Saw they are still a relatively smaller player. Also , you would have seen , after the merger and the restructuring reorganization that we have done , we are pretty much left with now three major subsidiaries one JITF which is for the NTPC region. Otherwise , there are hardly any operations there. But we are just keeping the barges alive running . At breakeven we have an Abu Dhabi which is 100% now as allowed by the UAE government and we have US which is also 100% , so US, Abu Dhabi , JITF. JITF for legal reasons , these two being part of our core business , all known core businesses are out.
Also , if you look at the subsidiaries ' contribution 15% on top line , 7.5% of EBITDA and 1.25% of the profit indicates that the subsidiaries ' profitability is still lagging behind what we have in Jindal Saw. Jind al Saw actually if you look at the EBITDA margin , if you look at the PBT to sales , they all are now a breakaway. It is a breakaway from the trend that typically Jindal Saw was in a band. So , you can say now it is a reset Jindal Saw where we expect the EBITDA to be—earlier were expecting it in the ran ge of 1

5 , now we expect it will be in the range of —16-
17 because there are a lot of initiatives that is being taken on cost control , on cost reduction , on

innovation , on improvement , productivity. They are all now beginning to bear results. For example , now we have improved coke oven, we have improved the PCI which is a performance improvement in the blast furnace. And all these ti t-bits are adding to the improvement in EBITDA.

Stainless steel is slowly moving towards more value add. So , it helps improve again the margin. So, the margin Jindal Saw now it looks like has moved away from its original brand of 14 -15 into 16 -17. Another significant development that has happened and it has happened in spite of NTPC still to reach its fruition . The ROCE has improved. The ROCE is now in the range of 20. That is primarily because there has been a lot of management attention on managing the capital structure , the balance sheet items , the investments and all of those. Now if we look at the scenario where NTPC goes the way we are thinking it should go , once that comes then again, a very large chunk of investment from the balance sheet of Jindal Saw will go out. Plus , Jindal Saw will have a lot of cash. So that would further improve the profitability , the quality and the health of the Jindal Saw balance sheet. So , all in all it looks like we have entered a sweet spot. This should continue for some time.

Now turning my attention to a few other things :

The order book is a robust $1.5 billion , out of which export is 30% , domestic 70 %. Industry distribution if you look at , oil and gas roughly 30 % and water sector 64 %-65%, Industrial 4%. We expect the industrial sector to catch up and grow further as our stainless business grows. I am very happy to let you know that in our stainless , we have now successfully extruded 13 Chrome Inconel which are very exotic, and we would be the only one in the country who would be able to do that.

So, order book very healthy. We have a clear visibility of first order book execution capability , higher capacity utilization , improving on our yield and productivity. Plus , we have a very healthy

sales funnel. We do see a lot of opportunities coming in because we also are a firm believer that the government is going to continue. So , there would be a continuity of government and we expect that the momentum of in fra development where water sector is one of the key areas where the government is focusing that focus will continue. So next now 3 to 5 years we do have certain confidence , we have certain visibility of good performance moving forward.

The other area where a lot of attention has been given and I have been talking about it , quarter - on-quarter is our debt. If you see that debt seems to go down . March ‘24, we closed the total debt means working capital plus term loan 4 ,688 crores which included 1,000 crores that we had taken for the acquisition of Sat havahana. I am very happy to announce that this year , we are prepaying the entire loan of that 1,000 crores even though it was an acquisition funding long term. But now we have a strategy in pl ace where we want to prepay , already the prepayment has started April onwards and during this calendar year we would prepay the entire 1,000 crores , so this 4 ,600 would come down to 5 ,600, out of which the working capital would be say close to 2,000. So , debt is one thing and that is why if you see , yesterday when we declared our dividend , proportionately yes , there was an increase in dividend to 200%. But if you look at in terms of the proportion to profit , it was not there , primarily because as a company we believe that now is the time to conserve some cash , bring our debt down , bring down our interest costs and improve the image and the credibility with the banks , so that the organization is absolutely in good sha

pe ,

good form , fantastic relationship with all our banks , financial institutions cost competitive as I said, improved ROCE , improved EBITDA margin. So basically , now we are readying the company for the next big leap in terms of market capture , in terms of growth and in terms of strategy.

One thing that I must point out is that and we have briefly touched about , now the subsidiaries even though now they have turned profitable , there is some catch up that they still have to do. And also , there have been some extraneous factors. For example , if you look at the Abu Dhabi or for that matter US, the Q4 performance versus Q 3 performance there is a di p. The primary reason being you see the Israel area has become a hotspot which is kind of impacting Saudi , Iraq and others. So , the sentiment in that area plus this time Ramzan was in the month of March plus a few of our major projects in some of the countries , they had a delayed start. In US, a similar situation Q4 results being less than Q 3. But these are all temporary trends. We are seeing a trend reversal in Abu Dhabi and USA. So now we are confident this year , the subsidiaries even though they would continue to remain small in terms of the percentages but would begin to contribute more . The raw material prices if you see we expect them to move in a current band , iron ore between 100 to 120 but we don't import any . Domestically we are able to source iron ore at $80 , 5,000 to 6 ,000 which is a good thing for us and we expect we'll continue to do that. Coal will remain around 250 and that should continue at least for the next 6 to 8 months is what our understanding.

One thing that I wish to clear now to all my investors , if you see we had taken up enabling provision of a QIP of 1 ,000 crores. I had even said then that all our investors who take keen interest in Jindal Saw, please look at our management style in multiple layers. Getting an

enabling resolution is only preparing for different scenarios. That doesn't necessarily mean that we have a transaction on the cards. So , I had also said then it is only enabling , now we have surplus cash , we are prepaying even the debt of State Bank of India 1 ,000 crores and I can let you know that now it looks like the QIP may not happen. On the contrary yesterday we have taken again an enabling resolution from the board and we are going to take it to the shareholders 1,000 crores of a debt instrument. No w again please read it as the management thinking ahead , thinking in multiple directions , multiple dimensions to orient itself , adjust itself , have an elbow room , to move into different directions very quickly. Because in a developing market where now India is asserting itself to become a manufacturing hub. We have to be agile ; we have to be ready for plan A, plan B, plan C. So again , I am letting you know we have taken board approval. But again , please don't jump to the conclusion that we are going to rais e that money. It is an enabling resolution that we have kept. We are looking at how things are shaping up. We have been active in M &A, we have been active in capacity expansion , new markets , new products. So , we continue to remain focused , remain very vigilant and remain committed to doing good business , improving the fundamental health of the company all the time.
Moving forward ; if you look at the industry outlook I have already said , we only expect the Israel conflict should not spill over and should not disrupt the Middle East. It should not disrupt the Red Sea because that would impact our shipping to that part of the world. But for that at least India we see very healthy demand , in industrial , in water as well as in oil and gas. All three are doing very well . In industrial we are making a lot of effort to enter areas like space t hrough our stainless and chrome, oil and gas through o

ur premium connections throughout the JV JHESL.
The JHESL, JV is performing w ell. It's almost having its plate full capacity utilization.
Water as I have already said , it is on top of the agenda as far as the Government of India is concerned which is likely to continue. We do see that now with the new government where there should be continuity , we do expect a lot more alignment of thoughts , faster economic growth , a consistent economic growth and an all-round economic growth. Because the way the governments are coming up with the policy , the way they have set the target for 2047 even short - term targets , it looks like the government is going to be a bit more serious and come up with the economic policies which are much more aligned to growth. And that's all the good news for us because we are at the core of infrastructure development, and we will continue to be there. I think I have covered most of the high-level things that I needed to. Before I take questions , I would request some of the analyst s' participants , if you have a very granular nitty gritty question Mr. Rajeev Go yal is here. He is t aking notes. Just identify yourself and he would send you a mail because I may not have all the nitty-gritty questions readily available and we would rather like to answer you in full than to rely on my memory .
With that let me thank you all once again. Thank you for being with us. Thank you for being patient and I hope that now the capital market should be more aligned to the growth in our fundamental strength. We still believe that there is a lot of headroom because if you look at any of the other parameters which drives the market there is a lot of upside sti ll available. That is what we believe. Even when we look at our peers, we do feel that fundamentally we are much

stronger, and the market has yet to give us the full reward for what we have achieved over the last few years.
With that let me stop. Thank you all very much. I will be happy to take a few questions.
Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Riya from Equitas .
Riya: My first question is pertaining to the A bu Dhabi facility. So , I was asking in terms of a UA E sales volumes for the quarter. So , you're seeing a little decline and as per your opening remarks.
Neeraj Kumar: I have already explained, yes, the last quarter the sales volume declined.
Riya: However , in terms of order booking we are seeing some good growth there. So where is the demand coming in from there and when do we see the situation getting better?
Neeraj Kumar: I have already covered all those three questions in my opening remark but still let me repeat it again. Fourth quarter in UAE was lower than third quarter , the reason being Israel , Ramadan , some projects getting delayed. I have already said , Q1 there is a trend reversal and it should go back to where it belongs . This year again we do see that the overall volume should be higher

than what we have achieved last year.
Riya: And in terms of other civil companies , they are saying that in terms of water projects , basically for D I, they're seeing decline in the. So , are you seeing any such decline in the ordering activity in India specifically?
Neeraj Kumar: I don't know which companies you are talking about but anyway that's not important . On DI now we have Samag hogha, we have Haresamudram , we are running full capacity both, we are optimizing our capacity by adding the balancing equipments where the capacity will be enhanced by about 10% or so and we have our hands full. We are booked for most of the year.
Riya: In terms of expansion , in terms of peers we are seeing a lot of expansion plans announced by the companies and in FY25 or the start of FY26, new capacities are coming on stream. So , do you

think that would be a situation of overcapacity?
Neeraj Kumar: No. The way we see it is they are all good news. The more the merrier because in an oligopoly where if there are only few players , sometimes the market can get skewed. So , if you have more people coming into the market , it is always good news because anybody who makes an investment makes a very genuine assessment of a demand and that reconfirms our faith in our assessment of the future and the demand. Second , a late comer always has a huge disadvantage in terms of entry barriers. This is not an easy market. So , entry barriers , cost based advantage , already they have to deal with a build relationship that we have. So welcome competition but we are confident of ourselves and we don't see that as a threat anymore. I told you we are carrying

out a lot of initiatives where we are optimizing our cost of production which is already low even further.
Riya: In terms of cost , coking coal prices have gone down significantly. So , are we going to pass on the decreased raw material prices?
Neeraj Kumar: See, coking coal in our case will go down further because we are starting our new battery. If you have been following us , the last 2 years we have been working on getting absolutely brand -new coke-oven batteries. It is getting tested ; it will get operational this year. That will have a further impact on the improvement of the power that we generate which will have a cost saving because we don't sell power. But it does impact on the cost side. The cost of production will definitely go down. S o, it is going to have an impulsive impact. Now how much to pass on to the market is a market strategy , what is the price that is available in the market . But we definitely are making much more capable. We are making ourselves much more capable to deal with any new capacities coming in terms of our cost structure. Otherwise , as you have already seen , our EBITDA margin has moved into a higher band and shall remain there.
Moderator: We have our next question from the line of Shweta Di kshit from Systemati x Group .
Shweta Dikshit: My first question is , could you provide any details of contributions from the Hunting JV since it began commercial production last quarter? So , could you provide any number and outlook from the Hunting JV?
Neeraj Kumar: No, I think JV is a separate entity. When the results get published , consolidated you can get to see that. Now as far as we are concerned , as far as Jindal Saw is concerned, we have to have an arm’s length transaction. So , the price at which we sell our pipes to the market would be the same price at which we will have to give the pipes to the JV. The only benefit that we would have , it will be a large order , it will be an order next door and it will be an order where we will have consistency. So , we will have a portion of Jindal Saw ’s Nashik capacity on a very certain footing because of the JV. So , we have an advantage in terms of certainty , quantity , blockage and in terms of price it will have to be the same price . it has to be an arm ’s length price only.
Shweta Dikshit: So, you have previously mentioned that because this is a complete import substitution product and that would benefit you in terms of increase in seamless pipe volumes as well since that will be like everything under one roof kind of benefit. So , are we seeing that happening and could you throw some light how the seamless pipe sales have moved ?
Neeraj Kumar: The seamless , if you compare the previous year and the last year , last year there was a marginal dip but again this year we hope that it is going to pick up . But again , it will stabilize at a higher platform. What we are seeing is , Jindal Saw, 3 years back and Jindal Saw today , everything has moved to a higher platform where it looks like this is going to be the

new real for Jind al Saw .

Shweta Dikshit: My next question is , if we compare Y-on-Y basis we've seen a significant jump in volumes of around 34% this year. But going forward on the basis of better capacity utilization , what kind of

volume growth are we expecting next year?
Neeraj Kumar: This 34% is primarily one of the reasons has been addition of Har esam udram that is M &A. So , you don't expect 34% year -on-year every year . It would be more modest ; it will be more in the range of 10% to 15%.
Shweta Dikshit: My next question is on the debt side ; as you said that compared to peers , when we look at general saw there's a lot of headroom for growth in terms of shareholder returns etc. But what would be your take on the short -term debt composition because if we look at the overall debt , is our working capital requirement relatively higher than our peers and what could be the reasons behind that?
Neeraj Kumar: If you really look at a like to like comparison which we do , on a very granular basis my working capital cycle is the best in the industry. So , when you say like -to-like compare I don't know how you are able to do a like-to-like comparison because who is my peer with who m you are comparing my working capital ? When I do my individual working capital cycle segment wise which we do it for our internal benchmarking , we find it to be among the best. But I have repeated many times , I have explained many times , working capital the way our industry is structured , trade finance runs parallel to our operations and would be a function of the turnover. So, we have little control over how much of working capital that we need except for managin g the efficiency of the working capital managing the working capital cycle. Because the more the turnover , the more the export , the more raw material I have to block , the more LCs I will open , the more working capital I will use. So that's pretty much given . Term loan we are going to bring it down . Already if you see , my term loan today is less than 2 ,000. My EBITDA for the year is 3,200. So again , test it not just on aggregate amounts , test it on some of the performance parameters and then you would see th at we are very well within any kind of norm. We will pass any test on our debt control. You take either any ratio , take moving average , take debt coverage , you choose a parameter national , international whatever and on debt side , we will cross all benchmarks.
Moderator: We have our next question from the line of Darsh il Jhaveri from Crown Capital.
Darshil Jhaveri: My first question is , any other new M &A activity that's on our outlook currently that you know we are looking at? That was my first question. With terms of we are guiding maybe a volume growth of 10% to 15% , so any revenue guidance for maybe FY25 that you would like to give?
Neeraj Kumar: First M&A, nothing in the near future . Volume growth , I have told you . Price is purely market driven. I have already given you an indication that we expect the raw material prices to move in a band. That being the case , the top line also should move in a band subject to demand supply and opportunity. Beyond that it cannot be possible for me to give you any guidance on the revenue side.

Darshil Jhaveri: Just wanted to you know maybe ask you a bit more regarding like domestic , we are seeing a lot of growth happening and exports also , do we see the conflict escalating or you know maybe you know US also has its elections , so something that side we are seeing international we might have more pressure from the western part or any color on that , that would be great ?
Neeraj Kumar: So, US election has zero impact on Jindal Saw India. It may impact Jindal Saw US subsidiary. But that is so small in nature that overall , t

he impact would be marginal . The war escalating very difficult for me to take a second guess. Looks like Israel and Iran good sense have prevailed. But when it goes out of control probably your guess would better than mine.
Moderator: We have our next question from the line of Pradeep Rawat from Yog ya Capital.
Pradeep Rawat: My question is regarding seamless pipe division. Do we see any significant demand ramp up from the O CTG customers and what would be our outlook for the segment in the seamless division , particularly with respect to capacity addition from the competitors?
Neeraj Kumar: Let me explain. You have asked a lot of questions but just looks like it's modul ar. Let's start first with OCTG. Yes , there is a lot of demand . India , the emphasis on domestic oil production it looks like has gone up significantly. So , India is getting deeper into the wealth that they have and exploring a lot more. All this gives rise to OCTG demand. We are seeing a lot of demand increase even in the premium segment. So OCTG premium segment is going to lead the demand for pipes . There because of the Hunting JV we are the only one in this format in India. Some of the peers are trying to catch up by coming up with some structured solution but they still are far away from where we have arrived , where the JV is fully operational , it is next door and is supplying now premium connection OCTG pipes , tubes , casings. Very soon we will also start producing connectors. Connectors , essentially are what a coupling does to a lower diameter connector does to a higher diameter. So , the kind of product range that we will now this JV would be capable of doing , we stand a very good opportunity in the market.
Pradeep Rawat: My next question is , what is our seamless tube production capacity and by which method do we produce it , by extrusion or piercing?

Neeraj Kumar: We have both. Nagothane is extrusion but that is largely used for stainless steel and for the 13 chrome and all CRA grades. For mild steel in Nashik, we do penetration , so it is the piercing route that we follow. And then we also have in Nas hik a piercing come expansion route which takes it to a diameter of up to 16 inches.
Pradeep Rawat: And what is the production capacity of our seamless divisions?
Neeraj Kumar: In Nas hik, we have approximately 2.5 to 3 which we are optimizing and taking it up to 4. Nago thane is about 1.
Moderator: We have our next question from the line of Radha from B &K Securities.

Radha: My question was regarding the Abu Dhabi execution. So , this quarter our execution has been lower because of the reasons that you have mentioned. So how much finished goods inventory we have in our Abu Dhabi and what is the left-out orders in tonnage terms do you expect it to happen in 1Q and do you expect that the current quarter execution to be higher than 3Q FY24?
Neeraj Kumar: Q1 this year would definitely be significantly better than the Q 4 last year. The last year our total dispatch was approximately 2 lakh tons. This year we hope to beat that. We hope it will exceed. We have a full order book ; we have fully booked for this year as far as our DI facility is concerned in Abu Dhabi . Same is the case in India. In fact, in India and Abu Dhabi put together , we have roughly 1 million ton of capacity and an order book where we are booked for 12 months.
Radha: Secondly , we are seeing a lot of demand traction in the Helical Saw pipe in the overseas market , particularly for the water segment. So , can you please talk about the total opportunity size in the Gulf and MENA region with respect to these H SAW pipes and what is the total supply in that market and how much is imported in those regions? Out of that what is the opportunity size available for Jindal S aw?
Neeraj Kumar: Lot of questions you have packed in one. Let

me try and simplify it for you. When you said LSAW helical pipes , you need to correct that. L SAW is longitudinal submerged arc welded pipes. Helically submerged are welded pipes is called HSAW, if you use that acronym or it is called spiral pipes. Now spiral pipes are essentially large diameter pipes which are as the name suggests helically first formed and then welded along the seam. That's why it's called HSAW . Being large diameter, it is transp orted to and it is largely used for water sector. In some cases , it can also be used for oil and gas sector because now we also have the API grade helical pipes. That is possible. But you are right , largely it is used for the water sectors. Countries like Saudi , countries like Iraq , Jordan , they are a huge market for these helical pipes. Helical pipes have an inherent disadvantage that it cannot be transported over a very long distance because of the weight to volume ratio. And therefore , for us the export market on which we focus our spiral pipes , our Middle East and we go up to Spain etc . but not beyond that. Whereas our DI pipes from Abu Dhabi can go or goes up to Finland , up to Australia , up to Br azil all at the same time. So, this market is doing very well. Saudi as you all know is developing very fast and it is not just developing. Saudi is going through a transformation. A new capital city is being built , infrastructure is being built , the country is opening up. So those are all good news because then they want water line , they want desalination plant. So essentially in these areas , the spiral pipe demand is good. Only point of concern is a Middle East conflict if it gets blown into a full-fledge d war then there could be disruptions in the area.
Radha: What is the demand and supply in the Gulf and M ENA region for th ese extra pipe s, in terms of metrics tons…?
Neeraj Kumar: Spiral capacity in the region is hardly there. We and some of our Indian friends are the major suppliers of spiral pipe in the region.

Radha: Any Chinese supply in that region?
Neeraj Kumar: China slowly but surely it is getting isolated. The Europeans have started blocking their market to them. So far , we have not seen it happen in a very overt fashion. But slowly we are seeing that Chinese goods are not liked by most of the big clients. And I must tell you that the Chinese pipes , there's a lot to be desired on the quality. And our pipelines , they have a life of 30 -40-50 years. So , the moment you create even an iota of doubt and quality then just being the cheapest is not the best , doesn't necessarily make you the supplier of choice. We are beginning to see that happening in the market.
Moderator: We have our next question from the line of Gokul Maheshwari from Awriga Capital Advisors.
Gokul Maheshwari: I have a couple of questions. So , you mentioned very strong demand outlook in India as well as in the Middle East region. Can you comment on the US and the European regions demand conditions and whether we are in a position to address that market?

Neeraj Kumar: US is a very limited market for us. We don't sell any large diameter pipes ; we don't sell any DI. We do sell some stainless and we do sell some seamless but that too , it's a good export market to have. But overall , in percentages term it is small. Europe because of its sluggish growth , Europe can be a very good market for seamless again and DI. But because of the sluggish growth in the European economy at this point of time is not a booming or a growing market or a market with a lot of deman d. So , our focus is primarily on India and in export market Middle East.

Gokul Maheshwari: What would be the expected CAPEX budget for FY25?

Neeraj Kumar: We have not announced any major projects as yet. So , it will be normal CAPEX . In fact , most of our major projects that we had anno

unced like the Coke Oven B attery and all that is nearing completion. So , we expect the CAPEX spend s to be a modest 5 00-600 crores this year.

Gokul Maheshwari: Lastly just on the case against the NTPC while I understand the matter is sub judice but is it the just that it just keeps getting delayed or is there a resolution which is expected in the near term? If you could just give in a qualitative comment on, when do you expect this to get resolved?

Neeraj Kumar: There is some development and some insight that I can share with all of you. Now the matter is partly heard means the arguments have started. The opposite side has more or less completed all its arguments and the matter is partly heard with the judge. So n ow we can expect it to finish in the near future because once the matter is partly heard , then you cannot change the judge , you cannot change the roster and then there is a pressure that it must finish in a little time. So , this is a develo pment that gives us some hope that during this calendar year we should see some movement.

Moderator: We have our next question from the line of AM Lodha from Sanmati PM S.

A.M. Lodha: My first question is regarding the numbers only , usually in the march if I look at this quarter December to March, your operating profit. I am talking about operating profit. In the month of December , it was 988 and in the month of March it is 920 crore s only. Whereas in March (54.04)

Moderator: We have the line for the participant disconnected . Due to time constraint , this was the last question for today and I now hand the conference over to Mr. Vikas h Singh for closing comments.

Vikash Singh: On behalf of Phill ipCapital , I would like to thank Jind al Saw management for giving us the opportunity to host a con-call for you. I will hand it over to Mr. N eeraj Kumar for any closing remarks. Over to you sir.

Neeraj Kumar: I wish to thank all our investors for taking keen interest. Please continue to remain connected. If you have any other questions send it on a mail to Raj eev Go yal. We will be happy to respond. We do assure you that we will continue our good effort to create value for all our shareholders , stakeholders. Thank you very much.

Moderator: Thank you. O n behalf of PhillipCapital (India) Private Limited . that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

August 02, 2024

BSE Limited National Stock Exchange of India Limited,
Corporate Relation Department Listing Department,
1st Floor, New Trading Ring Exchange Plaza,
Rotunga Building Phiroze Jeejeebhoy Towers Bandra Kurla Complex
Dalal Street, Bandra (East)
Mumbai - 400 001 Mumbai – 400 051
Stock code: 500378 Stock code: JINDALSAW

SUB.: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Investor conference call on the financial results of the Company

Dear Sirs,

This is with reference to the captioned subject and our letter dated July 24, 2024 and July 31, 2024 , the transcript of the conference call organized by the Company for analyst and investors on the Un-audited (standalone & consolidated) financial results (Q 1FY25) of the Company for the quarter ended June 30, 2024 on Tues day, July 30, 2024 at 4:30 PM (IST) is attached and the same has also been uploaded on the website of the Company .

This is for your information and record please.

Thanking you,
Yours faithfully,
For JINDAL SAW L TD.,

Sunil K. Jain
Company Secretary
FCS- 3056

"Jindal Saw Limited Q1 FY 2025 Earnings Conference Call"
July 30, 2024

MANAGEMENT : MR. NEERAJ KUMAR – GROUP CHIEF EXECUTIVE OFFICER & WHOLE -TIME DIRECTOR , JINDAL SAW LIMITED
MR. VINAY KUMAR GUPTA – PRESIDENT & HEAD TREASURY , JINDAL SAW LIMITED
MR. NARENDRA MANTRI – PRESIDENT (HEAD COMMERCIAL) & CHIEF FINANCIAL OFFICER , JINDAL SAW LIMITED
MR. RAJEEV GOYAL – VICE PRESIDENT , GROUP CORPORATE FINANCE & TREASURY , JINDAL SAW LIMITED
MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Jindal Saw Limited Q1 FY '25 conference call hosted by PhillipCapital (India) Private Limited .
As the opportunity, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vikash Singh from PhillipCapital (India) Private Limited . Thank you and over to you, sir.
Vikash Singh: Good afternoon, everyone. I warmly welcome everyone on Jindal Saw Q1 FY '25 Results con-call. From the Management side today , we have with us Mr. Neeraj Kumar – Group CEO and Whole -Time Director; Mr. Vinay Kumar Gupta – President and Head (Treasury); Mr. Narendra Mantri – President, Head (Commercial) and CFO; and Mr. Rajeev Goyal – Vice President, Group Corporate Finance & Treasury.
Without taking any more time, I will hand over the Call to Mr. Neeraj Kumar for his opening remarks. Over to you, sir.
Neeraj Kumar: Thank you, investors. Today, what I propose to do is probably I will keep my initial introduction a little short and would take more questions.
My only request to all the participants is, please keep all your granular level questions for the side that may not be relevant to the entire audience because where I would like all my stakeholders, all the people who are on the call, who are taking interest in Jindal Saw , to look at the broader picture on where we came, or where we arrived, 31st March, '24, and what is the journey now we have set ourselves up for. And therefore, after my initial observations or comments on the 1st Quarter , I would like to spend some time giving you that broader picture, and then I will stop to take some questions.
Also, I would request the moderator that it is 4:40 now, let us have a hard stop at 5:15, because today we also had the General Hunting Board meeting, and the Chairman, Hunting Global Chairman, is down here from U.S., and therefore I need to spend some time with him. So, 5:15 we will put a hard stop for today's discu ssion . But obviously, we will be available , we can always exchange mails, have another round of discussions with others.
So, with that, this quarter, standalone, we ended up with a topline of Rs. 4,417 crores, an increase of 15%. Straight away I am jumping down to EBITDA, Rs. 842 crores, as compared to Rs. 614 crores, 37%. PAT, Rs. 446 crores, as compared to Rs. 279 crores, 60%. Look at the trend ; topline, 15%; EBITDA, 37%; profit, 60%.
Together, let's look at the consolidated :

Rs. 4,985 crores as compared to Rs. 447 crores, 12%. EBITDA, Rs. 885 crores as compared to Rs. 645 crores, 37%; PAT, Rs. 416 crores as compared to Rs. 245 crores, 70%. So, the trend is similar at both places.
And if you see the cascading, something that I have been mentioning many a times, that the company is consciously moving towards value -add, that's beginning to show up . And we are consistent in showing this up. As I said, 31st March, '24, was best ever after a best ever. So, the previous year was the best ever, then we achieved the best ever. It looks like now we are in line to do it three times in a row, this should be, again the best ever, one more benchmark that we will set for ourselves. Plus, if you s ee the EBITDA -to-sales ratio has also moved, improved upwards. So, this is on the performance.
The other important aspect that also I would like to point the attention of my stakeholders, shareholders, to the debt on a standalone basis, June 30th, March 31st, Rs. 3,200 crore has gone up to Rs. 3,900 crores, primarily because the term loan has c

ome down from Rs. 1,760 crores to
Rs. 1,400 crores , but the working capital has gone up from Rs. 1,500 crores to Rs. 2,500 crores , primarily because now we are building momentum , we are preparing for a better execution throughout the year , we are making sure th at the commodity prices are moving within a reasonable range, so we lock it. And therefore, there is a reasonable indication, the way it is looking, we can see in the 1st Quarter itself that this year is likely to be, again, probably a new benchmark for best ever.
Now, look at the larger picture :
Continuity in governance is there, even though this is not an absolute majority government, but nothing is showing the government or indicating that the government is becoming weak, that the government has become compromising. Obviously, they are doing a f ew things that they need to do to keep everybody happy, but slowdown or weakness or getting pulled in different directions

is not indicated. Look at the capital spent for allocation for the budget, Rs. 11 lakh -odd crores. That's music for us. A lot of thi ngs that the budget has indicated is all music for us , and we are also seeing all of those translate into ground. So, the first big picture, continuity and continued focus on infrastructure.

Second , important, our entry in premium segment, we are absolutely running full capacity. I would be very happy to let all of you know I just attended the 1st Quarter Board meeting of the JHESL joint ventures. They are profitable in Q1 itself, operating at a capacity of more than 80% , 85%. In fact, this time the Board was interested in even looking at what else we can do to cater to the market. So, this JV may have, the Board has assigned the responsibility to a small team constituted , the Board may have t o look at some proposals and there could be some announcements. So, a team has been constituted to look at it.

Because see, the order book is pretty full for the rest of the year , productivity is good, projection has come down to less than 2%. So, on all parameters, all boxes are beginning to get ticked.

Likewise , in stainless , we have started instrumentation tube, huge high value, good market and we

are beginning to do that. We are also looking at a few other value -add. So, those businesses are beginning to provide value to the company.

Sathavahana again has turned profitable, very high capacity. We are doing de -bottlenecking, where the capacity is going to go up by 10% , 20% at least. We are creating a special niche for lower diameter, which has a very high demand and high value. Also the export unit is being looked at, because they have some special requirement of quoting , etc. So, all these new areas, where the company has gone in , are all beginning to do well, or they have already started doing well.

Our traditional business, we continue to do a good job in terms of quality, delivery, service. Demand is already there. We have a very healthy order book. If you see at this point of time, the order book continues to grow. Whatever we had for quarter, we have added something more to it and the execution is also healthy.

So, on all fronts Jindal Saw is doing reasonably well as is expected and we are committed, we will continue to stay focused.

So, with this, let me thank all of you for your interest. I keep on saying this, all of you had to be a lot patient . But now we are happy that we are doing well and also we are being seen as doing well, which is reflected in the market cap. The rating agencies, the banks, everybody is with us and they are appreciative of all our great effort that we have had, the whole te am has done over the last one year.

So, let me stop here . Thank you very much. Let me take a few questions.

Moderator: Thank you. We will now begin the question -and-answer session. Our first question is from the line of Deepak from

Unifi Capital. Please go ahead, sir.

Deepak : Sir, congratulations on a good set of numbers. S ir, my first question is on the business split between water and oil and gas, both for India and the UAE subsidiary.

Neeraj Kumar: Sorry, could you repeat your question, please?

Deepak : Sir, I would want the business split between oil and gas and water in our Indian business.

Neeraj Kumar: Business split between o il and gas and water, just give me a second. This is the order book. Order book, I would say, oil and gas is about 30% , 35%, water is rest. The industrial sector is a very small. So, 70% is water , 5% is others, and the rest is oil and gas.

Deepak : And what would be the split in the UAE subsidiary between oil and gas and water?

Neeraj Kumar: Again, probably you are not very audible. What is the split between?

Deepak : In the UAE subsidiary, what will be the oil and gas and water split?

Neeraj Kumar: No, UAE is only water. It is only a DI facility. UAE is 100% DI, only water . And they are also doing well. This year they should hit a good capacity, more than 2 lakh tons for sure.

Deepak : Sure, understood. Sir, I had a broad question on the water infrastructure today. So, we understand that Jal Jeevan is doing well for our DI pipes capacity, but the SAW pipes, which is at lower utilization today for your company and the entire industry. And it's a state affair where we cater to irrigation projects, to smaller river -linking projects. So, is the dynamic there on the demand side changing significantly, which is giving us some sense of secularity in these order books? So, just needed som e input from your side on the SAW pipe demand for water.

Neeraj Kumar: Okay. Is SAW pipe demand getting sluggish? No. Are we worried that it is having a hard landing? No. Sometimes there are some spacing that happens in between tenders , and therefore you may have some small bumps, but definitely it is not a trend and at least we are hopeful. The way I see it, at present we have more than 6.5 lakh tons of order for large diameter pipes, and it does not

show that we are going for typical .
Deepak : Sir, has anything changed on the macro side which is giving you this confidence that nothing will go bad? From the state governments, I mean, is there an understanding that the infrastructure has to be built up? Is there any sort of color that you can give on this?
Neeraj Kumar: Government of India has come up with, I would say, a balanced scheme, where most of these projects of great importance, they participate, but their funds get released only if state s bring in their contribution. Now that, in a way, forces the state to match the contribution, otherwise they run the risk of losing that budget allocation. And that is making sure that the projects are on track, the investment is on track. Only state government projects are not very ma ny. And therefore, our focus is largely on projects which are funded by multilateral agencies and projects, which are either center or center -state partnership. Because there we are seeing the progress, the allocation, everything is better than just solely state -managed projects . But some states, again, are doing well there as well.
Deepak : Sir, in our export business, what is driving that , is it oil or is it water? And if you can explain which geographies and what is the macros in the export division?
Neeraj Kumar: See, export at this point of time, we are maintaining almost 70 :30 ratio, which is a good, sweet spot for us. Export , largely water sector goes to Middle East; oil and gas, we do across the globe . Because water sector , the pipes are of very large diameter, so there is freight kind of limits the distance that we can take those pipes. In DI, we do not export much because we have our Abu Dhabi facility. And exports are largely my LSAW and HSAW , HSAW primarily towar

ds Middle
East; LSAW, oil and ga s all over the world.
Deepak : And sir, since you are getting good orders and there is some bit of visibility, which is better than the past, any CAPEX that you seem to be requiring for the business ? At least in the DI pipes where we are running at 100% utilization any big CAPEX apart from the debottlenecking?

Neeraj Kumar: No, we have not announced any project as yet. See, when the company starts doing well, and we are at this point of time conserving capital within the company, therefore the dividend distribution, we have improved, but still probably people would have expected more, primarily because we are trying to conserve money, building reserves, and keeping ready. So, we are exploring possibilities, but no project has been announced as yet.
Deepak : Sir, one last question from my side , you mentioned that the loans have gone up and the debt you have taken to lock in raw material prices. So, how many months of coking coal or steel have you locked in for our project requirement?
Neeraj Kumar: See, coking coal, we normally get four shipments a year. And we like to keep one ship on the sea, more than one and a half ships in the yard, so that we do not have any disruption. And as far as the steel is concerned, we do not block steel like this. We keep steel which is project wise. So, steel manufacturing or steel storage raw material is project wise , we try and lock in for the entire project because a lot of our project revenues are fixed revenues. Therefore, not to get into the trap of a moving commodity price, we try and book for the project. Coal, as I told you, or bulk, sometimes iron ore or coal, whenever we import, we try and maintain a cycle, one ship in the sea, at least one ship in the yard, that's how it works.
Deepak : Understood, sir. I have more questions to ask, but I will just join back in the queue. Thank you, sir. Look forward to meeting you. Thank you.
Moderator: Thank you. Our next question is from the line of Radha from B&K Securities. Please go ahead.
Radha Agarwalla: Thank you for the opportunity and congratulations on very good results. Sir, my first question was on the stainless -steel side. So, two years back we had estimated that on the stainless -steel front we could do an EBITDA of Rs. 300 crores. So, where are we in terms of stainless -steel now? And when can we reach our full potential?
Neeraj Kumar: Madam, probably you are new to our call , we never discuss segmental EBITDA on any investor call. We have only two business segments , one is pipes, which is the entire range of pipes and pellets. But that, again, is only for the purpose of tonnages. EBITDA, segmental EBITDA, we do not discuss as a matter of principle for the company.
Radha Agarwalla: Sir, actually, we stopped bifurcating from 1Q FY '24. So, I was talking prior to that --
Neeraj Kumar: Madam, please appreciate , I know not having a segmental EBITDA, sometimes the analyst may find it a little difficult. But please appreciate , since you are interested in this company, if I am giving you a 19% EBITDA -to-sales margin, please understand , as a stakeholder I am protecting your interest. And this is a USP which we have, which helps us do many things in the business in terms of pricing entry that others are not able to do. And therefore, allow us to maintain this USP that we have, so that we continue to create value for our stakeholders.

Radha Agarwalla: Okay. S ir, if we can understand at least in terms of the capacity size , how much of the 30,000 metric ton would be welded and how much would be stainless ? And previously, you had also mentioned that we have both hot extrusion as well as piercing.
Neeraj Kumar: Hold, madam. Let me just be with you on the number. You mentioned 30,000, where ? Where is 30,000?

Radha Agarwalla: Stainless steel, metric ton capacity, capacity, sir.
Neeraj Kumar: Capacity of SS, where did you get this 30,000?
Radha Agarwalla: From the annual report, sir, historical annual report.
Neeraj Kumar: Historical annual report, madam, I do not remember. And since I do not remember, I would not like to speculate and give you a speculative answer, because stainless -steel, okay, let me at least give you a sense of what our stainless -steel business is. Our stainless -steel business is distributed in three locations and that's why I am surprised where did you get this capacity from. It has got three locations , Nagothane is extrusion . Samaghogha is welded, large dia going up to 70 inches in diameter and pilgering for large diameters. Kosi is the sophisticated small diameter welded as well as seamless.
Now, if you look at my large diameter, the 70-inch stainless -steel pipe that I can make, if you talk about the capacity, it has a huge capacity. But there is no point in talking about that capacity because that kind of utilization , at least at this point of time or in the near future , we do not even expect. Also, whatever gets extruded in Nagothane can either be sold directly into the market or can come to Samaghogha and Kosi for further processing.
So, again, the extrusion capacity and the capacities at Samaghogha and Kosi, would you treat it as one integrated or are they separate capacities? Because Nagothane also has a market and also supplies to these. See, there is a reason why we do not declare all this, reason we do not put it out in the market. Because eventually as an analyst I would be putting you on the wrong path, because you will not have these finer points and therefore you will go wrong. See, Nagothane can feed both Kosi as well as Sama ghogha and it can also straight away hot finish goes into the market. So, any indication about any of the equipment capacity, this absolutely will mislead you for the capacity of my entire SS business. You get my point?
Radha Agarwalla: Yes, sir. Okay, understood. Sir, next question is on the --
Neeraj Kumar: But hold. Largely what we are going to achieve in our stainless -steel this year would be somewhere around between 20,000 and 25,000 metric tons of stainless -steel welded and seamless would be in the market or would be sold in the market. That much at least I can tell you, which will be a combination of all these capacities that I have at all over the place.
Radha Agarwalla: Okay, sir. That's very helpful. Thank you, sir. Second question was on the Hunting front. So, the press release mentions that we have 70,000 capacity. And I understand that this is an import

substitute product , so could you mention what is the industry opportunity size in India and our expansion plans, if any, on this?
Neeraj Kumar: Roughly, OCTG annually $200 million are getting imported per year, putting ONGC, Oil India, Reliance, Vedanta, all put together $200 million. At this point of time, our facility, as I already said, is more than 85% plus utilization. We are catering to a few segments of ONGC, 100%, especially the casing, etc. Tubing, they still have more, plus on the east coast there is some import, which is happening still. But we are likely to prepare ourselves such that we make India aatmanirbhar in OCTG mar ket is something that we have discussed in the Board and we would work towards it. Let us see this committee of experts, once they come up with a report, what does it say .
Radha Agarwalla: Sir, what is the current realization from these products, average?
Neeraj Kumar: Average realization of what?
Radha Agarwalla: Of the product that will come from Hunting.
Neeraj Kumar: Again see, the kind of question that you are asking, I do not want to mislead you. The grades that I supply to ONGC is Rs. 13 crores , Rs. 13 crores is Rs. 6 lakh

a ton. I supply Q1 '25, which is
probably Rs. 3 lakh a ton. And we also do some P110, and we also do some other lower grades, which will be in the range of Rs. 2 lakhs. So, tell me what NSR should I give you ?
Radha Agarwalla: Sir, on the basis of sales that we have booked this quarter, so just wanted to understand average realization of what it would be, the product, which depend on that.
Neeraj Kumar: I gave you the range and , again , if I do not want to, because these are all getting recorded. Suppose this is all tender -based business , I give you my last quarter average at a certain, because it is a combination of these three in a certain proportion. Next quarter the proportion changes because the tender changes. Next quarter if you ask me the same question, I will have to give you a separate ,

different answer . And then you will say, okay, why there is a disconnect between these two ?
Because my product mix has changed. See, today what Jindal Saw is focusing on , a full range . In fact, today we were talking about Super 13 Chrome, which is Rs. 15 crores , because now we are successfully Rs. 13 crores, so we want to go to Rs. 15 crores and we also do the basic carbon sales --
Moderator: Yes, sir. Riya ma'am, please go ahead.
Riya : Thank you for giving me the opportunity. S ir, in Sathavahana we are seeing huge demand coming in and we had also said that a new CAPEX will be coming in next year, so when around next year we will see this coming?
Neeraj Kumar: What? Coming what?
Riya : Sathavahana, incremental.

Neeraj Kumar: Sathavahana, ma'am, we already have a very healthy demand, we are operating at 80 -80 plus, this year probably we will cross 2 lakh tons of supply for sure . We are now de -bottlenecking there by just making sure that all the balancing equipment is there. We are trying to maximize everything around the hot metal, because we have a blast furnace which has a certain capacity.
Riya : Yes, sir I was actually talking about the debottlenecking only, and the incremental --
Neeraj Kumar: So, that will be 2.5 lakh tons; it will take the capacity to upward of 2.5 lakh tons. We are currently operating at 2 lakh tons -plus already. It's doing well, so that's the headroom for next year, probably, we will be at 2.5 lakh tons.
Riya : And in terms of the order book, $1.6 billion, what volumes are there in totality of those all your sites?
Neeraj Kumar: You are talking about what ? Tonnage you are talking about.
Riya : Yes, tonnage.
Neeraj Kumar: That's about 16 lakh tons.
Riya : And in UAE, what kind of export geographies are we looking at, is it mainly Middle East and --
Neeraj Kumar: No, in UAE the market is, we have gone right up to Norway, we give them those special planet pipes which is used in very winter conditions . In the West, we go down as far as Brazil, Chile . In the East, we go down and as far as Australia. Because our DI facility in Abu Dhabi is very versatile, it can do double chamber, it can do diameter up to 2.2 meters, which is a unique thing. In India, we can do only 1.2 meters . In Abu Dhabi, we can do 2.2 meters , and therefore we have a very wide -- if I remember correctly, probably over 30 countries for sure, probably we have put our products from Abu Dhabi has gone to at some point of time over 33 countries.
Riya : And in terms of tonnage, how much would be there from UAE, in terms of order book?
Neeraj Kumar: This year we should cross 2 lakh tons for sure.
Riya : Okay. So, the order book has 2 lakh of tonnage?
Neeraj Kumar: The order book is more. I am talking about annual , this year we should do more than 2 lakh tons of dispatch.
Riya : And the order book is $251 million for how much tonnage?
Neeraj Kumar: That is 2,25,000 tons , order book is $251 million. We will cross 2 lakh tons this year for sure. So, this year my revenue should go beyond $200 mi

llion for sure.

Riya : Right . And in terms of execution, so basically a lot of water EPC players are saying they are seeing slowdown in the ordering or the execution happening. So, are you seeing similar trends in domestic particularly?
Neeraj Kumar: This is just tender -specific, because budgets have been announced or budgets have happened just now, which should happen in February, but because of the elections. So, many of the state governments or many of the projects are yet to get their budgetary all ocation. So, it's a temporary blip. We hope that there will be a catch -up, because we do not see a downward trend in the water infrastructure . But this temporary blip is only because of the budgetary allocation getting delayed by a few months.
Moderator: Our next question is from the line of Hitesh from ULJK Securities. Please go ahead.
Hitesh Chaudhari: Sir, as the business is tender -based business, so what type of benchmarks are taken to set the prices of pipes?
Neeraj Kumar: What kind of , a benchmark means what?
Hitesh Chaudhari: Means to set the prices for tender, so how do you set the prices of pipes.
Neeraj Kumar: Boss, I am really sorry, do you want me to discuss my pricing strategy on an investor call?
Hitesh Chaudhari: No.
Neeraj Kumar: Probably then I can't help. I do not get you. What is the margin? How do I set my prices? What do

you expect me to say?
Hitesh Chaudhari: Yes. I mean, what index do you take to consider setting those prices?
Neeraj Kumar: Without giving you any numbers, I will give you the concept. We take raw material price, we build it up to landed price, we add for the time value for money, we add for the minimum profit that we require, and then we add or subtract the strategic value, because as I told you, and that's why we do not discuss EBITDA anywhere . Because suppose if I must win this, then maybe my strategic input could be reducing this a little bit. If I want to scheme, then the strategic input will be adding a little bit. So, once I stack up all this, I get my price. But obviously, do not expect me to discuss my pricing strategy on which tender, how do I fix my price .
Moderator: Thank you.
Neeraj Kumar: Thank you . Moderator, probably the time I had set for this call is up , so would you please thank everybody on my behalf? And I would like to assure all my stakeholders that we will continue to do well , we will continue to create value. We are all the time looking at businesses very carefully, costs very carefully, markets very carefully. So, with this, hope to see you all next week. Thank you all. Thank you very much. Sorry, next quarter. So, hope to see you all next quarter. Obviously,

most of you are free , all of you are free and welcome to connect with Rajeev Goyal and his team for any other specific questions and answers. So, thank you all. Thank you very much. Bye.
Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2024

October 23, 2024

BSE Limited National Stock Exchange of India Limited,
Corporate Relation Department Listing Department,
1st Floor, New Trading Ring Exchange Plaza,
Rotunga Building Phiroze Jeejeebhoy Towers Bandra Kurla Complex
Dalal Street, Bandra (E ast)
Mumbai - 400 001 Mumbai – 400 051
Stock code: 500378 Stock code: JINDALSAW

SUB.: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Investor c onference call on the financial results of the Company

Dear Sirs,

This is with reference to the captioned subject and our letter s dated October 15, 2024 and October 21, 2024, the transcript of the conference call organized by the Company for analyst and investors on the Un- audited (standalone & consolidated) financial results (Q 2FY25) of the Company for the quarter ended September 30, 2024 on Monday , October 21, 2024 at 11:00 A M (IST) is attached and the same has also been uploaded on the website of the Company .

This is for your information and record please.

Thanking you,
Yours faithfully,
For JINDAL SAW L TD.,

Sunil K. Jain
Company Secretary
FCS- 3056

“Jindal Saw Limited

Q2 FY ‘2 5 Earnings Conference Call ”
October 2 1, 202 4

MANAGEMENT : MR. NEERAJ KUMAR – GROUP CHIEF EXECUTIVE
OFFICER AND WHOLE -TIME DIRECTOR – JINDAL SAW
LIMITED
MR. VINAY GUPTA – PRESIDENT AND HEAD,
TREASURY – JINDAL SAW LIMITED
MR. NARENDRA MANTRI – PRESIDENT , HEAD,
COMMERCIAL AND CHIEF FINANCIAL OFFICER –
JINDAL SAW LIMITED
MR. RAJEEV GOYAL – ASSOCIATE VICE PRESIDENT ,
GROUP CORPORATE FINANC E AND TREASURY –
JINDAL SAW LIMITED

MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL INDIA PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Jindal Saw Limited Q2 FY '25 Earnings Conference Call hosted by PhillipCapital India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on you r touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikash Singh from PhillipCapital India Private Limited. Thank you, and over to you, sir.

Vikash Singh: Thank you, Steve. Good morning, everyone, on Jindal Saw 2Q FY '25 Earnings Con Call. On the management side, today, we have with us Mr. Neeraj Kumar, Group CEO and Whole -Time Director; Mr. Vinay Gupta, President and Head Treasury; Mr. Narendra Mantri, Pres ident Head Commercial and CFO; and Mr. Rajeev Goyal, Vice Pre sident, Group Corporate Finance and Treasury.

Without taking any much time, I hand over the call to Mr. Neeraj Kumar for his opening remark. Over to you, sir.

Neeraj Kumar: Good morning, investors. Good morning, friends, and other stakeholders who have dialed in to this conference. Last week, towards the end, we had our Board meeting. We have announced our September ending results. On a stand -alone, we have INR4,790 crores as a top line as opposed to INR4,417 crores trailing quarter . Last year, second quarter, September end was INR4,611 crores.

Now if we look like this, it looks like we have hit up plateau, where more or less between INR4,500 and INR4,700 crores of top line quarter -on-quarter is what is indicating here. But if you compare half year to half year, this half year and the last half y ear, then the growth trend continues. Going forward, we definitely expect that the turnover would be in this range, maybe a little modest growth but will be in this range.

Now turning our attention to EBITDA. For this quarter, we have declared INR875 crores as opposed to INR842 crores trailing quarter, INR751 crores corresponding quarter last year. Half year basis, INR1,717 crores for this half year. Last half year was INR1 ,364 crores. So, if we compare the quarter -on-quarter results, you will see a marginal dip in the EBITDA percentage even though there is a modest increase in the top line.

The primary contributor being higher steel prices. The coal price is stable, is moving in a band, but the steel prices have shown a certain increase. Also, when we look at the mix of the revenue. Earlier, we had achieved higher percentage of exports as co mpared to this quarter. So, the combined impact of this is that on an aggregate basis, the EBITDA has grown but in percentage terms, you will see a slight dip.

Going forward, we expect this trend to continue. We are hoping that the steel prices will stabilize. And if that happens, then we may see that we may go back to the original close to 19% EBITDA margin.

One thing that seems to be very clear from this result, that in the last 2 years, there is a clear break from the EBITDA percentage, which used to be around 12% to 14%. Now we are in the range of 18% to 19%. We are likely to continue there for at least a few quarters. Then depending on the new product that is being developed, the new industry segment that we are trying to enter, we may see a higher percentage margin.

Otherwise, if you look at the other important factors, the financial expenses are well within control. There has been a reduction in debt after the declaration of the 30 September results. We have also repaid a large tranche of the term loan. So, in the n ext quarter, you would see a further reduction in debt.

As I have always been saying, working capital debt is also a function o

f the turnover. So we expect the working capital debt to be in the same region. But in term loan, you will definitely see a reduction because we have paid a large tranche of term loan after September. That's already paid.

Going further down, PBT, again, INR625 crores for this quarter, INR601 crores the trailing and INR478 crores for the last. Half year, the gap is larger because as I said, now we appear to be on a very stable high plateau, which we hope to maintain for the next quarter or two. But this has come after many quarters of very healthy growth.

PAT is a function of how the tax is behaving. So INR477 crores, INR446 crores and INR351 crores correspondingly for this quarter, trailing quarter and the corresponding quarter last year. Half year, we are at INR923 crores. Last year, half year, we were a t INR630 crores. So, there is a definite improvement in the financial statement.

If you look at the debt side, if you look at the profitability side, except for the factor of increase in steel prices, which has got the EBITDA percentage to sales marginally down.

The other major item of the balance sheet debt is well within control. If you look at the debt in correspondence with the level of activity, the level of top line and others, it shows a further improvement, and this is likely to continue.

Turning our attention to the consolidated. It shows a similar trend. It gives us comfort that even the subsidiaries have now stabilized in their performance. They all are contributing at all levels, right from EBITDA down to PBT level. PAT, there is a marg inal difference because the tax incidence in those countries is a little more. So until PBT, the subsidiaries have also contributed.

Looking at the current order book, looking at the current market scenario is likely to continue.

One caveat, Middle East. If Middle East goes out of control because of Israel -Iran, Israel -Yemen, then when we may see some disruption in the transportation th rough the channels. But we hope that we don't get to see that situation, but that is out of our control. And if that happens, then we will have to definitely bear the consequences as the entire world would bear.

Looking at the order book, stable position, 1.6 billion. As I have already said, the export, as a percentage of total revenue has come down. There are a lot of international transactions, which are in the pipeline. International contracts are in the pipeli ne. And we hope to catch on the export

percentage because the sweet spot for our export domestic mix is above 20%, 25%. And we are happy if it goes up to 35% to 40%. So that's a sweet spot.

Currently, we are below that sweet spot because, a, the export market -- lot of projects have just been completed. New projects are in the pipeline. Domestic, we have seen a lot of growth on the infra sector in India, leading to a lot of contracts, profita ble contracts in the domestic market.

The debt, just to go over the figures. Currently, it stands at long -term debt, INR1,185 crores. Working capital, INR2,226 crores, which is total INR3,411 crores as compared to INR3,992 crores of the June quarter. This trend is likely to continue. Working c apital would be dependent on how the working capital is utilized.

One reason that we are seeing a decline in the working capital is also because now the export orders have been finished. So export orders typically tend to have higher working capital cycle. And therefore, the working capital utilization is typically highe r when you compare it with the domestic orders.

On the consolidated basis also, the trend continues. But it's a much sharper trend as opposed to INR4,585 crores for this quarter. Last quarter, it was INR5,475 crores. So there, you see the gap is higher, primarily because the overall debt scenario is imp roving both on the long -term side as well as on the working capit

al side.

So to sum up our first segment on the financial results. Jindal Saw along with its subsidiaries have reached a stable platform, which is high after quarters of -- a few quarters of high growth. We expect it to stay there for the next quarter or 2. Then we definitely see a spurt because our export basket will improve. Some new products are getting introduced, higher -margin products are getting introduced.

And definitely, after 1 or 2 quarters of stable performance or a modest growth performance, we will definitely see further growth. That is what our expectation is. That is how we see our performance going forward.

Now changing our focus to the other factors which impact our business. The business environment is good, both in the export segment as well as in the domestic segment. Demand is good, stable because of the continuity of the government, the projects are continuing , even though we are seeing a little plateauing in the Jal Jeevan Mission.

The state -level projects which are also being funded by the multinational agencies, that is on an increase. So that more or less compensates the water segment, where the Jal Jeevan Mission is seeing a little plateauing. The state -level projects are seeing an upward trend. Most of the states are now catching up on this water infra focus.

Oil and gas continue s to be robust. India's focus on oil and gas is improving. Now the East Coast is also catching up. Earlier, it was more in an exploratory stage. Now they have reached a stage where they would start getting into the production stage. That has given rise to d eep-sea drilling and deep -sea development of wells, which is good news for our higher -grade pipes and tubes, also premium connections . Because typically, the deep -sea drilling, the deep -sea well development needs premium connection, coupled with higher grade of pipes and tubes. So, oil and gas is good.

Pellet, we continue to be stable. We continue to run at a very high capacity. And that trend is continuing. Industrial sector is showing a robust growth where now with our seamless and stainless, we are addressing that, and we are entering new segments. We are also focused on defense, nuclear atomic and other segments, which typically tend to be of higher margin.

Internationally, also, we're seeing in all sectors, industry, oil and gas and water, the demand is robust and is growing. We may enter the U.S. market with our new products in the seamless and stainless. That would be an area of growth in the export market , which in tonnage may appear to be modest, but in margins, it is likely to be high -margin business.

That we have already spoken. The rest, more or less things are all as expected. Capex has been modest as per the trend, normal capex . We are carrying out certain improvements in terms of the coke oven batteries getting renewed. The Haresamudram is getting debottlenecked. And there are few other , Nashik is in the middle of implementing a project where its capacity is going to have a significant increase. The capacity might increase by 40% to 50%.

Those are areas where once we debottleneck the Haresamudram , once the new capacity comes up for in Nashik, once the coke oven battery, etcetera in Mundra, they all become stable, they all become operational, that would help us in the next phase of growth.

At present, do we have any large fund requirements? The answer is, we haven't announced any new project as yet. But we definitely have a few things on the drawing board. We are examining those possibilities very closely because as with the current capacity , with the current performance, we have got a nice platform. Definitely, we would like to build on that.

So, a few things are on the drawing board, a few things are being examined. But once we have zeroed on something, definitely, you will get to hear from me in my subsequent investor

call

which happens every quarter.

Looking at all of these, if you see the overall parameters of ROCE, etcetera, they are showing an improving trend. The EPS has gone up. The ROCE and those parameters are also under a big control. We continue to remain focus on pipe business and unrelated b usiness, although it's not a part of Jindal SAW subsidiaries.

But we have, in the last quarter, monetized our rail business, which is helping us focus our management bandwidth and the groupwide resources because this rail wagon which we were incubating for some time, we have monetized it. It was a 100% equity deal in one stroke. And that has given the group some resources to redeploy and also has given an opportunity for the management to focus on its core businesses.

So, all in all, we are going along well. We will continue to go well. We have a visibility for the next two quarters and the good performance will continue. Let me stop here and take some questions.

My request to our investors have been, if you have some very specific question about one specific element, I would request you, we may not have all the details on the table at present. The right forum for that is, send a mail and that would be properly responded with facts and figures. So, with that caveat, let me request to take some questions. Thank you.

Mod erator : Thank you very much. The first question is from the line of Ajay Sharma from Maybank. Please go ahead.

Ajay Sharma : Thanks for the detailed update. So can I check for -- can you talk in detail about this Nashik and the coke oven and the debottlenecking as to what will be the impact in terms of capacity and also in terms of cost?

Neeraj Kumar : Okay. Let's start with the coke oven which is in Mundra. In Mundra, in Paragpur, we already have coke oven batteries. One of the battery had lived its life and therefore, we are putting up a new facility, which is now close to getting fully commissioned. I t could be a new technology, vertical push -based coke oven, which is more environment -friendly, will give us higher generation of electricity and will also improve the coke productivity, which will help us support our blast furnace even in Ha resamudram, it is very close to getting commissioned.

The total expenditure over the next few years on the coke oven battery has been in the range of

INR300 crores to INR350 crores. This will, as I said, be more environment -friendly, new technology, longer life, self -sufficiency in coke and higher heat recove ry, so higher electricity.
Nashik, as you know, Jindal Saw Nashik plant, which is co -located with the joint venture with Hunting for the premium connections is focused on seamless pipes and tubes. There, we had, after piercing, 2 lines. One was for 7 inches and below; the other one was going up to 16, upward of 7. But our piercer was one. So 1 piercer was feeding both lines. Now we are making both lines independent. So we are putting up a new piercer. We are putting up a new rotary hearth furnace.
So now the line for smaller diameter, 7 inches, 8 inches and below, pipes and tubes, will have its own dedicated rotary hearth furnace piercer, a new rotary hearth furnace and a piercer is being planned for the line which is higher diameter, 8 inches and a bove, going up to 16. We are trying to enhance the diameter also and try and make up to 18 inches. Here, the total expenditure would be in the vicinity of INR200 crores spread over 2, 2.5, 3 years. We expect to commission the project sometime next year.
Once this happens, then the capacity of Nashik plant in terms of pipes and tubes, both lines put together would be in the vicinity of 3.5 to 4 lakh tons, depending on the sizes and the product mix thickness, which will be a 40% to 50% jump of the existing capacity.

This, I would say, m

arginal investment would give a significant rise in the capacity. Would also help us in the production planning and control where the feeding of billets down to finishing can be planned much better, and the plant can run continuously fo r larger number of days in a year.
This is being done on the hope and on the business environment, the demand that is coming up, plus the JV is now almost running full capacity.
And the JV has the capability of threading all sizes and also above which is not p roduced by way of a pipe. There we have the connector, which goes on to so the JV can do threading up to 36 inches. So this entire effort is to increase the capacity, to improve our presence in the premium segment, which is already very strong. We are the pioneers and currently the only one in this kind of a format in India and would definitely yield in higher -margin business, plus entry into some good segments.
Haresamudram, similar effort, we are trying to optimize whatever is the possible output from the blast furnace. In blast furnace also, we have made an improvement of putting PCI, which is injecting pulverized coal into the blast furnace, which gives us hig her hot metal. And now additional spinning and finishing capabilities are being produced, are being planned and being put so that the overall capacity of Haresamudram will also go up.
Once everything is stable, all the machines are in place, all the finishing lines are in place, then the capacity of Haresamudram will go up to 3 lakh tons. That will make us among the top DI producing company in the country with a large capacity in South and even larger capacity in West, which are the primary markets.
The total capital expenditure which is being planned over the maybe next 2 to 3 years would be around in the vicinity of INR200 crores. But the way all 3 projects have been timed, that there is no bunching of capex. And therefore, you are seeing that on al l these fronts, there is an improvement in capacity efficiency and there is a certain amount of capex that is being spent, but they all are spread in such a manner that we are still able to contain our term loan to around INR1,000 crores. Now , in fact, we have come down to less than INR1,000 crores of term loan where our network is upward of INR6,000 crores, INR7,000 crores.
Ajay Sharma : So that's very detailed. Thanks for that. And just a quick follow -up. So I mean I'm seeing so your focus is more on margin rather than volume growth. Is it because the volume growth has been a bit modest in the last few quarters, pretty flattish actually? So I'm just wondering is the focus going to be more on improving EBITDA per ton rather than our volume growth?
Neeraj Kumar : Overall, the focus definitely is continued to be more on the margins. And that is how we could break away from the 13%, 14% range where we were there for some time. Now we are in the 17%, 18% range. The idea is to ma intain and even take it higher, b ut now with all these that I have just now spoken about, the capacity also is going to go up and that would be necessary for the next phase of growth -- top line growth which you should start seeing after maybe one or two quarters.
Ajay Sharma: Okay. Excellent. Thank you very much.

Moderator: Thank you. The next question is from the line of Sunil Kothari from Unique PMS. Please go ahead.
Sunil Kothari: Thanks sir for opportunity and re ally very well explained on so many things. Just very broad understanding from you what I want to understand it. Sir, what has changed from this margin trajectory of say 12%, 14% to now 16%, 18% range? And on what basis it gives you confidence to maintain this will be really helpful?
Neeraj Kumar : Okay. Why we could break away from the 13%, 14% and now we are in the 18%, 19% and we feel c onfident that we'll stay there. A, better capa city utilization. Just g

o back one quarter. We were very happy with an order book of around a billion. Now we need 1.6 billion. Also, if you see quarter -on-quarter, now we have around 1.6 and we remain about around 1.6 crores . So the run rate has gone up, so better capacity utilization.
B, higher capacity utilization means lower cost of production, better allocation of the overheads, better allocation of all the fixed costs. C, higher demand means, now the deman d supply situation is also kind of balancing. So it's not a bloodbath in the competition – in a competitive market.
D, there is a conscious effort to move more towards high value -add products, higher grades. And all this is possible because the business environment is conducive. It is allowing us to do all this that I have spoken about. The net result is moving into 18% , 19% and hoping to grow even further.
Sunil Kothari : Great, sir. And sir, second point is, you've spoken about so many efforts to reduce costs, improve value -added products and new products, new market segments where we are entering. Do you have any number in mind over say next 3 years from current say some percentage to what range you want to reach? Any indicative figure will be helpful ?
Neeraj Kumar : See, we would be very happy if we are able to achieve a 15%, 20% of our re venue from value - added products, b ut that's a little far away. All efforts are being put in that direction because in the pipe and tube segment where we ar e the established market leader. Market acceptance takes some time. You have to go through a lot of tests, a lot of trials, vendor approval, accreditations. API has to see it. ISO has to see it. So you are being watched from every side, o nly then the market is going to accept you and only then you'll start earning. So we definitely are focused on all these, but it w ill take us a few years, maybe 1 year, 1.5 years where we get all the vendor qualifications that we are hopeful of.
I've already hinted to you, we are wanting to enter a new segment in a US with a new product. Currently, we are in the process of getting ourselves qualified by t hose vendors. So it takes time, but once you are there, then you have to just continue to perform, service your client well, deliver the right quality on time and then you can have a stable performance.
Sunil Kothari: Great sir. Thanks a lot and lots of good wishes.

Moderator: Thank you. Th e next question is from the line of Deepak Lalwani from Unifi Capital. Please go ahead.
Deepak Lalwani: Hello sir. Thank you for the opportunity. Sir my question was on the order book and your commentary on the top line that you made. See, basically, our order book is down sequentially, not by a big margin, but slightly. So can you just indicate where is -- what is the reason for this? Whether it is dom estic market or whether is it export? If you can pin down where exactly the order inflows are lower today and your outlook for this going forward?
Neeraj Kumar : Okay. If you look at now the order book, the order book in terms of quantity is actually high. The order book at present we are at 17.38 lakh tons as opposed to the overall order book of 16.17 lakh tons. If you look at the large giant there, there, there is a slight dip. Overall, in terms of value, June quarter, we had an order book of $1.64 billion.
Now we are at $1.61 billion. The major shift that if you see, we had an export basket of 32%, which in this quarter has come down to 12%. This is largely due to some of the big, large export orders have been completed, have been fully executed. And some new export orders are in the pipeline. We hope to improve the export basket from our current 12 % position back to the 20%, 25% and higher range.
That is a broad breakup of order book. Let me assure you, it shows slight lower number in terms of value. But in terms of tonnage, in terms

of range and in terms of our current pipeline, this is not a matter of concern for us. We will catch up very soon.
Deepak Lalwani : And this export opportunity that you're talking about, your 12% share going to 25%. Can you

pin down which countries are you focusing on and which segment, whether it is water or oil and gas?
Neeraj Kumar : Largely, it is water. And the countries that we focus on are centred around Middle East. We are making a lot of efforts to break into Africa, but we haven't achieved great success there. Egypt is one country where we have entered with a relatively large or der, and we are trying to build in North America. So basically, in the export market, our focus area is going to be MENA, M -E-N-A, which is Middle East, North Africa because we have a freight advantage .
We have a time advantage from our Mundra plant, both the entire MENA region takes six to seven days of sailing. The only caveat, the concern, is the geopolitical situation in the Middle East.
Deepak Lalwani : And sir, you had a comment on the domestic business, where the Jal Jeevan was sort of plateauing and the states doing well. So how should one read this comment? Whether -- is it going to be stable and then pick up as the central government funds in more pr ojects? Or is it -- are we at a very turbulent stage today? If you can gives us an idea.
Neeraj Kumar : No, I won't say it's a turbulent stage as far as the stakeholders are concerned. Again, since we always give you all the insights. This is an insight we have given you. But there should not be a matter of concern because what is the plateauing of Jal Jeeva n Mission is more than compensated

by many states joining the bandwagon of their own irrigation, their own water grid. And the good part is many of these states have also been able to achieve multilateral funding.
So the overall scenario is stable to grow. This is an internal adjustment that is happening. Now it will be difficult for us to comment on the Government of India and state relationship. The plateauing of the Jal Jeevan Mission we are seeing because Jal Je evan Mission was supposed to be jointly funded by states and the centr e.
In many states, we are seeing that they are falling a bit behind in providing their contribution. Probably, they are conserving their resources and focusing on the state -level development or state-level initiatives in a similar segment. That appears to be the macroeconomic scenario on Jal Jeevan.
But is it a matter of concern? I don't think so because Jal Jeevan Mission continues to be a major initiative of central government and they will continue to find ways and get the state around to contribute their funding as well. So to conclude in one line, no matter of concern, demand to stay stable, a mix of Jal Jeevan or centr e-related projects and the state related projects continue to grow together.
Deepak Lalwani : That was a great commentary. Sir, on the profitability side. If I look at all the DI -type players in the entire market, right. So all the players have benefited from the lower raw material prices.
And hence, we're able to make higher profit on a ton basis. So should -- and going forward now when you book the new orders, should we assume that the benefit of the lower prices have been passed on to the customer ?
And hence, a normalization of profit should happen? And if you can just give an outlook of how should this pan out -- the situation pan out?
Neeraj Kumar : At this point of time, the way we are positioned on ductile and pipes and our order book, all the prices have been locked in for close to a year. And definitely, if the prices are softening, subsequent orders would reflect because now many players have exp anded their capacity. Also, there are new entrants in the DI market. So the market trend, the demand supply and the price trend, to some extent, get

ting correlated to the raw material would definitely happen.
But for us, we are fully booked for the next few quarters, and that would not impact our profitability in the next few quarters. Because we always do long -term planning once we have the order. We try and line up the shipment for the coal, the iron ore. Als o we try and have a long -term purchase agreement so t hat we achieve a natural hedge.
Deepak Lalwani : And sir, in your initial commentary...
Moderator: Sorry to interrupt, Mr. Deepak, could you please fall back in the questi on queue for further questions?
Deepak Lalwani : Sure, thank you.
Moderator: The next question is from the line of Riya Mehta from Equitas Investment . Please go ahead.

Riya Mehta : So my first question is on the terms, we're doing amazing with Hunting and even our order book has grown by 20% on even a lower base. But what are the plans here? And are we going to be majorly job -work business? Or how is it going to pan out? Could you elaborate more on the opportunity of Hunting? And what kind of orders are we...

Neeraj Kumar : Ma'am, hold. Ma'am, you will have to repeat your question, maybe be a little slower and louder because I could not get the whole question.

Riya Mehta : Sure. So , I was just saying in terms of Hunting, our JV with Hunting, we are doing good there, and we are seeing order book increase almost by 20%. So I was wondering what all initiatives are we taking there? And we have -- your commentary mentioned that is majorl y job -work business. So are we doing this for other people or are we doing for Jindal Saw? And what kind of capacity additions are we seeing over there?

Neeraj Kumar : Okay. Hunting, this is the first full year of operation. And when I say Hunting, I mean the JV. For JV, this is a first full year of operations, and we are very happy to note as a shareholder that they have turned profitable right till bottom line. So the JV is doing well. They are almost operating at capacity.

Now this business structure of job work versus working for on. Going forward, you would see a slight shift because first few months of the year, the JV was yet to get the API license after the quarter license for premium threading. And that's why Jindal Sa w due to win the contract and then get Hunting to do it on a job -work basis.

Now Hunting fully functional with all necessary upgradations. Slowly, you will see that Hunting will also make its presence felt in the market, where Jindal Saw would be the supplier of pipes and coupling blanks to the JV, who would credit and will be resp onsible for selling it. So -- that's how it's likely to move.

Now -- since Hunting is already operating at very high capacity, also they are earning cash, they are building network. We are in discussion with our partners, Hunting to see if there is scope and if both of us align to increase the capacity of premium con nections because, as I said, because of the higher drilling activity in East Coast with more wells reaching a development stage, the demand for premium connections are likely to go up.

But expanding the JV would be a joint decision taken by Jindal Saw and Hunting Singapore. As Jindal Saw is concerned, we will support this initiative, but it will have to be discussed in much greater detail. Hunting will have to take all its internal appro vals. And then only it will come into being, then only it will come and get actualized. So it's on the drawing board. Discussions are on. And once we have arrived at a decision, we will definitely let you know.

Moderator: The next question is from the line of Radha from B&K Securities. Please go ahead.

Radha : Congratulations on good results. My question was you spoke about entering the U.S. market in seamless and stainless steel segment. So currently, are we selling these products entirely in

India? Or we also have exports in this? And also, could you talk a bit about the antidumping scenario in U.S. and our competitive edge, especially when compared to China in that market?

Neeraj Kumar : We have an export order book even in those segments at this point of time, although it is much lesser and we would definitely want to improve. Now the kind of segments that we want to enter U.S., it will be a higher grade, higher application. And there, since it is not a commodity product, we expect that we will not get caught into this antidumping because so far, whatever is the export market is more on normal grades, normal categories, nor mal applications. So once we break into the U.S. mark et, the way we are planning, then the antidumping will not impact us.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today's conference call. I now hand the conference over to Mr. Vikash Singh from PhillipCapital India Private Limited for the closing comments.

Vikash Singh : Yes. Thank you, Investors , very much and – good results. Hope to see you next quarter.

Moderator: On behalf of PhillipCapital India Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

February 03, 202 5

BSE Limited National Stock Exchange of India Limited,
Corporate Relation Department Listing Department,
1st Floor, New Trading Ring Exchange Plaza,
Rotunga Building Phiroze Jeejeebhoy Towers Bandra Kurla Complex
Dalal Street, Bandra (East)
Mumbai - 400 001 Mumbai – 400 051
Stock code: 500378 Stock code: JINDALSAW

SUB.: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Investor conference call on the financial results of the Company

Dear Sirs,

This is with reference to the captioned subject and our letter s dated January 17, 202 5 and January 28, 2025, the transcript of the conference call organized by the Company for analyst and investors on the Un- audited (standalone & consolidated) financial results (Q 3FY25) of the Company for the quarter ended December 31, 2024 on Tuesday , January 28, 202 5 at 11:00 A M (IST) is attached and the same has also been uploaded on the website of the Company .

This is for your information and record please.

Thanking you,
Yours faithfully,
For JINDAL SAW L TD.,

Sunil K. Jain
Company Secretary
FCS- 3056

"Jindal Saw Limited Q3 FY-25 Earnings Conference
Call"

January 28, 2025

MANAGEMENT : MR. NEERAJ KUMAR – GROUP CEO & WHOLE -TIME
DIRECTOR , JINDAL SAW LIMITED
MR. VINAY GUPTA – PRESIDENT & HEAD TREASURY ,
JINDAL SAW LIMITED
MR. NARENDRA MANTRI – PRESIDENT , HEAD,
COMMERCIAL & CFO , JINDAL SAW LIMITED
MR. RAJEEV GOYAL – VICE PRESIDENT , GROUP
CORPORATE FINANCE & TREASURY , JINDAL SAW
LIMITED
MODERATORS : MR. VIKAS SING H – PHILLIP CAPITAL (INDIA) PRIVATE
LIMITED

Moderator : Ladies and gentlemen good day and welcome to Jindal S aw Limited Q3 and FY25 earnings conference call hosted by PhillipCapital (India) Private Limited.
As a reminder all participant s' lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vika s Singh from PhillipCapital (India) Private Limited. Thank you and over to you Mr. Singh.
Vikas Singh : Good morning , everyone. Today we have with us from the company side Mr. Neeraj Kumar – Group CEO and Whole Time Director , Mr. Vinay Gupta – President and Head Treasury , Mr. Narendra Mantri – President , Head , Commercial and CFO and Mr. Raj eev Go yal – Vice President , Group Corporate Finance and Treasury.
Without taking much time, I would hand it over to Mr. Neeraj Kumar for his opening remark. Over to you sir.
Neeraj Kumar : Good morning to all our friends. We had our board meeting on Friday and now we are here with the Results and this is an opportunity for us to discuss the Results , clarify a few points , get some insight about the future how we see it and how it's likely to pan out for us.
So, first very briefly just going through the numbers ; for this quarter ended 31st December '24, we had a top line of 4 ,521 crores as opposed to 4 ,790 for the last quarter which is a trailing quarter and 4 ,785 for the corresponding quarter last year. Now staying here, you would see and I would request all our friends , investors stakeholders to note , there is a dip in the top line. I would come back to that and that's why I am just highlighting it for all of you. But if you look at EBITDA , the EBITDA is 882 crores which is very close to the EBITDA of the same quarter last year and higher than the trailing quarter EBITDA which was 875 . So, 882 as compared to 875, trailing quarter 889 , the corresponding quarter last year.
Likewise , if you look at the PBT , there is nothing much to say. 626 versus 625 . 623 PAT, incidentally it's exactly the same for this quarter and the last quarter which is a trailing quarter and higher than the corresponding quarter last year. So , let's just stay here for a while. If you even look at the 9 months , top line 13 ,728 v ersus 13,227, EBITDA 2 ,599 versus 20,254. Likewise , PBT 1 ,853 v ersus 1,478 and P AT 1,400 v ersus 1,085.
Let's just stay with the consolidated results for a while. If we see this result and if we analyze it carefully , top line for the quarter has shown a little bit of a dip. Profitability margin has improved . Last year nine months to this year nine months , top line is appearing flattish to a mild growth , EBITDA again mild growth. But on P BT there is significant growth. It's 25% growth on the PBT, PAT against similar 29% growth. Now what does this indicate? This indicates that as a n organization for the last few quarters we have seen that the top line is kind of plateauing a bit.

4,521 for this quarter is not a matter of concern because sometimes a few shipments which are large shipments just cross the 31st December boundary line , it gets booked into the next quarter and therefore that would catch up. So, this I would request these stakeholders not to read too much into t his 4,521 versus 4 ,790. That's a logistic shipping kind of an aberration because of the year end and some delay in the shipment.
But if you look at the overall , one thing is becoming very clear. If you look at the trend for the last maybe six quarters or eight quarters, the top line is plateauing. Profitability is improving. The reason for profitability to improve

is (a) our product mix as we have been always saying in the sales portfolio is shifting towards higher margin business , seamless premium connect ion stainless steel , double chamber DI pipes , they are contributing more and therefore the profitability, or the margin is increasing. The obvious question that comes to our mind is this improved margin sustainable? Now , again if you look at our last six to eight quarters we are in the high teens. So, basically , these EBITDA margin with the current product mix and the kind of value -added products that we are entering should definitely remain within a narrow band of 17.5 t o 20. The reason why I am saying 17.5 to 20 with emphasis that for this quarter we had an EBITDA margin of 19.5 but this 17.5 to 20 is a guideline that I am giving you for the next few quarters or maybe a few quarters in the next year going as well because there is something else that we need to factor in as we go through our discussion. So, for now a turnover of 4,500 to 5,000 per quarter with an EBITDA margin of 17.5 % to 20% appears to be a likely scenario that we should continue which is borne by the res ults of the last few quarters if you analyze them.
Having said that , let's immediately now jump into the capital position. If you look at our debt position , the long-term debt has gone below 930 crores while our net worth is close to 10 ,000

crores with an nual EBITDA in the region of 3 ,000 crores. So, that's a very interesting combination. So, now look at all these data points that I have said. Top line plateaui ng, margin improving , EBITDA yearly more than 3 ,000 crores , long term debt less than 1 ,000 crores . For the moment I am not bringing in working capital in between. But what does all these indicate , these factors indicate towards that whatever is the capacity that we have within our system , we are operating well , we are operating efficiently and now we are kind of coming into the 70 %-75% plus capacity utilization category and that's why you are seeing this plateauing . Therefore immediately now what should an agile , diligent management look at and indeed we are looking at it.

I am happy to tell you that a few CAPEX projects that we had announced some time back is nearing completion and we should see the results in the coming quarter , in the next six months for sure. One is we have installed a new coke oven battery which has been installed , commissioned . That's going to improve the cost of coke , it's going to improve the supply of coke and also it is going to add to the captive power that we are generating , having an overall impact on further reduction in cost of production and efficiency. This is one chunk y CAPEX that was . On the annual it was being implemented for the last few quarters , maybe year and a half has now been commissioned.

Likewise, the seamless unit which has been contributing because of the premium connection and other things and because of the market , the demand that is there , we are almost doubling the capacity. The plant is nearing completion and that doubling of capacity should see the day of light in terms of it should get commissioned over the next 3 to 5 months. So, that coming in woul d definitely give one on the top line side which is the Nasik the other on the efficiency side which is the co ke oven battery . But beyond that looking at our very healthy robust capital structure , few projects are on the drawing board and at this point of time I should be able to indicate that to you. I am sure in the next quarter I would have some more details which are about. But we are looking at some projects , we are examining some projects which are currently on the drawing board both in India as well as abroad. Abroad I can reveal at this point of time it would be in the MENA region , so the Middle -east region we are looking at some investment , som

e new project and in India also we are looking at some new project . So, that would propel the next. So , this plateauing will then move to the next higher orbit. Once these are announced and once these are taken care of and we are confident that with the kind of net worth the kind of reserves and surplus that we have and the kind of banking relationship that we have it should be implemented in time, and it should be something that should be easy for us to look at.

One thing also it's important as we see we have seen some fluctuation in the FOREX market. At present our export is in the range of 25 % to 27 %-28% which gives us enough foreign exchange inflow to hedge for our raw material supplies. As you know when it comes to CAPEX even if we have to import , it's a separate thing , it's funded . But in an operation scenario we always look at a natural hedge between t he revenue as well as what we pay for the raw material etc. Largely all our foreign exchange outlook is only on raw material to whatever limited extent it is. So , we have enough and that can also be seen. Look at the financial charges. Last year nine month s financial charges were 586 crores. This year for the same period it is 443. So, that kind of gives you an indication on how well we are managing the financial expenses. One of the contributors has been the natural hedge that we are using because all of y ou would have seen on our balance sheet, we don't have any foreign currency borrowing which is long term and therefore long term we don't have to worry too much about the rupee -dollar movement and therefore we have to just manage this trade finance and the FOREX exposure resulting out of the trade which is the top line versus the payment that we make towards FOREX. So , we are doing that well and the proof is in front of you where the financial charges have shown a significant reduction during this nine-mont h period as opposed to the last year nine-month period.

Now we are also looking at further bringing our debt down before the 31st March. We have the liquidity ; we are approaching the banks to permit us to bring down our long-term debt even further before the 31st March. Also, we have seen the trend and we are hopeful that this year it will continue . Towards the year end because most of our clients are government , central , state or even we supply to EPC, t hey have government as their client. Last quarter se es a lot of release of budgetary funds because of the year end. And that we believe will have a positive impact on our receivables. And consequently, our working capital utilization should also go down when we come to the yearend further improving our fina ncial charges. This is our hope , this is our expectation. So, next quarter we believe the trend would continue. We should show further improvement .

On the top line , I have already given you an indication that it would be above 4 ,500 but definitely below 4 ,700 or 4,800. That trend will continue till our new cycle of revenues kick in from, say now immediately the Nasik expansion and then a few other projects that we are looking at. But last quarter result because of the improved receivable collection , improve d margins , should at least on a percentage basis not on the aggregate basis , not on the top line basis , should show a further improvement is what is expected.

The order book position , if you see is also showing a kind of plateauing . Now these are all interlinked. The order book is plateauing , the top line is plateauing. Don't again look at a little reduction for this quarter because those are aberrations , already now we have won some big orders which were in the pipeline, but the order came in January. So, again, the order book is up. We would maintain at the same level because this is we have seen a good level of maintaining the order book because it matches w

ith our implementation capability. Because having an order
book higher than this then (a) exposes u s to the raw material price risk or pushes us in meeting our contractual delivery requirements with our client. So, therefore, this kind of order book is we believe good for our present capability. The mix of order book again reflects the revenue pattern. Currently our order book is about 22% is foreign currency export. Look at this versus September ‘24, it has improved . There the export order book had dipped to about 12. I had indicated that there are a few export orders in the pipeline which is indicated that now we are at 22. Last quarter we expect this to improve further because as I said we have received some large orders. These export orders are largely from the MENA region. MENA region , we see that now at least with the Israel -Hamas and all that kind of cooling down a bit , going into ceasefire . There is a lot of activity there is a lot of stability and the Issue that were facing with the shipment , passing the ships , passing through that region is also kind of coming down. So , we are encouraged by the g eopolitical situation in the Middle -East region, and we expect that should continue. With the change in government in US and the way the US government looks at this region , we are hopeful that this stability should continue and that's good for us as a busi ness.

One c omment however, I must make on the domestic infrastructure development scenario. There appears to be a slowing down of the center governments spent on the infrastructure , the emphasis on the infrastructure. There appears to be a shift where all these infrastructure projects which were earlier kind of led by the central government , supported by the state government. Now we are seeing that many of the state governments have begun to exert themselves and they are coming up of their own projects. An d therefore, we see a little bit of a slowing down in the central government schemes like Ja l Jiva n Mission etc. But then the state PWD , the State Irrigation Department has shown a lot of promise in many of the states , Madhya Pradesh , Rajasthan. So , becaus e of this shift there seems to be a little lull in the central government scheme of infrastructure.

But we are very hopeful that this being the first year of this present central government , we expect some significant impetus in this budget which is just around the corner. And that should bring some good news to the infrastructure projects which is kind of centrally sponsored and the states anyway would continue to do their good job. So, that is something that we must look at as a business environment. But we are very carefully watching what happens in the budget this year. That should also set the trend because this is a government which is now likely to be stable for 5 years , it would determine our next 3 to 5 years trajectory. So, if we are looking at a 3 to 5 years trajectory , our strong CAPEX position , very strong operational capability demonstrated over many quarters , a few projects on the drawing board. So, in the next 2 to 3 years, we should see our company's performance at a different at a higher level which will be the next level because of these and the continuing demand , healthy demand that we are seeing , both in the export market as well as in the Indian domestic market.

Also, we have seen the US government has announced huge focus on oil and gas drilling and all that. Now that would rub on the oil and gas business in the MENA region because they would not want to fall back because the way the US government has announced whatev er they have announced , it appears that very clearly, they want to take the global lead position. Now that I am not sure if the players in the Middle -east would want to happen because if that happens , then whatever leverage that the Middl

e -east collectivel y the OEC countries have would get
weakened. So, on a global basis our assessment is that, that would rub on and increase the oil and gas activity in this part of the world. Also, we are seeing an interesting phenomenon in India. In the past the major focu s was on drilling on the west coast which is the Bombay High and all

of those . Now we are seeing that besides developing the west coast and optimizing the west coast , there is a lot of emphasis on the east coast as well. The KG Basin , the Bay of Bengal is also seeing some deep well drilling because there are large reserves which has been seen and that also has a few very important and large private sector players who are active in that region. So, we also expect that there could be a large demand coming fro m the east coast , multiple players , so all in all we are hopeful that over the next 2 to 3 years with the kind of impetus that we should get in the budget for this year , we should be okay, or we should be in a sweet spot , ready to go for growth and take th is organization to a next level of performance.

With these comments let me just very quickly touch on the consolidated position. The consolidated position kind of replicates what we have spoken about the company. Still if you look at the consolidated vers us standalone , the standalone results are more than 95% of the consolidated results. But still this 5% has become positive for the last few quarters and will remain positive. That's the important part , that whatever even if they are contributing less than 5% into the whole results , they will continue to do good business. They will continue to do all our subsidiaries which are consolidated subsidiaries are doing well. They all have a good order book. Now we expect with this kind of an impetus on oil and gas , the US subsidiaries also should improve and should do well. So, with those initial comments let me stop and take a few questions so over to you. Thank you.

Moderator : Thank you very much . We will now begin the question -and-answer session. The first question comes from the line of Shweta Dixit from Systematics.

Shweta Dixit: My first question would be , as you talk about the expansion plans particularly one in the MENA region. Could you highlight whic h segment would that be focused on , whether we're looking at the oil and gas end user market or the water transportation segment? That's my first question and second was ….

Neeraj Kumar: At this point of time in the MENA region what we have on the drawing b oard which is being examined very carefully is how to address both , the oil and gas as well as water sector.

Shweta Dixit: All right , so can we expect a clearer picture on this next quarter or any more details that you could provide on this?

Neeraj Kumar: Hopefully , see if not the next quarter per se because unless we have , at this point of time it is on the drawing board , various proposals are being examined. It requires a lot of groundwork in terms of the new geographical region , the regulatory fra mework and all that. So , one thing is for sure that over the next 6 months you would definitely see some announcements. So, how much of that we can make in the next quarter , we will have to see. So , what I assure you is if not the last quarter of this year , the first quarter of next year would definitely have some of these projects that are on the drawing board both on the domestic as well as international front would reach a stage where we can give you the broad contours which will address oil and gas and water sector comprehensively. Also, we are working on how to improve the value add within the group. So, there are some CAPEX which is being land , keeping that in mind so that the value add within the group also improves, which adds to the stability of the financial robust status of the company.

Sh

weta Dixit: Any thoughts on taking up any project on the backward integration side?

Neeraj Kumar: As I mentioned to you , the moment you talk about value addition within the organization , by simple logic it means it would be an integration either backward or forward. Allow me the time to get this settled and then I'll come up with all the details. But yes, integration is also something that we are looking at very closely.

Shweta Dixit: Last question. It's just basic clarity. I missed that point when you were talking about FOREX market fluctuations and how you r exports contribute around 28%. And could you just explain that to me again because I got dropped out of the call ? You were explaining about the natural hedge that exists.

Neeraj Kumar: 28% of exports means roughly if you look at 4 ,500 as a top line then around 1 ,200 to 1,500 crores is what we earn in our foreign exchange which is largely dollar denominated or in currencies which are pegged to dollar . So, this is available to us where if the rupee depreciates , we tend to benefit. If we look at , now our raw material spent in the quarter which is the large trade foreign currency outflow is less than this 1 ,500 what we earn. So, we have a natural hedge availa ble that our earning in foreign exchange is more than per quarter what we spend on buying

raw materials. Since we do not have any foreign currency term loan on our books which is by design , we don't have any long-term foreign currency commitments. This hel ps us manage the FOREX fluctuation in a reasonable manner or in an efficient manner because largely over a period of time , we have seen that the rupee is showing a depreciating trend. Sometimes there are some corrections , some spikes but it balances out wh ere rupee continues to depreciate over a quarter or a 6 month or whatever. Now with the kind of government that has come up in US where 'US F irst', making US strong , making the manufacturing hub and all that , probably this trend of rupee depreciation vis-à-vis dollar or to put it the other way around , we expect the strengthening of dollar unless there is a major disruption which is unlikely. You would have heard some BRIC S saying we will have our own currency. Europe was trying to exert the Euro to become a major currency. In between we had heard China -Russia will get together. But those were more of a rhetoric, and we don't expect either BRICS or for that matter Euro or for that matter the China -Russia bloc can dominate the international currency reserve market anytime in the near future because the US government seems to be very focused on that , that they want to remain the international currency market leader. So, that puts us into a reasonable spot where we need to be comfortable and not worry too much about the foreign exchange fluctuation.

Moderator: Next question comes from the line of Deepak Lalwani with Unifi Capital.

Deepak Lalwani: I wanted to clarify on two numbers. So , you mentioned that some amount of the order book has been deferred in Janu ary. So , if you can indicate the quantum of that and also the revenues which got slipped into Q4 the shipments which got delayed you can indicate these two amounts.

Neeraj Kumar: Again, if I give you any of those numbers I would be speculating because we are talking about the quarters. But we have won a few large export orders and a few large shipments have gone beyond 31st December. I am sure when we meet next quarter, I would be able to give you those details.

Deepak Lalwani: The order book mix , so barring the 20% export mix , if you can give us a sense on how the various avenues of order inflows are panning out. Firstly, what is the mix of state and central funded projects , firstly, that? And how the various avenues are playing out for us , the center , the state, exports and the oil and gas ?

Neeraj Kumar: If

you are looking at exports as I told you currently our exports is around 27%. Now within the domestic sector if you look at my revenue pie , the major contributor would be water sector. If you just take the domestic market as a whole about more than 50% would come from the water sector which is served by the DI market and the helical pipes. Less than 40 or around 30 -40 would be oil and gas and the rest would be the industrial sector which is being se rviced by the seamless and stainless division.

Deepak Lalwani: Within the 50% water how much of the projects are coming from center funded schemes and how much are from led by the state governments?

Neeraj Kumar: That what I would request you send a mail . I don't have that figure in front of me of how much center and how much state because again there is an overlap. There are a lot of projects where center and state , they put their funds combined in terms of in some of them center puts more state puts les s. In some it's the other way around. But still if you wish to have that breakup, please send a mail and our team will respond to you with the breakup of center versus state.

Deepak Lalwani: The big project that you're planning to announce in the next 6 months , if you can indicate an amount like the CAPEX required for this project and the funding that will be required. What I wanted to get a sense is on the debt levels , will it balloon back to the one -time debt equity ratio which we were earlier working with? So, how should we look at the funding for this project and the quantum of this?

Neeraj Kumar: See, one of the reasons that all these projects are being examined very carefully that we remain committed , that we would not let the debt equity ratio become very aggressive. We are also conscious of our rating, and we would definitely do everything to make sure that we continue to enjoy the high rating. What exactly is the debt level would only come once the kind of the contours of the projects are finalized. But for now, you can take comfort that on 10 ,000 crore s, close to 10 ,000 crore s net worth the debt equity will not go which is not sustainable to maintain our rating or not something that we cannot manage. We have put in a lot of e ffort to get the debt under control and definitely that would be one of the considerations on how much debt we can take and how to kind of time them , put them on a timescale so that we have a corresponding increase in the revenue , EBITDA and contribution. So, that exercise is being done which will balance it. As we have managed in the past, we will continue to manage the capital structure very carefully forward , as we plan for our next phase of growth.

Deepak Lalwani: On the order inflow front you mentione d that the state projects are doing fine. The central there is some lull. So, we got an order inflow of about 3.6 lakh tons in this quarter. So, should we assume a similar number going forward as well that 3.5 lakh ton per quarter should be the run rate?

Neeraj Kumar: No, we expect this to go up. Wait for the budgetary announcement which is on this Friday. We expect that the infrastructure momentum or push must get a fillip by this government because

please recall th ere is an important factor , this governm ent has 4 years life still left. So, I am sure
they would want to announce those infrastructure projects , provide the necessary funding so that
before they end this term , they are able to get the benefit of all the infrastructure projects that
they want to complete during this period. So, we expect this budget to be in that direction given
a lot of impetus to be.
Deepak Lalwani: Lastly, we have a bunch of products, but I wanted touch upon the DI segment. So , if you can
indicate what is the utilization leve l at the DI plant , also, the order book status ? We used to
maintain a full we had a full order

book for that plant , how is that shaping up? And given the
slowdown have you seen any moderation in pricing of the new tenders? Yes , those are my
questions.

Neeraj Kumar: On DI, now the Har esamudram plant is contributing well. So , both Samagoga and
Haresamudram plant is contributing well. Both are operating at a capacity utilization of more
than 80% or so. The order book remains healthy. We have visibility for the next few quarters in
DI and that is one part because of the state government lot of initiatives. We are seeing some
strong demand in the DI segment.
Deepak Lalwani: And any moderation in pricing that you witness for the new tenders ?
Neeraj Kumar: Pricing moderation , we don't see any large -scale reduction , unless there is a corresponding dip
in the raw material prices. Because at this point of time if you see the way the demand supply is
being balanced , we are still in the sellers' market . We do no t have a glut; we don't have a capacity
which is excess than otherwise we would not have had a few quarters of order book. So, we don't
expect the margins to get squeezed unless there is a very sudden spike in the raw material prices
which is kind of an ab erration.
Moderator: Next question comes from the line of Priyanshu Chauhan with Investec.
Priyanshu Chauhan: First of all , I want to understand the quantum of our stainless -steel volume and ductile iron
volume. And secondly, I want to know about the forward -looking approach on the steel prices
and coal prices. So, can you please elaborate?
Neeraj Kumar: You are not audible. First you talked about stainless steel.
Priyanshu Chauhan: Yes.
Neeraj Kumar: The stainless steel we are currently doing approximately 5 ,000 but that's a fast-improving graph.
So, last quarter we did about 5 ,000 tons which is a very quickly and fastly improving graph. We
should see a year end close to 15 and next year we should go more towards 20 -25. That's what
the indicati on is for the stainless segment. The second question was coal. The coal prices are
now stable. It is around $200 and it should remain stable there.
Priyanshu Chauhan: Can you please elaborate on ductile iron pipes also, the numbers ?
Neeraj Kumar: Ductile and pipes , you want to know the quantity or what do you want to know?
Priyanshu Chauhan: Yes, I want to know about the quantity.
Neeraj Kumar: The quantity that we did in the last quarter.
Priyanshu Chauhan: Yes.
Neeraj Kumar: We did about 1 ,75,000 tons of ductile iron in the last quarter which is a combination of both
Hare samudra m and Samago ga plant.

Priyanshu Chauhan: And in coming quarter ?
Neeraj Kumar: Coming quarter , I can't make a forward -looking statement but there's nothing to indicate that
this trend should not continue or should not improve a little bit.
Moderator: Next question comes from the line of Ria Me hta with Equitas Investments.
Ria Mehta: My first question is in regards to the new capacity coming up. So , Jai Balaji is one playe r and
Welspun is also coming up with new capacity. So, with a little slowdown in domestic area where
do you think new growth will come so that the industry will be able to suffice the capacity they
have?
Neeraj Kumar: One you said Welspun in D I and the oth er one was ?
Ria Mehta: Jai Balaji.
Neeraj Kumar: Welspun coming in D I, we welcome them because that at least adds a little bit of a maturity. We
have another good player. But the way the demand is going up that would be more than what
the capacity would come up. So, the status quo of supply demand balance will not get
imbalanced . Balaji coming in D I that's a little distant future. We don't know how much capacity
because Balaji is not one of the very serious quality player , the way we see ourselves or we
expect Welsp un and a few others to

come in like Tatas and all.
Ria Mehta: In seamless you said that you have double d the capacity. What kind of contribution does this plant currently give? If you could help in terms of volumes .
Neeraj Kumar: See, currently seamless is doing approximately 60 ,000 per quarter. Now we expect that once the new capacity comes up , this 60 should definitely go to 80 , 80 plus, 90 and then it will rise higher because it would take some time to stabilize. So, the 60 we expect first to rise up to 80 - 90 and then go further up.
Ria Mehta: Apart from seamless i s there any other brownfield CAPEX that you are eyeing for?
Neeraj Kumar: No, at present there is nothing which is announced , nothing that is getting implemented. As I already said there are few projects which are on the drawing board , which are getting e xamined which we will definitely have details for you , our call next quarter or if we are not ready by then the quarters are after that.
Ria Mehta: You also mentioned that export you're seeing large orders coming. So, which region are these orders coming from and is it oil and gas or water?
Neeraj Kumar: Largely it's M ENA region.

Ria Mehta: How is the project at NEOM happening? And we've read in news couple of news that there are some stall ed projects in N EOM, a re we facing similar things?
Neeraj Kumar: NEOM Phase I the large contract we have completed. We are expecting the new order to come in.
Ria Mehta: There is no slowdown in CAPEX there , right?
Neeraj Kumar: There is no slowdown in …
Ria Mehta: CAPEX in the NEO M order ing.
Neeraj Kumar: No, NEOM please understand , in Saudi Arabia NEOM is one of the pet projects. It's a new capital city being built by the Crown Prince and he is absolutely on top of it.
Ria Mehta: So, the tenders for the new orders have already been placed and we have applied for it, right?
Neeraj Kumar: Yes, we are in discussion.
Moderator: Next question comes from the line of Gargi from Value Investments.
Gargi: My first question is that in this quarter have we seen any benefit of lower coking coal prices and do you expect th e same benefit to continue considering that the coking coal prices are expected to remain range bound of $200 that you have mentioned?
Neeraj Kumar: Coking coal is largely used in our blast furnace which goes into the DI pipe making. Now , once our new ver tical loading coking coal plant has been commissioned, we definitely expect that there would be a reduction in cost of production. Plus, there would also be a benefit of more power generation because of the waste heat recovery. The combined impact of that is going to be to reduce the cost of production in DI because this captive power plant also supplies power to Samago ga where our major DI capacity is placed. So, it would kind of shield us from the market driven prices of coking coal. It would be at a much lower level , once you add the benefit of the power that we generate from the waste heat energy recovery system that we have put , it would be a further reduction in the cost of production. Another improvement that we have made in the blast furnace is to pu t the PCI , pulverized cold injection which has further reduced our cost of production. So, with all of these we should be very well placed when it comes to the DI production to address the market very effectively and consolidate and maintain our leadership position.
Gargi: As I understand that there are three benefits that are expected to redu ce the cost of production for the DI part. So , one is the coke oven battery , second is the PCI that you have mentioned , and third is the WHRS. So , including all these three , is it fair to assume that this would reduce the cost of production to Rs. 3 to 5 per kg, after a quarter or so?

Neeraj Kumar: Let me just

say this way , it would give us a sizable reduction but putting a number to it will not be possible because that is competitor sensitive. I don't want the competitor to know tha t how much extra margin that I have which , not that how much money I would make but giving this kind of a benchmark gives the competition a sense of how to price their product if they want to compete and therefore, please don't ask me to put a number to it.
Gargi: Second questi on is on the part of the US subsidiary. So , if you could briefly explain. So , what exactly we are doing in the US subsidiary and what are the key drivers for the growth and margins there and little bit on the export opportunity in Hunting as well ?
Neeraj K umar: The US subsidiary of Jindal Saw is largely a coating facility which takes pipe as free supply , coats it and gives it back to the client. Now these pipes are largely used in oil and gas sectors. So, with the improved environment of more drilling , that means more pipeline , more

transmission means more pipelines. It should give a fillip to our coating unit that we have in US which is a subsidiary of Jindal Saw .
Gargi: In US actually most of the local players in the markets that we operate are having the coating facility. So, what is the advantage that we are having over here for having a facility separately in the US?
Neeraj Kumar: All the players do not have all the co ating facilities. Plus , being located in Baytown which is just 25 miles from Houston we have a huge locational advantage.
Gargi: A little bit on the export opportunity of Hunting ?
Neeraj Kumar: That opportunity is there , see wherever premium connection , now we have become a very large supplier of premium connection products in India. And definitely with their name and our name where most of us are individually pre-qualified , we would be addressing the export market very soon. Because when you address the e xport market , at least three things come to our benefit. Individually we are pre-qualified , very well-known , very well established. They are pre-qualified , very wel l-known , very well established. Together in the joint venture we have now established a very good presence in India with a good track record now eight nine months in operation. So, this should help us make an entry into the international market very soon.
Moderator: Thank you. Ladies and gentlemen , due to time constraints, we have reached the end of question - and-answer session. I would now like to hand the conference over to Vik as Singh for closing comments.
Vikas Singh: Thank you. I would like to thank Jind al Saw management , on behalf of Phili PCapital for giving us the op portunity to host them. Now I hand over to Mr. Mantri for his closing remark. Over to you sir.
Neeraj Kumar: Mantri has just stepped out. Let me do the closing formalities as well. Thank you to all our stakeholders. Thank you to all our investors and peopl e who are interested in listening to us. You

would have seen as I continue to say , we are here to stay and we are here to stay with the long term. So, people who have a medium -to-long-term vision , they are the ones who benefit the most when they align with us. And especially if you like infrastructure , if you like oil and gas and if you like stability , robust business , then we definitely stand in line and pretty much in the frontline , forefront. We will continue to do good business. As I have already mentio ned to you , that we are conscious that we are plateauing on our current capacity. We have managed our capital structure very well because as I have been saying , this is necessary to prepare ourselves for next round of growth. And now things are being plann ed where very soon we should have all the necessary elements put together to propel the company into the next round of growth and the next trajectory tha

t we want to move. So, with these I wish you all very happy , I would say January end enjoy your budget session. We expect a lot and some of the people who may be interested in going to the Kum bh, I wish you all the best. The news that I am getting from Kumbh and this is I am addressing primarily to the people who are in western part of India. And now the cr owds seem to be easing out , the temperatures now getting more moderate. So , you can plan if you have any indication. So, go and have a happy dip in the Kumbh . With that , thank you very much.
Moderator: Thank you on behalf of Jindal Sa w Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

May 09, 202 5

BSE Limited National Stock Exchange of India Limited,
Corporate Relation Department Listing Department,
1st Floor, New Trading Ring Exchange Plaza,
Rotunga Building Phiroze Jeejeebhoy Towers Bandra Kurla Complex
Dalal Street, Bandra (East)
Mumbai - 400 001 Mumbai – 400 051
Stock code: 500378 Stock code: JINDALSAW

SUB.: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Investor conference call on the financial results of the Company

Dear Sirs,

This is with reference to the captioned subject and our letter s dated April 29 , 202 5 and May 05, 2025. Please find attached the transcript of the conference call organized by the Company for analyst and investors on the Audited (Standalone & Consolidated) financial results (Q 4FY25) of the Company for the quarter ended March 31, 202 5 on Monday , May 05, 202 5 at 05:00 PM (IST) and the same has also been uploaded on the website of the Company .

This is for your information and record please.

Thanking you,
Yours faithfully,
For JINDAL SAW L TD.,

Sunil K. Jain
Company Secretary
FCS- 3056

“Jindal Saw Limited Q4 FY '25 Earnings Conference Call”

May 05, 2025

MANAGEMENT : MR. NEERAJ KUMAR – GROUP CEO & WHOLE -TIME DIRECTOR , JINDAL SAW LIMITED
MR. VINAY KUMAR – PRESIDENT & HEAD TREASURY , JINDAL SAW LIMITED
MR. NARENDRA MANTRI – PRESIDENT , HEAD, COMMERCIAL & CFO, JINDAL SAW LIMITED
MODERATOR : MR. VIKASH SINGH – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

Moderator : Ladies and gentlemen , good day and welcome to the Jindal Saw Q 4 FY '25 Earnings Conference Call hosted by PhillipCapital (India) Private Limited.
As a reminder , all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vikash Singh. Thank you , and over to you , sir.
Vikash Singh: Thank you, Anushka. Good evening , everyone. From the Management side, we have with us Mr. Neeraj Kumar – Group CEO and Whole Time Director, Mr. Vinay Kumar – President and Head Treasury, and Mr. Narendra Mantri – President, Head, Commercial and CFO.
Without taking any much time, I will hand it over to Mr. Neeraj Kumar for his opening remark s. Over to you , sir.
Neeraj Kumar: Good afternoon , friends. Last Friday, we had our Board meeting , which was just following the audit committee meeting. And we have announced the Annual Results as well as the last Quarter Results .
As you would have noticed in this results for the quarter as well as year , there are certain adjustments, I would say accounting adjustments, that have been made based on certain events on the NTPC , JITF Arbitration case and subsequent litigation which is going on in the High Court. Since the Single Bench Judge , which was at that point of time being presided by Dinesh Kumar Sharma , DK Sharma was the Single Bench Judge of High Court who gave this judgment . The judgment actually came as a big surprise to all of us. And therefore we have taken an expert opinion f rom one of the top luminaries in the country. He is of the view that t he Single Bench Judge has probably heard. And he believes it's a very, very strong case for appeal. And therefore without wasting any time , we have filed the appeal from the Single Bench Judge now to the Double Bench Judge . One hearing has already happened. The Double Bench Judge did appreciate the urgency for hearing such case is that there is a merit. So, one has happened . The second hearing is on 22nd May.
So at this point of time, we are in the middle of the scenario where the Single Bench Judge , the judgment came as a surprise to us. We have taken a n expert opinion which believes that the judgment is appealable and we have a very, very strong case to go up the judicial process, which is now the double bench of High Court.
In the meantime , a few other things have happened. And I want to cover all of those first before we get into the financial statements, because the financial statements impact these or have effect of these in bits and pieces and therefore I thought it would be best to cover this upfront. So that's as far as the judicial process is concerned .

If you recall , so far we have received Rs. 850 crores in three tranches. The first one was MGQ one, Rs. 153 crores , then was Rs. 197 crores , and then Rs. 500 crores. All those money s were guaranteed by bank guarantees. As of now , all that money has been repaid. JITF used its own sources. And the promoter company , which is the promoter holding company , which is the family war chest has provided financial support. And the entire Rs. 850 crore has been repaid to NTPC as we speak. All the bank guarantees have been returned. And so that transaction is also complete.
A few important points here :
A, Rs. 850 crores have been repaid within a few days of the judgment of Single Bench Judge coming. Jindal Saw has not paid a single penny. All bank guarantees have been returned . The support came from the promoter group company.
Now,

a s far as this Arbitration award is concerned , there is everything to gain for JITF. There is nothing to lose in the sense that assuming the most unlikely , most extreme situations that the Single Bench judgment just carries through the entire judicial process , there is no counter claim that NTPC has made. So, JITF would not be subjected to any incremental financial burden irrespective of what the outcome of the judicial judgments going forward are.
How ever, if t he judgment goes in favor of JITF , Double Bench and Supreme Court , then JITF has everything to gain. The entire amount along with interest would be paid to JITF. So, JITF will have all the gain. The entire money will come to JITF. That is as far as the cash flow is concerned.
So again, to summaries , please , now take note that irrespective of whatever is the outcome of the final judgment , there cannot be any financial burden on JITF. All the money that was received has been repaid.

On the contrary, if the decision goes in favor of JITF, it gets back everything including interest, which is interest even on this Rs. 850 crores for the date that it is out. That's the cash flow impact. JSAW has not put in a single penny as yet. But if all those money comes to JITF , definitely JSAW will be a beneficiary , and I will come to that in a minute.
Now let's look at the accounting of JITF :
JITF as you know , once it got into this litigation, arbitration , did not have a regular or a very high revenue stream because it all got wrapped up into this litigation. There are this set of 25 barges which are still floating. And they are kind of managing themselves. So , it's a small income, small expense. They kind of take care of each other. And JITF is , at this point of time, operations only surrounding those flying of 25 barges in the Hooghly area which is happ ening .
On the balance sheet of JIT F, to fund this NTPC project and subsequently to fund losses and all of those , there have been some debt. Some quasi debt, some instruments were like RPS etc. ,

which had a kind of repayment possibility but also had a possibility of converting into equity. That's why I call them quasi -equity instruments and some debt .
Now in terms of the accounting parlance , few steps have been taken :
Rs. 144-146 crores of amortized le ase receivable from NTPC which was kept alive in the balance sheet of JITF has been now completely written off which you would see in the consol results.
Rs. 235 crores of deferred tax assets which were created on account of the carry forward losses have again all been written back , have all been de -recognized.
So that makes it an impact of around Rs. 400 crores on the balance sheet. But it's important again to note both of them are just reversing what had been created in the past. So, it has a P&L impact for this year. But it has got zero ca sh impact either on JITF or on JSAW.
Also , all these instruments , they were there, quasi -instruments and the de bt instrument , we are converting each one of them to equity. It is being done in a few steps. The eventual equity shareholding of JITF would be Jindal Saw would own 57%, Siddheshwari would own 42.06%. And the foreign partner would have less than 1%.
Now , once all these conversions have taken place , then there would be minimal debt or any instrument which has any repayment obligation on the balance sheet of JITF . So, it's important for me to explain why did we took all these steps.
I repeat. The judgment came as a surprise and therefore we took it very seriously, took a very firm legal opinion and took immediate legal action. All cash flow impact Rs. 850 crores have been done without Jindal Saw’s cash flow getting strained in any manner . It was JITF funds as well as the promoter group fund, which has done.
Accounting ,

we have derecognized the accumulated losses, the deferred tax assets as well as the unamortized lease rental. And we have converted all the quasi -instruments into equity. The final equity, as I have told you with this there would be minimal obligation on part of JITF to pay anything to anybody at any time .
All these have been done based on a lot of careful thinking , expert advice and to make sure that we take a very appropriate or a situation which can cater to the extreme impossible scenario, but still now it caters to that and therefore all these decisions have been taken in one go.
We are keeping JSAW as still a parent company of JITF b ecause we are still very hopeful that all this money, which is the arbitration amount plus the interest , will come to JITF . It's only a matter of going through this legal process . At that point of time , all this money would flow to different shareholders.

That is where this 57% becomes important. Jindal Saw will get 57% , Siddheshwari will get 42% and the foreign partner will get less than 1%. So, there is no downside for Jindal Saw, but there is every upside of whatever money that JITF receives. It will have a 57% share on that.
So that completes very comprehensively our discussion on the litigation, J ITF, NTPC, where we stand and what is our future strategy. The impact of all this you would have seen in the consolidated financial s, and you would have also noticed that in the standalone financials , there is zero impact.
Let me now turn attention to the Results :
The last quarter results or if you look at the year-on-year results, it would appear that the results are plateauing . They are similar to what we did last year. Whether it is turnover, whether it is EBITDA, whether it is PBT, PAT, everything appears in a band where it can be saying that the performance has been plateauing, which is indeed the case except these comments, which I am going to make.

A, the last quarter usually is the strongest quarter. This year, after the election year , there were not enough budgetary allocations which got released and therefore the water infra projects, especially in Jal Jeevan Mission got held up. That has impacted the last quarter's execution and that's where you will see there is a dip in the last quarter top line which is usually not the case . It's an anomaly.
Looking at that, we also deliberately slow down taking of orders because we have enough orders, but as I have been saying in the past, we want to , typically , we want to have 9 to 12 months, 9 to 10 months of order book is where we like because that gives us time for the raw material , production, supply, invoicing and collection. So, because there was going to be a plateauing in the last quarter , we slowed down the taking of orders as well.
Based on the national budget, all this has been corrected. Jal Jeevan Mission has got Rs. 60-70,000 crores. The project is taking off and slowly as the money would percolate , we hope that next quarter, which is Q2 onwards, we should see the full impact of the growth trajectory for these water projects and oil and gas projects . So, Q1 may also see a result which is similar to what we saw in Q4.
Going down , foreign exchange has been stable. In fact, Dollar has weakened. Rupee has strengthened. That had a positive impact on our financial charges, and therefore it did contribute to the improvement in the financial charges. On a standalone, if you see EBITDA , as we have always been saying, now we are going to be in the 19 to 20 range. We maintain that , and we shall be maintaining the 19 % to 20% EBITDA in the coming year as well . That is what our estimate is.
Luckily, the raw material prices are in a band where the commodity prices seem to be stable and easing out. Going forward , looking at the China scenario , we don't see any disruption in t

he

commodity prices because China will have to do a lot of balancing in their supply chain and the commodity sale. So , we expect that it should be in a reasonable range only.
Coming to the U .S. tariff :
The commodity stability in commodity prices is the kind of one of the impacts, secondary result of the U .S. tariff. But directly U .S. tariffs doesn't have much impact on us because India has not levied any reciprocal tariff. No other country has gone that way . Only China has put the reciprocal tariff on US. So, we do not export much to U.S., or it's a very minimal that we export to US. So, U.S. tariff is not going to impact us.
Indian tariffs have not changed, so any import would not. No other country has followed this. So, every country that we export to, it's all status quo. So , the direct impact of U .S. tariffs on Jindal Saw’s performance, the answer is nil. The indirect impact is stability in commodity prices, because China will have to make its adjustments.
Likewise, now let's shift to the consolidated results. Everything is similar to standalone except for, you would see that in the PBT, you would have that impact of Rs. 146 crores and in the tax which in consolidated results appears as 386. You will have that impact of 235 or deferred tax being the conversion of other quasi -instruments et cetera into equity . It's a balance sheet item. It doesn't show up anywhere here, but already I have given you all those details .
Otherwise , there is nothing much in the consolidated results except status quo plateau performance, where everything is kind of moving at a very high capacity utilization . Things are happening . There was little hold back in the last quarter because of the Government of India , I would say budgetary release of funds . Otherwise , there is not much that we can talk about on those consolidated and single results.
Sale quantity also if you compare year-on-year, they seem to be similar. Already spoke about the order book. 1.4 billion last year , 1.325, the marginally lower , more of a deliberate strategy because we were seeing some slowdown in Q4. So, it will come back because yesterday only we got a very good order from Saudi. So , the order book will come back . The ratio of export to domestic remains similar in the range of 23 % to 25%.
So, status quo this year also appears to be a by and large, status quo except for a few comments that I am going to make. So , the year '26 also appears like similar to what was there in '24, what was there in '25 except that some of the CAPEX that we have already incurred in the last one or two years , capacity expansion in DI in Haresamudram , capacity expansion in seamless in Nashik, c ost reduction initiatives like introduction of PCI 3rd Coke Oven Battery in Pra gpur, subsequent generation of energy from waste to heat.
So, those will have an impact, which will be a positive impact on the 2026 standalone financials. Otherwise , we can take it again as a status quo, but once we have the full impact of Nas hik, once

we have a full impact of the Haresamudram, those capacities going up , the cost impact then it would make a visible impact on the financials of '26.
As you would have seen, our focus on debt continues to remain very tight and the term loan has gone down to , I would say now we have repai d some further after what has been shown in the March. So , our term loan is now in the vicinity of Rs. 600 to Rs. 700 crore. Our net worth would be in the vicinity of close to Rs. 10,000 crores.
So, Rs. 10,000 crores of net worth , term loan of close to Rs. 600 crores , working capital is around Rs. 1,800, which is again an improvement over the last year because last quarter since there was too much focus on collection and that helped us reduce our working capi

tal. The debt profile is
well under control and would remain that way.
Still we are looking at new projects. We are looking at what all we can do on the top of the goodwill and everything that we have created in KSA especially when we completed our neo m project. What all we can do in India ? Already, as I said, the seamless , the DI have already been upgraded, capacity is being added. Bhilwara, as you know, we have a commitment and assurance to the Government of Rajasthan for the steel project. So , now these things have been brought on the drawing board , and we are looking at each one of them carefully. Maybe by next quarter , we may have firmed up on a plan of action. And then we would let you know.
One thing that again, I wish to assure you , that we would be diligent . Those things would be planned in such a manner that there is no cash flow strain . The debt does not go out of whack. We keep an eye on our rating, which is Double A, and it's significant to mention that even after this J ITF Single Bench judgment, we repaid everything , the rating has not changed. The rating people were not at all worried about anything . That's an important thing which should be mentioned. So , we will keep an eye on our rating.
We will keep an eye on the opportunities, and we will examine all these projects and then put them on our timeline so that they give the fillip for the next round of quantum growth without impacting the debt structure or the capital structure of the company beyond what we have achieved so far.
This year also, since the results were similar , we have maintained the same dividend payout. Idea is to conserve cash as we are looking for now getting into some new projects. As I mentioned, I have given indication to a few that we are looking at . Next quarter, maybe I would have more to tell you.
The Hunting JV is doing well. This year , the proportion of profit which has come in the consolidated financial results , PAT from Hunting is about Rs. 27 crores. So that would give you and that in the first year of operations, it has earned a profit of Rs. 50 crore plus. They are full on order book at this point of time. At this point of time, we do have a first mover's advantage.

On premium connection, we are the only one currently operating in India and we are doing well. That should continue to do well.
That I think more or less covers everything that I wanted to tell you in my opening remark. Let me stop here now and take a few questions. Thank you very much.
Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Poojan Shah from Molecule Ventures. Please proceed.
Pujan Shah: Hello. Sir, the first question would be on the JJM side. So we know that there is a slowdown in JJM Mission from last 8 -9 months. So , how is the current demand and what is the order book now we have been getting out in terms of traction and all that stuff ? Did t he state or the center has been releasing the funds ? And continuing with the same question , we have also listened about the JJM fund has been slashed by 50% by the Government . So then how the economics will work? Do the project which has been liable to complete , so can you just give a broad thought on it?
Neeraj Kumar: Okay, Jal Jeevan Mission, w hat appeared as a budgetary delay of funds has all been restored . This year, the Government has released Rs. 70,000 crores. So , that puts the JJM projects on track. The full impact of that would come in Q2 onwards . And you said 50% slash. I don't think that is the case.
The state Government s as well as J JM put together are going full throttle on water infra projects. Now even the states with the help of multilateral agencies, some from their own sources are going ahead . So the demand for the water infrastructure is very good giving rise to a

lot of
demand for pipe .
In fact, now many of the states have come up with a new business model , which they call HAM , which is a hybrid annuity model where the EPC contractors are expected to participate in a big

way wherein they become a partner with the Government even in putting equity and then they implement the whole project , do the O&M for a period of time and then hand over. So , that's the term that they use is HAM , which is Hybrid Annuity Model . And it's a mix of PPP build, operate, transport, build, operate transfer and also on as you progress in the project . So, there is a talk about …

Pujan Shah: Sir, just a follow -up question on the.. .

Neeraj Kumar: Sorry.

Pujan Shah: Yes, just a follow -up question . Your voice was not clear on the , so wh en you will see the full impact of JJM? In April? May?

Neeraj Kumar: Q2 FY2026 will see the full impact of all the water infra projects, including JJM projects coming on the growth trajectory.

Pujan Shah: Right. Got it, sir. And in terms of funds, there is no challenge as of now. But do you feel after 2028 when the Jal Jeevan Mission will get completed, there will be a need of that mission or any other mission which will have that facility for the aggregate supply of water? Or it will restore through like any other mission like that ?

Neeraj Kumar: See, if you look at today , the water grid system in every state , there is still a lot of headroom to go because there is a lot of flooding still. If you look at the aggregate amount of rainfall in a country for the full year, aggregate all over geography , and if you add up all your consumption of water again full year aggregate , all they get balanced .

But still there are places where there is no water , and there are places where there is flooding. There are places where all the excess good water flows into the sea. So , this water management grid, there is a lot of scope to do this management wherein the sources , the storage, the distribution and the timeline is such that all this mismatches on a timely basis , seasonal basis can be met and therefore there is a lot of scope which still can be seen river diversion.

A few announcements that Government has recently made may also give rise to a lot of opportunities. So , there is a lot of options or a lot of opportunities going to come in water in fra projects for at least next five to seven years.

Pujan Shah: Got it. And then my last question would be on the DI side. So , we know that the many companies are expanding their capacity and even we have getting some better option, little products like OPVC. So , do you think that will be a challenging part in terms of DI pricing and realizations coming?

Neeraj Kumar: No. See , the demand, the growth in demand will take care of all the capacity . Number two, even if there is this incremental capacity, we would always at the core because we have a cost advantage , we have a locational advantage , and we have an advantage of being an established player in the market. So, any newcomer will have a higher burden of interest depreciation, their cost of production , manpower, everything for them would be a challenge , and we would be sitting in our leadership position . So, therefore , those additional capacity et cetera does not bother us much.

Pujan Shah: In terms of optionality products like OPVC , do you see the replacement of DI would be , like, there would be any replacement for it or it won't exist because of the quality of product ?

Neeraj Kumar: DI has not been replaced anywhere in the world. If you look at Europe , in fact, what we expect as the country develops a nd the people, the Government and everybody becomes more cautious towards portable water , we expect that DI should be used even in the smaller diameter where HDPE et cetera is being used because from a health pers

pective, from a quality perspective, from a product life cycle, if you take the full life cycle, a DI pipe can last up to 40 -50 years. No HDPE pipe lasts for that long.

So, if you see during a full life cycle, the redigging and the relaying , then those options become much more expensive option. In some cases , they have become an impossible option because if you have an urbanization then , you know , keep on digging all over the city becomes that much of a problem. So , as these realizations come into Government and the users , we expect DI to not only stay, but to also replace others even in the smaller diameter.

Pujan Shah: Right . Got it, sir. thanks for the opportunity. I will join back in the queue .

Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants in the conference, please limit your questions to two per participant. The next question is from the line of Vedant Sarda from Nirmal Bang Securities Private Limited. Please proceed.

Vedant Sarda : Hello. S ir, my query is regarding the cash losses we have faced in our subsidiaries . Like in

current year, it is around Rs. 357 crore , and last year it was Rs. 157 crore , JITF part.
Neeraj Kumar: Can you come again?
Vedant Sarda : Sir, in JIT F, Rs. 345 crores of cash losses in the current year and Rs. 157 crore cash loss in previous year.
Neeraj Kumar: Rs. 157 crore of cash loss , 57.
Vedant Sarda : In previous year. And 345 in the current year.
Neeraj Kumar : So, 146 is considered as a cash loss. See, I don't have those figures in front of me . So, why don't I suggest that please write to us . RAJEEV Goyal , today he is not joining us on this call. He is not in the office . He would answer that very specific accounting entry because broadly I have given you everything in terms of the adjustments, but if you really want to know that specific thing or have you found one ?
Vedant Sarda : It isn't reported in the CARO report.
Neeraj Kumar : Just hold . Mantr i is trying to answer that . Narendra Mantri is our CFO. So , he just got that .
Narendra Mantri: Current year numbers which you are seeing is inclusive of this Rs. 146 crore , which we have explained earlier. So, if you exclude that number, then both the numbers are at the same range.
Vedant Sarda : That Rs. 345 crore is impact of deferred tax.
Narendra Mantri: No, no. Defer red tax is after this . I am saying Rs. 146 crore , this reversal of JITF unamortized assets , so that is inclusive of , that Rs. 350 crore inclusive of that. So , if you exclude Rs. 146 crore out of that.

Vedant Sarda : Okay. Thank you , sir.
Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants in the conference, please limit your questions to two per participant. The next question is from the line of Deepak Lalwani from Unifi Capital . Please proceed.
Deepak Lalwani: Yes, sir. Thank you for the opportunity. Sir, on the order inflow, your comment that you expect JJM to come back in Q2 , have you seen any green shoots in terms of the bidding for the projects or any tenders for the water projects that have already started? Have you seen that in April month?
Neeraj Kumar: Yes.
Deepak Lalwani: And on t he inflow side , should, yes, sir. That was my question .
Neeraj Kumar: Answer is yes. That's why I am telling you our confidence of it picking up in Q2 comes from that yes, things have begun to happen in terms of tenders, in terms of discussions and all of those we have seen in many states.
Deepak Lalwani: Okay. A relative question to that . Sir, in this environment of weak demand, has there been any correction in terms of the DI pricing?
Neeraj Kumar: No. When there is a weak demand , see,

that's why we slowed down our order and what we are executing is order which has already been taken. You must understand DI , once you bid , that price more or less holds true for the next six to seven months. So , these kind of temporary connections do not impact the DI prices or margins in the long run . There are few because today what we would be bidding , we would be running with those prices for the next 6 to 8 months, but it will not impact my Q1 if ther e is a certain drop in the raw material price or there is a slowdown or anything .
Deepak Lalwani: Understood .
Neeraj Kumar: But a s far as we are concerned, we are confident of maintaining our EBITDA margin around between 19% and 20% that EBITDA margin would be maintained on a on a full all product basis.
Deepak Lalwani: Got it. S ir, in the order book that we mentioned that we have 13 lakh tons of order book in terms of pipe. How much would be the DI pipes again ?
Neeraj Kumar: Hold , probably you got that wrong. I said we have an order book of $1.3 billion , not lakh ton.
Deepak Lalwani: So, there is a mention of 13 lakh tons in your PPT. Hence that question .

Neeraj Kumar: Yes, that 13 lakh is there. But I did not mention it in my speak. So , you are referring to the PPT , then it's fine. I just wanted to make sure that you are speaking of number from PP T, yes.
Deepak Lalwani: How much would be DI pipes ?
Neeraj Kumar: That’s about n ine months. Sorry .
Deepak Lalwani: How much would be DI pipes out of the 13 lakh?
Neeraj Kumar: DI pipe would be around 6.25 lakhs.
Deepak Lalwani: 6.25. Okay, got it. And this number sequentially, how is it move d, sir? That 6.25 lakh.

Neeraj Kumar: This number ?
Deepak Lalwani: How is it sequentially moved between Q3 and Q4, sir?
Neeraj Kumar: As I told you, the order book has come down . So, it has come down from 6.8 to 6.3.
Deepak Lalwani: Understood. Got it. Sir, last question from my side. The debottlenecking CAPEX that we are taking in DI and the seamless, some minor capacity addition that we are doing in Nas hik, how much should these two initiatives add to our volumes in FY '26?
Neeraj Kumar: Nashik capacity would go to 4.5 lakh tons , and we would add about 1 lakh ton in Haresamudram . The total capacity in Nas hik, 4.5 , and Haresamudram, old capacity plus 1 lakh ton.
Deepak Lalwani: Got it. Sir, I was trying to gauge the utilization that you can achieve.
Moderator: Mr. Deepak. Hello, sorry to interrupt.
Deepak Lalwani: Yes. I just wanted to complete this question. Okay.
Moderator: All right.
Deepak Lalwani: Yes. Can I go ahead?
Moderator: Hello . Sir, I would request you to return to the question queue for follow up questions. Hello. The next question is from the line of Radha from B &K Securities. Please proceed.
Radha: Hello, sir. Thank you for the opportunity. And I wanted to thank you specifically for the detailed opening remarks, especially on JITF . My first question was you mentioned in your opening remarks that current capacity are already running at full utilization. So , from a base of FY '25 on the pipe front, how much volume growth are you expecting in the next two to three years ?

Basically my question was regarding , I wanted to understand what is the road map to achieve Rs. 5,000 crores of EBITDA from a current base of Rs. 3,400 crores of EBITDA .
Neeraj Kumar: You have put a lot, lot many questions including A speculative question which is the EBITDA going to 5 ,000 from 3 ,000. Where did you get this 5 ,000 number from?
Radha: No, sir, for that only I wanted the road map. So , currently we are doing Rs. 3,400 crores of EBITDA.
Neeraj Kumar: But the road map is…
Radha: So, I wanted to get the visibility to...
Neeraj Kumar: Madam, hold.
Radha: Yes, sir.
Neeraj Kumar: Fi

ve is not a number that company has ever put out in the public domain . The way you asked your question , it look like somebody, somewhere from the company side has put the five in public domain. So , that is not so . Simple question , 5 or 4 or 3 or 6 , at this point of time, the company is in the range of 3,300. 3,400. As you said , the road map for next two to three years is Seamless going from the present to 4.5 lakh, DI adding 1 lakh ton.
On large Dia, we expect that maybe there is a headroom because as you know in large Dia pipes because of the changeover , the thickness etc. , there is a headroom. We can expect 10 % to 15% growth. So , these are the three that we are going to get in terms of volume growth over the next two to three years. We will be getting cost reduction on account of coke oven , on account of PCI, and on account of other. Then we would get an incremental margin on account of things like threading , premium connection, OCTG , value added products, stainless steel and all of those.
So, next two to three years, you will see the growth and improvement from three buckets. A , moving towards value add , more coating , more stainless, higher grades , some volume because of these capacity and improvement in EBITDA because of the reduction in the cost because of the initiatives that have already been taken. That's what the impact is going to be over the next three years. And that is for you to make your assessment of where that current 3 ,300 or 3 ,400 EBITDA reaches.
Radha: Yes, sir. Just wanted to clarify . This 5,000 crores was my estimate and was not stated by the company. And to achieve this number, I basically wanted to understand whether over the next three years achieving 13 % to 15% volume growth is possible considering the capacities that we have.

Neeraj Kumar: Yes, as I have given you all the guidelines and now I would leave it to your judgment. And still if you need some more input , I would encourage you please write to the company. We will get back to you and we can have a longer discussion so that it gives you whatever more inputs that you need.
Radha: The second question, sir, is regarding.. .
Moderator: Sorry to interrupt , Ms. Radha. Hello, sorry to interrupt. I would request you to return to the

question queue.
Radha: Yes, ma'am. The response , the second response was actually to clarify that it was not the guidance from the management . It was not a question. So , is it okay if I go on with the second question?
Moderator: I would request you return to the queue.
Radha: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Surbhi Saraogi from Nexo me Capital. Please proceed.
Surbhi Saraogi: Thank you for the opportunity . Sir, my question is regarding the fall in selling prices of DI pipes. When do you expect the prices to be correct ?
Neeraj Kumar: Again, Madam, you have also asked another speculative question. Where have we ever said that our DI prices are falling?
Surbhi Saraogi: No. Sir…
Neeraj Kumar: Our DI prices stay stable , and we don't expect any fall in our DI price , and therefore the correction of whatever that you are talking about is not relevant to as far as Jindal Saw is concerned.
Surbhi Saraogi: No, sir. I was talking about the market prices, not regarding our order book.
Neeraj Kumar: Madam , market price, what constitutes market price? The order book constitutes a market price. Jindal Saw is not reducing any of its DI price. Full stop. We don't expect the price to be reduced in the near future. We are getting orders at the prices. We are maintaining our NSR . We are maintaining our margins.
Surbhi Saraogi: Okay, sir. Understood. Thank you.
Moderator: Thank you. That was the last question for today. I would now like to hand the conference over to Mr. Vikash Singh for closing comments.

Vikash Singh: Thank you, operator. I would like to thank Jindal Saw management for giving us the opportunity to host the Con Call. Now , I will hand over to Mr. Neeraj Kumar for his closing remark. Over to you, sir.
Neeraj Kumar: Thank you all the investors . Probably I expect , I thought that there were a few more questions that you may wanted to ask. But as I said, I encourage all of you that please write to us. We would encourage a one -to-one discussion or maybe even a group discussion so that all your questions get answered. Some of the detailed accounting ones where I don't have the detail , we will answer you. And thank you all very much . With that comment , enjoy. See you next quarter. We continue to do well , and we will continue to put in our efforts. Thank you. Bye.
Moderator: On behalf of Phil lipCapital (India) Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

August 11, 202 5

BSE Limited National Stock Exchange of India Limited,
Corporate Relation Department Listing Department,
1st Floor, New Trading Ring Exchange Plaza,
Rotunga Building Phiroze Jeejeebhoy Towers Bandra Kurla Complex
Dalal Street, Bandra (East)
Mumbai - 400 001 Mumbai – 400 051
Stock code: 500378 Stock code: JINDALSAW

SUB.: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Investor conference call on the financial results of the Company

Dear Sirs,

This is with reference to the captioned subject and our letter s dated August 01, 202 5 and August 06, 2025. Please find attached the transcript of the conference call organized by the ICICI Securities Limited for analyst and investors on the Un-audited (Standalone & Consolidated) financial results (Q1FY26) of the Company for the quarter ended June 30, 202 5 on Wednesday , August 06, 202 5 at 15:00 Hrs (IST) and the same has also been uploaded on the website of the Company .

This is for your information and record please.

Thanking you,
Yours faithfully,
For JINDAL SAW L TD.,

Sunil K. Jain
Company Secretary
FCS- 3056

“Jindal Saw Limited

Q1 FY '26 Earnings Conference Call ”
August 06 , 202 5

MANAGEMENT : MR. VINAY KUMAR – PRESIDENT HEAD AND
TREASURY – JINDAL SAW LIMITED
MR. NARENDRA MANTRI – CHIEF OPERATING AND
FINANCIAL OFFICER – JINDAL SAW LIMITED
MR. RAJEEV GOYAL – SENIOR VICE PRESIDENT , HEAD
CORPORATE FINANC E – JINDAL SAW LIMITED

MODERATOR : MR. VIKASH SINGH – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '26 Earnings Conference Call of Jindal Saw hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Vikash Singh from ICICI Securities Limited. Thank you, and over to you, sir.
Vikash Singh: Good afternoon, everyone. Welcome to Q1 FY '26 Earning Conference Call of Jindal Saw. From the management side, we have with us Mr. Vinay Kumar, President, Head and Treasury; Mr. Narendra Mantri, basically he is the Chief Operating and Financial Officer; and Mr. Rajeev Goyal, Senior Vice President, Head Corporate Finance.
Without taking any much time, I'll give the -- to Mr. Vinay Kumar for his opening remarks. Over to you, sir.
Vinay Kumar: Thank you very much, Vikash, and good afternoon, friends. I welcome all of you to the Investors Call of Jindal Saw Limited for Q1 of FY '26. We also place on record our appreciation to ICICI Securities for hosting this call and providing this platform.
As you know, like in the Board meeting held on 5th August, which was yesterday, the Board reviewed, discussed and approved the unaudited results of the company and the same were also communicated to the stock exchanges and to investors. Thus, I presume that the results would have been received and reviewed by all of you so that we can have a meaningful interaction.
Now to provide a broad overview on various aspects about the operations of the company, subsidiaries and other updates. First, about the results. Q1 of this quarter, the Q1 for FY '26, by far, we have demonstrated softer results as compared to previous yea r and a couple of previous quarters.
Despite the demand of almost all the products remains robust, which is reflected from our order book also. But due to various reasons, the production, sale and profitability in Q1 remained a bit softer.
Couple of reasons includes like -- and you would have seen it in our peer group companies also. There remains cash flow issue with the customers, primarily with the EPC contractors who are normally funded by the multilateral agencies or the authority’s award. And this impacted the offtake and the sales, specifically in the water sector. And like 60% of the business of the company is on the water sector.
So this sector is significantly dependent on the funding and support from the various authorities. So there remains a gap in the requirement funds and disbursements, which has impacted the entire value and supply chain, especially for the water sector, whi ch includes ductile and helical pipes.

Secondly, in the last several months, we witnessed military conflicts and other geopolitical issues in MENA regions, Red Sea, Persian Gulf and other nearby area. And India also saw a limited military contracts with its neighbour . These further aggravated the matter where some of the export shipment was forced to defer to Q2 from Q1. So we were basically about to ship some material for export, but it had to be deferred.
And good to know like this has already been shipped in July. And so it is deferment of the sale from Q1 to Q2 practically. Thirdly, the company took scheduled maintenance in one of the 2 blast furnaces in Mundra. So you know like we have got 2 blast furnaces for ductile iron pipes in Mundra, Gujarat and 1 blast furnace is in South India, which was Sathavahana erstwhile .
So one of the blast furnaces, these are regular revamp s and the maintenance. So one of the blast furnace was under

the scheduled maintenance. So it remains there for 2 months in Q1. It still continues till now. We expect that it can be put to operation in August, if not beyond that.
And of course, to that extent, some of the production loss has happened, which is a normal feature. It's not like it is first time. It's a normal feature every year. One of the blast furnace takes some scheduled maintenance. And broadly, anything around 40 ,000 to 50,000 tons of production got impacted for that on for the ductile pipe and pig iron.
Similarly, our pellet plant, which is in Bhilwara, Rajasthan, which has a capacity of close to 1.65 million tons. So this plant was also under scheduled maintenance for more than a month, let's say, a month in Q1. Broadly, you can say, let's say, we would have lost close to 120,000 to 130,000 tons of pellet for that.

But these are the scheduled things, of course, and this happens every year, maybe once in 2 years. These are the major factors which resulted in comparatively lower production and to some extent, lower sale also. Due to all these reasons, our working capit al borrowings have also inched up in this quarter.
If you compare it with the previous quarter, the working capital borrowings have gone up, whereas the term loans have gone down. We have repaid the term loan, which we took for acquisition of Sathavahana facility. So in the first quarter, the entire term l oan has been prepaid. Now we are carrying a long -term debt of less than INR600 crores in our books, which includes INR500 crores of the LIC bonds, which are payable in 2028, '29 and '30. So broadly, other than that, there is hardly any long -term debt. And we place on record our sincere appreciation to our banks to reinforce their faith in the company and business model.
We have sufficient working capital lines to manage our operations efficiently and even we can cater to a higher turnover with the existing working capital facilities. However, you may notice that we -- despite a lower profitability, we have still recorded EBITDA of approximately 16% plus, which is still better than what we were reporting 2 or 3 years ago.

Eventually, we were used to be in the bracket of 12%, 13%. Of course, last 2 years were very good. But we are still -- it's not like -- despite all these things and despite lower raw material, lower realization, we still reported 16% plus EBITDA.
So the geopolitical situation and the release of funds by authorities still remain challenging. We expect the situation to improve. The interactions are happening with -- by the industry, with the authorities, if the situation can improve, we expect that i t should improve. And thus -- but yes, pending that, it is difficult to predict and provide a very clear outlook that what is likely to happen in the short to medium to long -term time.
But we believe that we have robust order book. We have one of the best order books in the last couple of quarters. We are geared up after the ductile -- the blast furnace would become operational. We believe we can ramp up very quickly. But yes, it will de pend on how the funding support is provided. But the outlook, we believe that the outlook maybe in very, very short term could continue what it was in Q1.
But beyond that, the outlook looks much better, considering that government can come and start disbursing the funds. We have provided details of our order book in our notes, and we have orders in hand plus the LOIs what we have received. We have order book of approximately $1.5 billion and above. And in terms of tonnage, we have 16 lakh tons of confirmed order and close to 2,65,000 metric tons of the LOIs, which are for ductile domestic market. In case of ductile, we normally don't export from India.
We primarily do exports from -- or we primarily sell in the international market to our Abu Dhabi facility. The overall long -t

erm debt position, as we mentioned, remain very, very
comfortable as we have repaid the long -term debt and the only debt remain in the books is of -- primarily remains with the LIC bonds.
Working capital utilization is subject to working capital cycle business environment. We hope to see improvement there as well. We believe that once the inventories are getting out of the books, there will be collections and there'll be -- there are receiv ables which are yet to be collected.
We believe that in a couple of months, the working capital utilization level will come to more acceptable level and it could -- overall debt will come down. We also consider that these events as exception and thus they are being dealt exceptionally without impacting the relationship at any level with the customers, with the authorities, with the inventors and all.
Further, now let's move to UAE operations, where we have ductile iron pipe operations. We have done well in UAE as compared to previous periods. We have recorded sale of approximately $60 million with comparatively better profitability. Now since the corpo rate taxes have been implemented and introduced UAE, these operations and consolidated results reflect the same well. But you would have seen that the impact of the taxation in UAE.
In UAE, we have order book of close to $270 million, which is also higher as compared to the previous couple of quarters. So we are practically booked for next 1 year in UAE, and we still

are receiving more orders in that market. Our company also has marginal operations in U.S. It's not a big facility. They are doing quoting, double jointing and a few job work. But the Q1 for U.S. was also comparatively better than compared to previous year s. It reported better profitability as well.

Now moving to Jindal ITF, the legal conflict what we have with NTPC. There is nothing much to report as compared to what we reported earlier. The matter come to the double bench in Delhi High Court twice, but the court has deferred the same to another date , which is now scheduled on 25th of September.

We will see like -- we want that the argument should start at least. And once the argument start, it should not take much time because the matter has already been heard by the single bench court, but we are waiting for the arguments to commence.

In June 2025, the Board approved 3 new projects in GCC and MENA region. You are aware that majority of India pipes are exported to GCC, MENA region and Persian Gulf region, including UAE, Saudi, Iraq and other countries. These nations are now looking for e conomic diversification to reduce their dependence on oil on the long -term basis.

Thus, in long term, they want to see the manufacturing sector growing locally. And to remain competitive and be present on these markets, one has to work proactively and align as per their vision statements of these countries.

As Jindal Saw is already a meaningful supplier to these regions and also local DI pipe manufacturer in Abu Dhabi, we thought it fit to expand our operations in these horizons suitably. Hence, the announcement to set up a seamless pipe manufacturing plant i n Abu Dhabi, a helical pipe plant and a DI facility in Saudi was made. And we also had a follow -up conference call to provid e overview of these facilities.

We mentioned that these projects would take 2 to 3 years' time. Seamless might take 3 years' time, helical might take 2 years' time, ductile maybe take another 1.5 years' time. So this will take -- gradually, these will come in operations. And as and when these will come in operation, they will get consolidated and the financials would get reflected. And we would -- as and when there is any meaningful progress, we'll keep updating to the investors on subsequent conference calls.

But as of now, we are in the process of doing the basic work, groundwork,

incorporating the company. So nothing much concrete has been done, but we are in the process of setting up the company. We are in the process of, let's say, doing the basic corporate processes. So we provided brief about these projects in the last call and really happy to, let's say, answer all these things. Now I'm not discussing the results very specifically because results are already communicated. We want that to, let's say, make it more interactive to attend more of questions. So I'll leave the floor open for the questions and answers.

My colleague, Mr. Narendra Mantri and Rajeev Goyal are also here. Happy to address any of the questions for all. Thank you very much.

Moderator: The first question is from the line of Sailesh Raja from B&K Securities.

Sailesh Raja: Sir, despite the product mix, geography exposure and recent plant shutdowns, we have managed to deliver a stronger EBITDA per ton in the pipe division during first quarter. So operationally, it is commendable, congratulations to the team. So I have 2, 3 questions to ask. First question, over the past 2 years, we have achieved over 1.8 million tons in pipe volumes, which helped us realize significant scale benefit and also the favourable product mix.

Especially driven by the soft pipe exports and strong DI market also contributed meaningfully to our improved profitability and return ratios. So given the near -term challenges such as the lower government spends and weakness in the overseas market, so how do we see volume growth in the current year?

What kind of growth that you see in the current year? If there is a growth, what are the key levers that will drive the growth within the pipe segment?

Vinay Kumar: Okay. So thanks, Sailesh, for asking this question. I think this question will set the tone for the rest of the next 45, 50 minutes. So eventually, you have already answered half of the question for me. So we don't see -- if you have seen the order book of the company, and as we mentioned, we have very -- I mean, robust order book at this point of time, which reflects like if the scenario remains supportive, that what we can do.

So effectively, we have close to, let's say, in June 25, we have announced 15,60,000 tons of orders, which includes an order -- a single order, this is from MENA region for job work, that is close to 4 lakh tons. I don't know if it's good or bad, but the revenue would be limited to the extent of the job work thing. But the percent of profit will be higher because we don't have the

raw material to our account.
So I don't think that we have -- and on the top of that, we have said 2,65,000 tons of LOI for ductile. Now why we don't include this into the regular order book, it's a process of the company. It's not like we don't have the order. It's basically this was received at the back end. And as per the systems of the company, unless these orde rs are, let's say, converted into sale order and enter into, we don't consider the sale order.
But if you include this 2,65,000 tons, we have order book in excess of 18 lakh tons or maybe close to, let's say, 19 lakh tons, including job work and all put together, okay? Now -- so one part of your question is that what is the visibility in terms of volume. The visibility is very strong in terms of volume. We have -- I mean, 1 quarter has become history. We have 9 months or, let's say, 3 quarters to perform.
So in the normal environment, we should perform better than what we have done in the last quarters. There are 2 things. The performance of the company is benchmarked with the numbers. Numbers start from the turnover. The turnover is a function of the volum e and the value.

Now volume, we are -- we don't have any issue. In terms of the value, you would have seen the moderation in the raw material pric

es in last, I think, 3 to 4 quarters. The prices of the coal, the prices of the steel, the prices of iron ore, all raw material prices have moderated to a reasonable level, which is a good sign.
But eventually, that leads to lower -- in time to come, that will lead to the lower top line also. So if we consider whether the company can perform and deliver better than what we have done in the first quarter or maybe in the last quarter, I think, yes, in the quarter -- in the 9 months or 3 quarters proportionately. Value is likely to be lower, backed by the lower realization, profitability...
Sailesh Raja: For volume growth only.
Vinay Kumar: Yes, volume growth is there, but the caveat is, as you started your question, the caveat is because we don't want to sell if you don't collect. So right now, if, let's say, the situation of the cash flow starts -- it becomes smooth, we have some inventory. We have the production capability, we can roll out very fast. And in fact, EPC contractors are also holding back the rollout in across the country can happen very fast.
Having said that, it is purely the water sector, which is getting impacted because of this. But if you'll talk about exports, if you'll talk about, let's say, to some extent, the seamless, that doesn't get impacted because of the, let's say, the funding by the multilateral or the government agencies. That remains broadly on course, and we believe that we can do better than what we had done earlier in those segments.
Sailesh Raja: Okay. Okay. Great, sir. Sir, my second question, if you see stand -alone seamless and DI pipe companies, they have reported subdued performance in 1Q. Yet we have posted healthy EBITDA of INR671 crores despite your 2 months of shutdown in DI plant and 1 month shutdown at the pellet facility.
So what were the key drivers of this robust performance? Was it largely led by power segment? And also, I wanted to know, last year, we reported scrap and export incentive value of around INR700 crores. So how much we have reported in1Q?
Vinay Kumar: No, I have not hear -- I've not understood your question properly. Can you please repeat the question?
Sailesh Raja: Yes. So stand -alone seamless and DI pipe companies, they have reported weak set of numbers in 1Q…
Vinay Kumar: Okay. But we have posted -- of the company...
Sailesh Raja: Yes, yes, yes. So we have posted INR671 crores, including 2 months of shutdown in DI and 1 month of shutdown in pellet. So what was driving this INR671 crores of EBITDA? Was it largely led by SAW segment?

Vinay Kumar: Okay. So -- okay, eventually, yes. So this would be -- look because in our case, it is a combination of all the products. It is very difficult to say like whether it is because of SAW or it is because of one or other. Of course, ductile, as we have given the information, ductile we did -- in the first quarter, we did close to 1,33,000 tons and seamless, we have done close to 55,000

tons.
But overall, the tonnage is lower. So one second -- so overall, the tonnage is lower, but as compared to the Q1 of last year or you can say Q4 in the last year, the tonnage in all the segments are lower, except that the seamless is, let's say, against 60, we are 65, which is broadly okay.
Sailesh Raja: Sir, my question is how -- what was driving the INR671 crores of EBITDA? If you do say whatever the industry reported EBITDA in seamless and DI pipe, seamless is around INR12, INR13...
Vinay Kumar: No, one second -- so Sailesh the EBITDA for stand -alone is INR560 crores. Okay. And EBITDA for console is INR688 crores. So INR671 crores, that's why I was getting a bit confused.
Sailesh Raja: Which was other income?
Vinay Kumar: We got other income -- don't see much other income and we don't have much of other income, which is included in this. But in the stand -alone for 30th June '25, our EBITDA

is INR560 crores,
and -- but consol, we have INR688 crores.
Sailesh Raja: Yes, yes. Sir if I do the calculation, sir, it is coming and getting very high EBITDA per ton in soft pipe. Do you think it will be sustainable?
Vinay Kumar: No, no, we don't calculate that way. Okay. I appreciate what you're asking. See, internally, we know, but we don't calculate for the others that way that what is the EBITDA per ton for each of the individual product. So we consider pipe as a pipe all put together. Of course, I appreciate what you're saying, you're trying to benchmark my seamless with the Maharashtra Seamless, my ductile with Electrosteel ’s ductile also let's say Man or Welspun.
So somehow this is a practice of the company which we adopted for accounts and for, let's say, for everybody that we do not distinguish between the products and we consider pipe as a pipe.
So you have to do that benchmarking separately on a memorandum basi s.
Sailesh Raja: Sir, what was the scrap export incentive value for this quarter?
Vinay Kumar: I don't have this number right now, but I don't think that we have anything -- any major amount in this.
Sailesh Raja: Okay. Okay. So sir, last year it was INR700 crores full year. Sir, one last question.
Vinay Kumar: Yes. Go ahead.

Sailesh Raja: Yes. So there is no doubt our valuations remains highly attractive. However, we see the major overseas project is expected to contribute meaningfully only after 2, 3 years. So what are the internal drivers that will support EBITDA growth in interim period that is my last question sir?
Vinay Kumar: Okay. So basically, you're asking what is on the outlook of less the profitability and the performance of the company?
Sailesh Raja: Yes.
Vinay Kumar: Okay. This is a question. So number one, like we can give a very helicopter level kind of outlook because we normally don't give the guidance. That's what we follow very consistently. And -- but in terms of outlook, our outlook, whether it is us or any of the pipe company, the outlook of any pipe company is judged from the order book. That's number one.
Number two, we mentioned in our note that we are consistently doing efforts in terms of value addition, in terms of cost optimization. We have taken initiatives in the past 1 or 2 years' time, and we are doing additional initiatives, which is a continuous process, which is likely to reduce the cost and reduction in the cost will -- where the profitability will inch up.
For example, we have implemented and we have replaced one of our coke oven battery in Mundra, where we are installing the wasted -based power plant. Now that would contribute to, let's say, the lower cost of the coke and lower power cost. So these are the initiatives which will help in terms of improvement in the profitability.
Right now, we are not working on changing or increasing the capacity by organic or inorganic. Whatever inorganic we had to do, we have done by way of acquisition. We are not in the process as of now for any additional capacity, specifically in the pipes.
Sailesh Raja: In India?
Vinay Kumar: In India, of course, offshore, we have already made formal announcement. So if the environment reports remain supportive, you would see growth.
Moderator: The next question is from the line of Darshil Jhaveri from Crown Capital.
Darshil Jhaveri: Firstly, congratulations on delivering a good set of profitability, sir. So just wanted to ask about the shutdown, sir. So I think when we mentioned that our blast furnace is in a shutdown for the last -- for 2 months and I think even 2 months in Q2, was i t similarly shut down in FY '25, sir?
Vinay Kumar: FY, sorry?
Darshil Jhaveri: Last year, was it shut down?
Vinay Kumar: Okay. Okay. So I tried to cover that portion in my preface. See, we have got 3 blast furnace

across country in India, 2 blast furnace in Gujar

at, 1 blast furnace in Andhra. So it's a regular
process. This time, the normal maintenance and normal shutdowns a lways remain on rotation

basis in one or other in other blast furnace. But there are major shutdowns because you have to do complete overhauling.
So this time, it is a bit longer, which took 2 months in the Q1, and it is continuing in Q2 also and which might, at any point of time, they can start firing, they can test that it works. But to answer your question, some of the blast furnace would have re mained under shutdown in last year also, may not be for 3 or 3.5 months. But these are normal things in these kind of businesses.
Darshil Jhaveri: Yes. So I was coming to that point only, like if it's normal, so the production volume would have impacted last year also. So in the current year, like when we say we've lost around 40,000 tons of production, and we might lose a similar amount in this quarter. So how much of that would be incremental as compared to previous years? And could you quantify in terms of rupee value, how much loss would that be, sir?
Vinay Kumar: Okay. So there is a loss, number one. It's a loss of production because the ...
Darshil Jhaveri: Missed opportunity ?
Vinay Kumar: Yes, yes. Correct. So one that it is -- and when you make the plan, you count those things because they are not suddenly -- it doesn't happen suddenly. So eventually last year, we sold close to 6,80,000 tons of ductile pipe, okay? When we talk about our capacities, theoretically, we have capacity of close to 7 lakh to 7.5 lakh tons in India. But it doesn't mean that by doing fine -tuning, by doing improvements, you cannot produce more. That is number one.
Number two, we sold 6,80,000 tons of ductile pipe last year. But on the top of that, we sold pig iron of close to 22,000 tons. So from that perspective, you can see that we actually sold hot metal of more than 7 lakh tons in last year, which is -- theoretically, it is more than 100%.
So effectually, if we are not able to produce 40,000 tons in Q1 or we are not producing 20,000, 25,000 in Q2, these -- the overall, let's say, projected numbers for the year normally consider all those things. And secondly, you always have certain quantities in your inventory.
So can we -- to answer -- let's say, I can answer your question in a different way. If the environment remains supportive in all respects, can we match or improvise our performance of ductile pipe as we did last year? I think yes.
So last year, we sold 6,80,000. Despite that we have done only 1,33,000 tons in Q1, we can still reach to that level. We remain optimistic for that. For that, we need to be supportive by way of the environment.
Darshil Jhaveri: Okay. Okay. Fair enough. That helps me a lot, sir. And sir, when you were saying that some -- because of the prices in iron and iron ore, our realizations have come down a bit. So -- any kind of color like how do you see that going forward in the year? Do we think it will remain stable? Or how do we see that portion happening, sir?
Vinay Kumar: Difficult to predict because the way the global markets are reacting, I mean, even the raw material suppliers are unable to predict those scenarios. The best case scenario could be, let's

presume what is happening remains additive. So instead of, let's say, taking a call that it will go down, it will go up, we can presume that if what happens if the raw material prices remain where it is today.
See, we are not very big buyer or buyer for any of these commodities. I mean, in totality, we don't sell more than 2 million tons. So -- and which includes iron ore, coal, steel and everything, which includes import, which includes domestic also. But as you know, your day would have been started every day that what Trump has said yesterday. Okay.
So

the best case scenario is presume that what is the price today remains as it is and how to, let's say, make your strategy around that. And you have to counter what you have to make strategy with the changing environment.
Darshil Jhaveri: Correct. Correct. Correct. Fair enough, sir. And sir, just wanted to know in terms of our new capex that we've announced, we were, I think, going to budget our payback period and our peak revenues. So any kind of comment on that, sir? What could we expect from those 3 new

capacities, sir?
Vinay Kumar: See, the new -- this is the rationale why we are setting up the new capacities in foreign soil at the foreign soil. As I mentioned in my preface that it is important to diversify your geographical profile and what India is doing, India first, what America is doing, America first, MAGA . So eventually, all these oil -producing companies, countries are also trying to reduce their dependence on the oil in the long term.
Now whether you have those markets or you want to lose those markets, we are the first in country -- amongst the first, if I am not the first, who are already present in Middle East, the MENA region, by way of a manufacturing facility as well as doing majority of our export from India to the Middle East , MENA region and Persian Gulf.
Now while it's a very important thing that whenever you are projecting any new capital expenditure or capacity or any business that you consider like what is the payback, what is the IRR and all, the profitability on current basis are likely to be better t han the profitability what we are having in Ind ia. So they are -- they would be very, very -- if everything remains supportive, they are likely to be very -- they are likely to be much better as we have in India in all the 3 products.
Darshil Jhaveri: Okay. Okay. But any kind of like peak revenue or payback could be you know just meaning internal change or I know...
Vinay Kumar: We have not broken the ground. We don't -- we have just started working. It's too early to say because to project that what the revenue would be 3 years down the line, we don't know what the raw material price and other things will be there in that point o f time. It's too early. We are difficult to predict what going to -- raw material prices are going to happen next year in India.
Darshil Jhaveri: Okay. Fair enough, sir. And just if I can, just last question from my end, sir. So like what I get the source is that Indian because of the water segment, it is a bit slowing right now. So our

current units can maybe export more. But once our export -oriented -- like our units in the new geographies start come up, what is the thing that we are thinking of cannibalization?
Or how do we see that process? Because if our current facilities have enough capacity, even though we are getting up with new major capacity. So do we see that we might be in a situation where we have a lot of supply in hand, but the demand constraints can come up in the mark et? How do we look at that, sir…
Vinay Kumar: [inaudible 0:35:08] …
Darshil Jhaveri: Okay, okay. Thank you so much sir. Yes. So just wanted to ask like because of so much capacity that we are getting -- setting up in the UAE and Saudi Arabia and our existing domestic, we also export to those countries. So what do you feel about cannibalization? I just -- I'm concerned that we should not be in a situation where there is oversupply available to us and that there is demand constraints. So what would you like to …?
Vinay Kumar: It's a valid question. So eventually, from India, we are supplying primarily to, let's say, Middle East and Persian Gulf. In the Persian Gulf, we are supplying to Iraq. And we are not setting any capacity in Iraq at this point of time, and we have no inten tion to do something in Iraq at this point of time.
So as you know, like as we expla

ined, we are setting up seamless pipe plant in UAE, Abu Dhabi.
Majority of that capacity when it will come into production will be for the UAE and nearby markets. As of now, there is no seamless pipe production, which takes place in UAE. At best, there is this one pipe -- one plant in Saudi, but which caters to primarily Saudi and Saudi can absorb more. Otherwise, they are imports. So they are fully import substitution.
Secondly, from India, we do not export meaningfully -- we don't export seamless pipe meaningfully to Middle East, right? So we don't see -- we don't foresee a glut in the UAE market or nearby markets because of seamless. That's one. Number two, about the, let's say, helical pipe plant. Helical pipe plant would be able to cater to the oil, gas and water sector in Saudi primarily to start with.
Good thing is that we are -- our local joint venture partner is a significant EPC contractor. And there is a huge amount of demand in and around Saudi. Eventually, as of now, Saudi is producing locally and importing. Saudi's government is focused that impo rts should be allowed only when domestic capacities are fully utilized.
So it is important that if somebody wants to have a leg in Saudi, it should be present in Saudi. And the Saudi investment is not a very significant -- it's not a very big investment. By having this facility in Saudi, which could be set up in, let's say, 1. 5 to 2 years' time broadly, one can catch up the growing Saudi economy very efficiently.
So we don't think that this will impact our Indian operations. We believe that this diversification

will help us in terms of improving our consolidated financials in a meaningful way.

Moderator: The next question is from the line of Gaurav Shah from Harshad Gandhi Securities.
Gaurav Shah: I have a couple of questions. Firstly, on the business outlook. Sir, can you just provide some more color on the Jal Jeevan Mission currently? First question is that.
Vinay Kumar: Jal Jeevan Mission has -- yes, okay. So as you know, Jal Jeevan Mission has already been extended by the government to 2028 in this phase, I believe that they would keep extending it beyond that as well because the targets have yet not been met. So -- and secondly, because of construction happening, colonization happening, this will happen. And this is only Jal Jeevan Mission, which is Nal Se Jal.
There could be a second phase, which is, let's say, connecting the industrial water or river water and all. So leaving aside that, number two, the allocation on account of Jal Jeevan Mission, which is already there. AMRUT 2.0 scheme is also there.
So there is enough as far as the water sector in India is concerned. These are the issues what we are discussing -- what we have discussed today or what you would have heard from the other calls of the pipe company in India. I believe that they are short -term issues. They would be taken care of in some time.
Gaurav Shah: Okay. So do you expect this quarter also, there should be a slowdown in the order from next quarter onwards, we should see some tractions.
Vinay Kumar: Okay. Orders is not a -- you could see that we have a huge amount of order book, which is -- means like it is an order book which is better than the last 2, 3 quarters. So order book is not an issue. There are plenty of orders which are there, which somebo dy wants, they can take. The third important thing is, as I mentioned, that the execution on the ground has slowed down because we are not EPC contractors.
We supply to EPC. We don't supply directly to the government. That's the model globally. So EPC contractors, when their payments are -- have been slowed down, they are not doing full job on the ground. So presume that the cash flow becomes normal. You will see significant uptick on the physical activities on ground.
And similarly, the value chain -- the supply c

hain, let's say, the pipe suppliers, they would start supplying the pipes to them. So today, we do not want to expose ourselves to the open credits, and that is where the situation is. But we understand that th e chambers and the industry is meeting and representing to the government for doing the needful.
Gaurav Shah: Okay. Okay. And sir, my second question is on the debt management. It seems that in this particular quarter, we have reduced the long -term debt and increased the working capital loan.
So how much interest saving is expected from this particular exercise?
Vinay Kumar: Saving means?
Gaurav Shah: Saving on interest because we've reduced the long -term debt and increase the working capital.

Vinay Kumar: So there are 2 different, let's say, buckets. Long -term debt reduction is like we had the cash and we want to prepay the cash so that the long -term debt, we have the space for -- in the long -term debt. So we now have except a small -- less than INR100 crores of small, small long -term debt where the cost will be higher for prepayment. We only have an NCD of INR500 crores from the LIC, which is repayable in '28, '29, '30.
Now in the working capital, the working capital intensity has gone up a bit. primarily on account of slow collections, slow realization. And we are -- we expect the situation to improve. But on the top of that, the interest -- our weighted average interest cost has gone down. My weighted average interest cost has gone down by almost 50 basis points in this quarter.
So -- and despite that, even if, let's say, there is no cut by RBI, we expect the interest cost to remain in a normal average control level. And this quarter, my finance cost is in the vicinity of INR80 crores plus/minus. We expect that it will be the same or we can improvise it further.
Gaurav Shah: Okay. And sir, my last question is on oil and gas sector. So do we -- by any chance, do we supply to ONGC in Oil India? Are we active in the oil sector?
Vinay Kumar: So they are our customers.
Gaurav Shah: Okay. So do you see any increased allocation to oil and gas sector from the government? Because we are -- from other players, we are seeing -- there are lots of demand from the oil and gas sector

right now. So what's our...
Vinay Kumar: In the seamless, we are not the largest in seamless, but we are a meaningful player and the demand -- whatever the orders come, they get allocated almost to everybody. So we would get our pro rata share. We already have all these people in our order book.
Moderator: The next question is from the line of Deepak Lalwani from Unifi Capital.
Deepak Lalwani: So first question, how much is the impact of the export order in this quarter? How much got deferred in terms of volumes?
Vinay Kumar: You're asking what is the volume for export in this quarter?
Deepak Lalwani: Yes, the volume that was deferred. You mentioned about the...
Vinay Kumar: Deferred -- sorry, my mistake, Deepak. So it is approximately 20,000 tons, 1 shipment.
Deepak Lalwani: Understood. Sir, second question is on the environment in general. You mentioned that the funding issue still continues, but you expect it to get better. So any color on that as to what gives you the confidence that it is going to get better and by when? B ut if it's not, if it doesn't get better -- yes, I'll just complete my question …
Vinay Kumar: See b asically -- okay. To answer this question, then we can take another question. Sorry to interrupt you. So basically, you know like this issue for cash support, let's say, allocation is going

on for last 3 to 4 quarters. Initially, it was the general elections, which is code of conduct continued by the elections in the states.
Then after that, the -- I mean, we also read the Google, the -- let's say, the audits and all t

hose
things. But there is a huge backlog and the industry is now talking to the respective governments and government representatives about the implementation of these projects where government has a specific focus.
So we understand that there are discussions at the -- within the government circle at serious level. How much it will mature, nobody knows. But there is a -- government understands that a lot of support is required at this point of time.
Deepak Lalwani: Understood. Understood. But sir, if the situation -- my second question was that if the situation stays in the same run rate, then what this quarterly volumes of 3.4 lakh tons, I'm including the export order which got deferred. So the quarterly run rate of 3.4 lakh tons, should it be maintained? Or is there any risk on this execution as well?
Vinay Kumar: Okay. So Deepak, if you see the quarter 4, 2025, like last year Q4, the problem was still there. We did 4,35,000 tons in pipes and 4 lakh tons of pellet. So this year -- this quarter, we can attribute, let's say, 60,000 tons on account of deferment of shipment of export and 2 months of ductile operations.
So let's say, 60,000 tons. So if I add 60,000 tons to 3,25,000 tons and some of the -- we expect that some of my sales should improve in case of LSAW, HSAW and seamless. I think we can go back to easily to the Q4, which is 4,35,000 tons. So that would be a normal, let's say, quarter despite the teething issues what the water sector is facing today.
Deepak Lalwani: Okay. Perfect. Understood, sir. Sir, second -- the next question is that in the falling raw material scenario, coking coal and iron prices, do we expect to pass on this benefit because the environment is on the lower side today? Do we expect to pass on thi s benefit in terms of pricing -- lower pricing orders for the new orders in the ductile iron segment?
Vinay Kumar: Okay. So typically, how the business is done that whatever new bidding will be done, that will be based on the current raw material prices. and it's a competitive market. There are half a dozen DI producers, okay? So if you -- if I -- let's say, if I belie ve that I will consider, let's say, $250 of coking coal, I will be outbid.
But what happens that we have orders in our order book, which are -- which were perhaps bid when the prices were higher. So this is -- this becomes an average pricing scenario, average profitability scenario on a year basis. And this happens every year.
It is difficult to say that the raw material prices will remain the same for 12 months. We have seen volatility in 2022, '23 when the coking coal was $500, iron ore was $250, all these things we have seen. And despite that, the prices were going up and dow n. So new orders will be based on current raw material prices.

But similarly, in case of helical or, let's say, steel pipes, in case of steel pipe on the existing

orders, there will be no change in pipe price. There will be no change in the steel price. So the existing order books will not get impacted because of the raw material prices, whether the raw material prices go up or go down. But in case of new orders, it will be based on the current prices.
Deepak Lalwani: What I meant to ask was that are we discounting more than required to get new orders because we are having a raw material benefit.
Vinay Kumar: Not necessarily, because we are booked for -- not necessarily, if you signal if you'll see my order book, we are practically booked for the next 3 quarters. And in case of ductile, now we are booked for almost 1 year. So I would rather do -- I would -- I mean, eventually, nobody wants to lose order. We have to see that we should have the production capability also at the time when the customer need. But typically, we would like to pick and choose.
Deepak Lalwani: Understood. Sir, on the …
Vinay Kumar: We lost, Deepak.
Modera

tor: Yes sir I get it.
Moderator: The next question is from the line of Gargi Singh from Value Invest
Gargi Singh: Sir, my first question is that we understand that most of our orders are backed by letter of credits and bank guarantees. So despite this delay in payment releases seems to be impacting our execution time lines. So for secured orders, how exactly does the delay in payment translate into lower execution level?
Vinay Kumar: So Gargi, it doesn't happen that you get the LC or bank guarantee for the entire value of the order at the time of signing the order. So what happens, for example, if you have received an order, hypothetically, as an example, let's say, of INR100 crores, okay, so there will be a schedule of delivery and the schedule of dispatches. So there would be a gradual cover of LC or bank guarantee, which will be given by the customer. And accordingly, we plan the production and accordingly, we sell. So a t the time of dispatch, we should have the credit instrument.
And based on the track record of the customer and our relationship in the last 10, 15 years, whatever, -- sometimes we go beyond that also, but not like -- we'll not keep doing everything.
So to answer your question precisely, if we have order book of, let 's say, 16 lakh tons or 18 lakh tons or $1.5 billion.
We don't have LC bank guarantee for $1.5 billion. We might have even for export, we would have coverage by way of the LCs for domestic market, we would have coverage by way of LC or bank guarantee, but for the near -time production.
So as and when LC and bank guarantee come, we include that portion into the production planning. And this is how it is done. So if we, let's say, tomorrow, if the customer is out of LC and bank guarantee lines, especially for the water sector, and that's w here the production -- we

would reduce the production, and we would only produce for those who are providing us the LC, bank guarantee or the advanced cash.
Gargi Singh: Okay. So currently on the basis of current order book, is it fair to assume that you have LC, BG for 3 months of -- at least for the next 1 quarter?
Vinay Kumar: No, this is -- see, the business is done on the going concern basis. It's not -- it may or may not be possible that I would have the LC, bank guarantee for the next 3 months also. So that is a role of the -- that is the role of the business development and the marketing department to, let's say, arrange the LC, bank guarantees and then we produce.
We or let's say, company make the production plan based on the feedback of the marketing that this much of dispatch will happen, and they will bring the LC or bank guarantees before the dispatch. So this is an ongoing process. This is -- despite in this scenario -- testing scenario, we still keep getting the LC, bank guarantees all the different kind of comfort.
So we are -- when I was replying to Deepak that we can come back to the normalized quarter of, let's say, 4 lakh -plus tons, what we did Q4, we know like this much of rotation of the LC, bank guarantee s remain in the system, and we should be able to do that.
Moderator: Thank you. Due to time constraints, that was the last question. I now hand the conference over to the management for the closing comments. Over to you, sir.
Vinay Kumar: Yes. So I place on record our appreciation to all the participants to the call, ICICI Securities and Chorus and hope to see you in the next conference call. Thank you very much from me, my colleague, Mr. Narendra Mantri and Rajeev Goyal. Thank you very muc h.
Narendra Mantri: Thank you.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

Octobe r 29, 202 5

BSE Limited National Stock Exchange of India Limited,
Corporate Relation Department Listing Department,
1st Floor, New Trading Ring Exchange Plaza,
Rotunga Building Phiroze Jeejeebhoy Towers Bandra Kurla Complex
Dalal Street, Bandra (East)
Mumbai - 400 001 Mumbai – 400 051
Stock code: 500378 Stock code: JINDALSAW

SUB.: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Investor conference call on the financial results of the Company

Dear Sirs,

This is with reference to the captioned subject and our letter s dated October 16 , 202 5 and October 23, 2025. Please find attached the transcript of the conference call organized by the Company for analyst and investors on the Unaudited (Standalone & Consolidated) financial results (Q 2FY26) of the Company for the quarter ended September 30, 202 5 on Thursday , October 23 , 202 5 at 16:00 Hrs (IST) and the same has also been uploaded on the website of the Company .

This is for your information and record please.

Thanking you,
Yours faithfully,
For JINDAL SAW L TD.,

Sunil K. Jain
Company Secretary
FCS- 3056

"Jindal SAW Limited Q2FY26 Earnings Conference Call hosted by ICICI Securities Limited "

October 23 , 2025

MANAGEMENT : MR. NARENDRA MANTRI – CHIEF OPERATING & FINANCIAL OFFICER , JINDAL SAW LIMITED
MR. VINAY KUMAR – PRESIDENT & HEAD (TREASURY), JINDAL SAW LIMITED
MR. RAJEEV GOYAL – SENIOR VICE PRESIDENT (CORPORATE FINANCE), JINDAL SAW LIMITED
MODERATOR : MR. VIKASH SINGH – ICICI SECURITIES LIMITED

Jindal SAW Limited
October 23 , 2025

Moderator: Ladies and Gentlemen, Good Day and Welcome to Jindal SAW Limited Q2 FY26 Earnings

Conference Call hosted by ICICI Securities Limited.
This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vikas h Singh. Thank you and over to you, Mr. Singh.
Vikash Singh: Good afternoon, everyone. Welcome to Jindal SAW Q2 FY26 Con-Call.
On the Management side, we have with us Mr. Narendra Mant ri – Chief Operating and Financial Officer ; Mr. Vinay Kumar – President and Head (Treasury); and Mr. Raj eev Goyal – Senior Vice President (Corporate Finance).
Without taking any more time, I will hand over to "Mr. Vinay Kumar for his Opening Remarks ."
Over to you, sir.
Vinay Kumar: Thanks, Vikas h. So, good afternoon, friends. Wishing you all a very happy Diwali and blessed festival season. I now welcome all of you to the investors' call of Jindal SAW Limited for Q2 FY26.
On behalf of Jindal SAW management, we extend our sincere thanks to ICI CI Direct for hosting this Call.
The Board of Directors formally approved the unaudited financial results during its meeting on October 17. The results have been released to stock ex change in compliance with the regulatory requirements. Hope you would have had a chance to look at the results.
I will now provide an update on the operations of the company, subsidiaries , etc.
As you would have seen, the 2nd Quarter of the current year saw significantly weaker performance compared to both the prior year and the preceding quarters. And the prognosis of Q2 is we are providing agenda. The overall macro level indicators in domestic and export markets remained robust. The company has recorded one of the highest order books specifically for the water sector which means the company has secured large number of future projects related to water infrastructure, reflecting strong visibility. This is a positive indicator of the co mpany's growth potential.
Jindal SAW Limited
October 23 , 2025

The total volume of order book for five business es increased to 19.25 lakh tons in September '25 as compared to 15.60 lakh in June '25. We believe that this is the highest order book what we have seen in so many years for Jindal SAW .
Among our recent achievements is a new export contract for the supply of approximately 6 ,22,000 metric tons of helical pipes [ph] for a water -related infrastructure project in Kingdom of Saudi Arabia. Manufacturing for this specific order is slated to start sometime in Q3 … we are running into Q3. The margin of this order are in line with the other export business of helical pipes.
The company has commenced a trial phase of its new seamless piercing mill with commercial production slated to be in this quarter sometime next month because this is a technological product and the stability takes time, but we expect that the operations ca n commence .,.. or commercial operations can commence in this quarter.
This expansion is projected to increase the seamless production capacity by approximate ly 1,50,000 metric tons per annum.
Our DIE facilities in India are fully committed for the foreseeable future with the current backlog of one year. Although the wider markets were robust, but extended payment cycles from the water infrastructure EPC companies in I

ndia have severely impacted the cash flows and operational
stability of pipe manufacturing suppliers like us. The protracted payment timelines often associated with the government -funded water projects present significant liquidity and project management challenges. We recognize tha t the current uncertain environment will have an effect on our operations and financial outlook. However, we are managing our strategies accordingly.
Overall, our business faced significant challenges during Q2, which limited our performance. While export and domestic market demand remained robust, however, tight liquidity and prolonged rain spells hampered our operations and financial results. These factors were the main contributor to lower output, decreased sales, tighter margins, and the rise in inventory.
Now, we believe the current situation is expected to be of short term. We gain our confidence from the historically high order books, healthy liquidity position of the company, and disciplined debt management. The company maintains robust working capital l ines to effectively manage all operational requirements.
Now, let me address the financials of Q2 & H1:
Of course, you have got the result, but still just to repeat and recapture. On the tenure basis, the company recorded total income of Rs.3 ,410 crore s as compared to Rs.3 ,327 crore s in Q1 of FY26 and Rs.479 crore s of Q2 of FY25. The EBITDA for Q2 FY26 is reported as Rs.335 crore s as

compared to Rs.560 crore s in Q1 FY26 and Rs.875 crore s in Q2 of FY25. The P AT for Q2 FY26 is

reported as Rs.79 crore s as comp ared to Rs.364 crores in Q1 of FY26 and Rs.477 crores in Q2 of FY25.

On consolidated basis, the company recorded total income of Rs.4,264 crores as compared to Rs.4,103 crores in Q1 FY26 and Rs.5,602 crores of Q2 FY25.

The EBITDA for Q2 FY26 is reported as Rs.482 crores as compared to Rs.688 crores in Q1 FY26 and Rs.944 crores in Q2 of FY25.

The PAT for Q2 FY26 is reported as Rs.138 crore s as compared to Rs.415 crores in Q1 of FY26 and Rs.475 crores in Q2 of FY25. So, the standalone operations have suffered but consolidated operations have shown improvement, especially from the UAE operations.

The net debt of the company on a standalone basis has increased to Rs.3,310 crores as at 30th September as compared to Rs.3,088 crores as at 30th June 2025. The long -term debt is approximately Rs.550 crores only. The net debt of the company on a consolidat ed basis has increased to Rs.3,856 crores as at 30th September FY25 as compared to Rs.3,484 crores as at 30th June 2025. The long - term institutional debt is only Rs.742 crores on consolidated basis.

Now to summarize :

Predicting the near -to-long-term outlook is difficult at this point of time as the business environment is affected by persistent geopolitical challenges and delays in government funding, etc.,. The company 's order book has strengthened significantly and continues to be strong with new orders secured across all business segments. We are also receiving positive marketing enquiries from both domestic and export sectors. The order book status sets the stage for a progressive strengthening of operations and financial results starting from Q3. We have a very comfortable long -term debt position. Our stand -alone long -term debt is roughly Rs.550 crores, of which Rs.500 crores is tied up to an NCD with LIC that will be redeemed in the 2028 -2030 period.

Working capital usage is directly influenced by our business operations and the broader business environment. We are optimistic about seeing improvement in this area as well. .In view of this, we may expect gradual improvement of operational and financial performance from Q3 onwards.

Now, let me discuss something about our subsidiaries and joint ventures :

In our Abu Dhabi operation, the entity has done well as compared to the previous quarter. It recorded sales of

approximately Rs.607 crores in Q2 as compared to Rs.525 crores in Q1 of FY26. And the order book of Abu Dhabi operation stands at USD235 million, corresponding to approximately 2,15,000 metric tons of ductile pipes. And this gives the visibility of thr ee to four quarters. Now, this

is over and above the order book of approximately 19 lakh tons of what we have discussed earlier for Jindal SAW .

In USA, the company has a marginal operation which remains profitable in Q1. Total revenue was Rs.173 crores in Q2, which is marginally lower as compared to Q1 where the income was Rs.188 crores. But in the US, we have only small operations. So, it is not that meaningful in terms of percentage.

We have a joint venture with Hunting, which is Jindal Hunting. And this joint venture has contributed Rs.9.4 crores in Q2 for this financial year as compared to Rs.9.5 crores. So, the performance has been flat. But in the corresponding year previous quarte r, it was Rs.6.8 crores. So, this year, we are doing better, let us say Rs.10 crores approximately every quarter.

Some update on JITF versus the legal suit with NTPC. Now, some arguments took place in the last hearing in front of the Hon 'ble Double Bench of Delhi High Court. The bench has given another date which is on 27th October. If the continuous hearings happen, we can expect some pronouncement in this financial year. But that will depend on how the parties respond and how the date goes on.

In terms of our updates on the new projects which are announced in GCC MENA region, like in the steady move to align with the shifting economic landscape of the GCC MENA region, Jindal SAW board approved three new manufacturing projects in June 2025. These nations are actively pursuing economic diversification away from oil and prioritizing local manufacturing, a trend Jindal SAW is proactively addressing. As a long -standing supplier and an existing Abu Dhabi -based DI pipe manufacturer, this expansion stren gthens our competitive position in these key markets. The investment includes a new seamless pipe plant in Abu Dhabi, a helical pipe facility, and a DI pipe finishing line in Saudi Arabia. These projects may be completed gradually in the next two to three years, and we will be consolidating these with Jindal SAW Limited.

Now, subsequent to these projects over view shared during our last few investor briefings, we are now actively engaged in key development stages. We are currently finalizing agreements with potential joint venture partners, and advancing the formal incorporation of the new companies. Concurrently, we are focusing on secu ring land and finalizing the financial closures for each of the projects.

Now, with this, I leave the floor open for interactive discussions. Mr. Narendra Mantri – our Chief Operating & Finance Officer, and Mr. Rajeev Goyal – Senior Vice President, they are with us, with me, and we are happy to take the questions from the investors.

Moderator: We will now begin the question -and-answer session. The first question comes from the line of Sa ilesh Raja with B &K Securities. Please go ahead.

Sailesh Raja : Thanks for the opportunity. So, we have an ex ports order backlog of 8 la kh tons which includes 6.2 lakh tons of job work. So, you mentioned during the call this is entirely for HSAW Pipe. Typically, our HSAW order are fully export oriented . So, should we understand that balance 1.8 lakh tons pertain entirely to LSAW or it will be a mix of both HSAW and LSAW, because if it is a mix then it appears that visibility of LSAW is quite limited. So, could you please give clarity on this ?

Vinay Kumar: Okay, so let me answer the question in a different way. I am sorry, I could not fully understand the question, but let me answer the question in a high level so that it includes let us a couple of subsets of the q

uestion. So, in totality, we have, let us say in the five sector s we have order of 19 ,25,000 tons, and this includes exports of approximately 30% to 32%. Now , the helical pipe order for water connected to KSA is 6 ,22,000 tons which represents roughly, I think 12% or 13%. So, there are orders for export market for longitudinal pipe , for other helical pipes and even similar pipes. Why we mentioned this order separately is that this is an export order and this is a job work order. So, eventually in the job work order , we are not buying the steel only . Rest of the things are included in this. I mentioned in the briefing that in terms of margin, the margin are comparable to the export business of let us say helical or even longitudinal. So, we have order book for export, which is right, which is for every product.

Sailesh Raja: Sir, still it is not very clear. In the presentation you just mentioned that the 9 lakh tons that includes 6 lakh tons of job work, right, sir?

Vinay Kumar: Yes.

Sailesh Raja Also in the presentation it is mentioned that the overall export order is 8 lakh tons . So, in this 8 lakh tons includes 6 lakh tons of job work.

Vinay Kumar: : Yes, correct .

Sailesh Raja So, the balance is only 1.8 lakh tons .

Vinay Kumar: Yes, which is, longitudinal, as well as some portion of Inland.

Sailesh Raja And so, in this case, LSAW visibility is very less that is my question actually.

Vinay Kumar: Oh, so you want to understand the rest of the quantity.

Sailesh Raja I just wanted to know the visibility of LSAW pipe .

Vinay Kumar: Okay, so, let us say very quickly, the longitudinal for export longitudinal is close to 1,15,000 tons for export purposes, which is oil and gas, and approximately 60,000 tons for export is for the tile and seamless.

Sailesh Raja Okay, got it, sir. My second question, if you see the gross profit to EBITDA conversion in this quarter it stands for 24% on the standalone basis because of lower volumes , our utilization level is very low at 3 lakh tons, s o that is why it is low at 24%. But if you see last year we have done around 4 la kh tons and our conversion rate that is gross profit to EBITDA it is 40%. Assume that it is at normal ized level we can do around 40%. Is there any scope to improve the conversion rate going forward both to mitigate the impact t hat we are seeing currently and also to enhance the financial metrics once the recovery begins , because if you see the competition , some of the competitors are reporting 45%, 48%, so is there any scope to improve this conversion rate?

Vinay Kumar: Okay, good. So, let me respond in this way. Okay, if you see the last year we did was close to 2 million tons of sales, and we already have the order book of similar magnitude broadly. Correct ? We have the capacity , we have the capability to execute the project s. I am talking about the standalone. We have the capability and capacity, and it has been already demonstrated, number one. Number 2, over the last 1.5 year time we have worked on increasing the capacity in seamless where the trial operations have started and w e mentioned that the capacity would go up by another 1 ,50,000 tons . So, we would be ready in the future to take more business in seamless for oil, gas, and other industrial products. So, to answer your ques tion in a way that these are the extraordinary circumstances and which we keep seeing after every three to five years ' time, if you remember 2 2-23 was a very challenging year when the commodity prices were going like anything , I mean, even the NS E, BSE are not going the way the commodity prices are going and the coking coal had moved from $150 to $500 and iron ore price had also moved accordingly. And again we had serious challenges in terms of managing the inventories and the business operations and financ ing and liquidity and everything. To day , the scenario is different primarily because of let us say liquidity which is controlled by the let us say the federal and the state governments where the orders are there , business opportunities are there , orders have been issued by the government or let us say the end user to the EPC or directly to us, but because of liquidity, I mean you will be hearing it from everywhere , because of liquidity there is a backlog . So, we can only speculate, but we understand from th e market value that it might take a couple of months before the normalcy begins. Now , when the normalcy begins, presume, next year , so if everything works well, we might come back to what we were doing in the last two years rather we can improve it and I am seeing it from the perspective, the orders are there , there are enquiries , the capability is there in terms of manufacturing facilities, and we have invested and we are investing and we are doing a lot in terms of cost optimization and rationalization

Sailesh Raja Okay, great, sir. So, one last question. So, after a gap of 10 to 12 months several state governments have recently announced large projects on 14th October, I think, Gujarat, they have announced 16,000 crores worth of order under the AMRUT scheme and also. I think two days back Andhra government also announced 10,000 crores of order and Odisha also I think four or five days back they have announced Rs.1,700 crores for river linking projects. So, are we participating in any of these projects, s o what stage we are in bidding or qualification process , can you please explain that?

Vinay Kumar: I will say that all these things are very recent, the tender will come in due course of time and definitely we will be participating in all these tenders . But again, from the announcement to the actualization we think there will be some time gap. That is why we are saying that the improvement from where we are currently will take some time . And at this point of time, I can only say that hopefully we will be doing better than the Q2 in Q3 and Q4.

Sailesh Raja Okay, sir. All the best, sir. Thank you.

Moderator: Next question comes from the line of Praveen Agarwal with IVP Engineers Private Limited. Please go ahead.

Praveen Agarwal : Yes, good afternoon, everyone, and once again Happy Diwali to all participants and executives of Jindal SAW . See, my question is, we have seen financial figures. How was the production in Q2 as compared to previous FY Q2, how did we increase or reduce or was it more or the same , how are production figures?

Vinay Kumar : Because of lower offtake , ductile iron or the water sector, we have controlled the production also, and that is why production was lower in Q2 as compared to Q1.

Praveen Agarwal : Okay, so you do not have things stockpiled in inventory. Lower off take was met by reducing the production quantity ?

Narendra Mantri: No, I m not saying that inventory has not piled up, because the decision making takes a certain time to reduce . In fact, if you have seen our balance sheet, there is an increase in the inventory level, but this will be corrected in Q3 .

Praveen Agarwal : Yes, I understand. And how this has affected cost per ton of pipe or material, your output in this Q2 vis-à-vis previous year Q2?

Narendra Mantri: Because of the cost only we have shown this kind of result. You can understand this .

Praveen Agarwal : I understand. Fine. Okay, thanks .

Moderator: Next question comes from the line of Radha with B &K Securities. Please go ahead.

Radha: Hi, s ir, thank you for the opportunity. So, my first question is that the 6 lakh tons of job work order, how much execution are you expecting in FY26? And your opening remarks suggested that margins in job work will be good. So, assuming current pricing scenario, is it fair to assume that at least 500 , 600 crores of EBITDA can be done fr

om execution of the entire 6 .2 lakh tons of job work?

Vinay Kumar: Okay, to answer your first question, we should receive the first consignment of steel in next one or two weeks ' at our factory, number one . So, production would start in this quarterly itself, and we expect that in this remaining part of the financial year we should be producing close to 1 ,25000 tons to 150,000 tons and the shipment and the sale would depend on quoting and the availability of ships. That is one . In terms of EBITDA , we do not want to let us say put in exact number, but what we have said that the profitability based on the current estimate and based on the quote profi t given because this includes the transportation cost also to the site of the buyer. The profitability would be similar to what we get in normal export orders . So, it will be better than the domestic business.

Radha: Okay . And for the working capital requirement of job work, is it fair to assume that it will be 20 to 30-days lower compared to manufacturing ?

Vinay Kumar: No, so, basically, because it is job work, so steel is not being procured by us . We will only be procuring, only the quoting material. So, steel is not in our account. So, there will be no inventory on account of steel in this order.

Radha: Yes, that is why I was asking that overall net working capital cycle should be at least 20 to 30 days lower compared to if we would have done manufacturing for the same quantity considering the inventory reduction, just asking?

Vinay Kumar: In totality, yes, if you look from this perspective.
Radha: Okay, lower by 20 , 30 days or much lower than this ?
Vinay Kumar: No, actually this will depend on how we are executing the order because we will be committing maybe initially one facility , subsequently second facility. Also, depending on how we are getting the consignme nt because the steel is being supplied by let us say the buyer . So, it is meaningless for us from this perspective that how much inventory would be there because inventory does not belong to us. But if we are saying that in overall in blended si de whether inventory will lower as compared to the sale, it will be lower but the sales –
Radha: Yes, so overall working capital ?
Vinay Kumar: Overall working capital you have to measure with something. So, if you are measuring the working capital with the sale , the sale will include only the job of charges, not the sale of the total pie.
Radha: Yes sir, I understand that. So, that is why hence it includes only the job work as is . That is why I am taking at least lower by 30 days because inventory will not be there , so is this the right understanding?
Vinay Kumar: You can consider it.

Radha: Okay . Second question is, I want to appreciate despite the challenging situation the gross profit per ton on pipes has been good in this quarter, so I just want to appreciate because of the mix has been maintained by the company . So, with regards to this, until there is a revival in government CAPEX , are there plans or opportunity to export more of BI pipes from India either to the Middle East or to nearby regions ?
Vinay Kumar: Okay, so see, we have a very different kind of, let us say, situation because we are already present in Middle East where we have a manufacturing plant in Abu Dhabi. So, what we focus on the export market from India are the products which are Abu Dhabi factory is either not producing or they are full in that particular site. So, for example , we already have a n export order for the tile which is going to again MENA region but that is a size which our Abu Dhabi facility is currently not producing . So, we would be eventually not competing with our Abu Dhabi. We will be rather complementing that. Having said that, we are looking at various geographies across the globe wherever Ind

ian pipes can go which are at this point of time are not subject to anti-dumping or whatever, so we are looking at all possible opportunities , that is the role of the marketing to see beyond their regular areas in the geographies . It always remains there, and that is why we get the order, and we have a better position becaus e we can reach out from India as well as from our U AE operations.
Radha: Okay, so , actually, I ask this because a follow -up question with this is that Saudi has started pro an d anti-dumping duty on DI pipes from India. So, I just wanted to understand with respect to that what is the total demand of DI pipes in Saudi and what percentage of Saudi demand is being catered by imports overall and how much of it is coming from India ?
Narendra Mantri: Okay, you are aware, that we have started working on putting up ductile iron plant in Saudi which is the finishing line, considering the demand there . You are right, that there is an anti -dumping investigation there. But again we have said , from India we are only supplementing our Abu Dhabi plant for the sizes where that plant is currently not in a position to supply. So, we will be either through our subsidiary or the sizes which are not in a position to serve through Abu Dhabi , we are focusing in Saudi only for those sizes . But other than Saudi, the GCC market and MENA market is much bigger, and we are trying to supply more on the export side for our ductile iron facility in India.
Radha: What is the market size of GCC?
Narendra Mantri: Actually it depends upon the MENA projects announced meant and we are hopeful say as far as the water pipelines are concerned, we expect a lot of work, all these countries are doing, so at present I do not have that figure currently with me that how much is the current demand or what are the new projects that is coming, but considering the market potential, we have announced not only the ductile iron facility but the he lical pipeline also for pipe manufacturing plant we are putting up both the facilities there in S audi. And you can see that one single order we have received from that country for 6 lakh ton s for he lical.

Radha: Yes, s ir, lastly for modeling purposes, wanted to understand how much CAPEX should we take for FY27 and FY28 from growth and maintenance ?
Vinay Kumar: So, on Jindal SAW perspective, the maintenance CAPEX remains in the range of manner maybe Rs.600 crores to Rs.700 crore s considering the various locations all across India, roughly 12 locations and things are moving on account of efficiency and debottlenecking . So, you can take roughly Rs.600 crores to Rs.700 crore s annual maintenance CAPEX from Jindal SAW perspective.
Radha: And gro wth CAPEX sir?
Vinay Kumar: So, growth CAPEX is something in India we are not looking for any growth CAPEX per se other than this seamless activity where we put that additional piercing line which is now under trial run .
So, CAPEX would be over maybe in the coming quarter only. So, beyond that we are not looking for

any growth CAPEX in India Jinda l SAW .
Radha: In the coming quarters ?
Vinay Kumar: So, in coming quarter as well as in coming years , FY27 and FY28, as of now there is no growth CAPEX on board.
Radha: Yes, I wanted to understand the bifurca tion of this Rs.3,600 crores . How will it be divided between FY27 and FY28?
Vinay Kumar: So, FY26, in general we are doing maintenance CAPEX in the range of Rs.600 crores to Rs.700 crore s annually and if you are talking about the new growth CAPEX Jindal SAW perspective where all the three projects, two in Saudi, one in Abu Dhabi, that is something you can take broadly in ‘27 would be 42%, 50% and in ‘28, again 40 % to 50% roughly based on our present estimates.
Radha: Understood, sir. Sir last question . So, sir, in Oman project, as for the media articles, Jin dal SAW has receive

d 193 kilometers of pipeline project which is expected to be executed in the next 24 -months.
So, one is that, is it included in the current order book, and is it fair to assume that these are for the longitudinal saw pipes and we can do at least 50 crores of EBITDA from this project ?
Narendra Mantri: So, this order has yet not been finalized to our understanding . These discussions are going on.
Radha: Is this for LSAW sir?
Vinay Kumar: It will be the primarily LSAW but there could be a mix also.
Radha: Okay sir.

Vinay Kumar: But it is not finalized. I t is not includ ed in our order book.
Radha: Understood, sir. Thanks and all the best to you .
Moderator: Next question comes from the line of Rajesh Agarwal with Moneyo re. Please go ahead.
Rajesh Agarwal : This quarter margins have come down. Is it because of volume o r there is any other one off ?
Vinay Kumar: The margins primarily a function of let us say the production quantity as well as the cost because the overall production and the sale remain low , so eventually absorption over heads and all those things, so margins are low accordingly . While w e believe that this quarter onward situation should improve , that is in terms of overall business as well as profitability .
Rajesh Agarwal : So, this quarter, the margins also will come back to the old margin ?
Vinay Kumar: No, so that will be a gradual thing because the fall can be sudden, but the improvement will be gradual.
Rajesh Agarwal : Okay, it is not because the job work has lesser margins, no ?
Vinay Kumar: Come again, sorry.
Rajesh Agarwal : The job work does not have lesser margins than the production margins, n a?
Vinay Kumar: No.
Rajesh Agarwal: Okay , the margins are the same . And second, how is the outlook for the DI p ipes in India? The old payments are getting released and any new tenders ?
Vinay Kumar : So, as you can see that we mentioned that our capacities in India are booked for a year , practically we have order book of approximately 7 ,50,000 tons and we have a cap acity of approximately 7 lakh tons. Orders are not in problem. The problem is like, the liquidity issue because it is a supply chain. We are the last person in the chain . We supply to EPC or directly to the government. 80% of our business is through EPC. Now EPC is waiting for the money for almost one year, and that is where their business also goes through. Now eventually the state governments are working through . Let the state start releasing the funds to the EPC and to the let us say the pipe suppliers. It will be a gradual process . As we said, look, as we believe the disbursement of 40 ,000 50,000 c rores will not happen immediately, but now the business will start and with som e hiccups back and forth we can believe that maybe in two- or three -months’ time the business might come towards normality.
Rajesh Agarwal : So, can you quantify the dues from the EPC contractors , how much -?

Vinay Kumar: 80%, 90% business is through the EPC. I mean, we do not have the numbers right now for the receivables and all, but 80%, 90% business is through the EPC, and that is the norm world over.
Rajesh Agarwal: And sir, how is the outlook for the oil and gas in the Middle East , Abu Dhabi and Saudi ?
Vinay Kumar: Okay, so there are two things. One is the scenario of oil and gas. Second is the scenario of the pipe business for oil and gas. Typically, the oil and gas business is a regular business for the Middle East world over. The issues relating to India buying fr om Russia , production cost, going up and down, it really does not impact the pipe business very significantly because pipe is the last thing when somebody is announcing the new pipeline. So, this does not impact the pipe business very signific antly. It could impact let us say if the oil producing countries are

becoming cash deficient ,
they may defer their CAPEX which happened I think 5 or 6 years ago, but at present they are making decent amount of money by the sale of the oil which can improve further . So, there is no impact on

the new pipe demand. The only thing is how they are planning the new pipelines and when these orders are coming in , secondly now everybody is focusing on the indigenization, and they might be in maybe two, three, four years down the line they would ask the global investors and all to put up the facility in their countries . So, there will be a paradigm shift in the next three to five years ' time globally.
Rajesh Agarwal: Okay . So, the imports will not come to the Middle East , you are filling the Saudi and all, so you will have EBITDA opportunity ?
Vinay Kumar : The imports will happen, but gradually this will reduce, and that is where the producers have to let us people like us or others they have to focus like if they, if you have to be in the market then you be present there also or you lose that market.
Rajesh Agarwal : So, our growth CAPEX which we announced for the three projects that will continue as usual, or there is a thing over it ?
Vinay Kumar : No, sir, as of now what we have announced in the last six months' time is one project for seamless pipe in Abu Dhabi. One project of helical pipe which is for prim arily for water sector is in Saudi . And the DI finishing facility only because we have a full-fledged DI plant in Abu Dhabi. So, to sell in the domestic Saudi market we are planning to do finishing there. So , as of now these three projects have been announced and we are working on that.
Rajesh Agarwal : So, means of finance, how will this cash flow will be met?
Vinay Kumar : These projects will take two to three years time to let us say set up because these countries are very slow in terms of doing the things. And we mentioned that close to let us say $400 or $425 million in all put together for that project where the equity would be approximately 30% , in one or two small , small projects we have a joint venture partner , in totality we may require only $100, $120 million

equity over the next three years time. The rest will be the debt on project which will be from the local market.
Moderator: Thank you, Mr. Agarwal. Please rejoin the queue for more questions. Next question comes from the line of the Shweta Dikshit from Systemati x Group. Please go ahead.
Shweta D ikshit : So, a couple of questions from starting with the seamless plant, we have started trial productions. Any outlook or guidance that what is going to be the quarterly number for 3 Q and 4 Q which we are looking at and what is likely going to be the capacity utilization over '27?
Vinay Kumar : So, Shweta, in terms of seamless, we did roughly 2 lakh plus in FY25, and, by putting up another piercing mill we would be able to increase the production capacity roughly 1.5 lakh tons additional. So, from Q4 onwards we can see annually the production levels may increase from 2 lakh plus to 3,50,000 something. So, that is something which you may see numbers in the coming quarters.
Shweta D ikshit : So, that is, roughly if you look at I mean the quarterly run rate still comes to be around close to 90,000 tons of run rate that we are looking from 4Q onwards ?
Vinay Kumar : Yes.
Shweta Dikshit: Secondly, on the new projects that are announced for the MENA region, I do understand you said that there have been regulatory delays in th is region, but, any part of the CAPEX that has already been s pent or what is the status of these projects exactly?
Vinay Kumar: In terms of amount spen d, as of now we are in the process of identification of the vendors and land acquisition and all . So, not much amount has been spent if we let us say as at 30th of September, hardly anything . Okay , that is one. When we say that th

ese territories take time primarily because of not many things are well defined as compared to the other countries even including India. And we have experience of setting up a project in Abu Dhabi. We include certain delays in our execution cycle and that is why we say like the project can be executed in a period of two to three years ' time. So, having said this, these things have been factored. Working is being done on parallel basis in terms of joint venture agreements. We have started finalizing those in terms of land identification so that that is a long lead item in terms of identification of the vendors , we are in the process of incorporating the company. The moment the companies are incorporated bank out through fund we can start placing the orders. All these things are happening. So, I believe that by the end of this financial year, which is March '26, we would be in a position t o let us say, place the order for the equipment , the company would have been incorporated , land would have been acquired because everywhere these are leasehold land unlike in India where you have the fee -hold. So, broadly from there you add let us say two years plus when the production can start. So, starting '28-29 we can have some operations in the seamless facility as well as in the helical facility. Ductile can start earlier because that is only a finishing facility.

Shweta Dikshit : So, my question again comes back to the point when we talk about the seamless that is existing that we are doing, even being a Brownfield expansion has taken quite some time and then a similar project of the same scale setting it up in a Greenfield capacity , it seems unlikely to be in fact operationally

contributing in FY ’28?
Vinay Kumar: So, I said that ‘27, ‘28 is the period of implementation . So, nothing will come in FY28 because in ‘26 we are completing. So, right, ‘28, ‘29 also there we expect that partial operations can start in seamless and in helical. Now to answer your question because these are the Greenfield projects for this so like Greenfield projects can be actually faster in terms of implementation because in the Brownfield project where we are doing expansion and all you have to do a lot of accommodation within the same premises and doing all those things. So, it is let us say adding a floor in a new house. So, adding a floor is more complicated rather than making a new house. So, having said all the things, we do not expect any contribution from even sale or profitability from seamless and hel ical in ‘28. In ‘28, ‘29 we can expect some production and contribution. I mean profitability, we can not count right now . Secondly, in case of seamless, there will be a process of approvals and accreditations from the different authorities and the buyers and all. So, that is also a process which we have to c ount. I n case of helical , it might not be an issue.
Shweta Dikshit: The certification and approvals would run parallely, or would it be after -?
Vinay Kumar: Yes, it can only initiate after the trial run has started because the product will go into the approval and it is a process and unlike the ductile when you have let us a huge market in this case the re wi ll be very handful of the customers. So, the government approval , the standards approval and the approval by the potential buyer. So, this process will be parallel the moment the production commences.
Shweta Dikshit: And what can be the typical approval cycle here?
Vinay Kumar: It is difficult to say, because for this territory we will be doing the seamless for first time, but I mean if we hazard let us say it could take three to six months ’ time or will be more.
Shweta Dikshit: Just your thoughts on this thing that Saudi initiating the anti -dumping investigation on import s of the air pipe from India. This is something which all the companies, at least the domesti

c producers, have been very positive about it. There is a lot of demand from that region. Now what is the internal capacity over there? Is there a risk to this business from the overall industry perspective? What has been the reason why such a –
Vinay Kumar: Let me answer i n a different way. Currently the domestic ductile capacity in Saudi is not much. Okay ? So, there are only two haling plants . But having said that, both the haling plants have some let us say sta ke from the government. The governments of course will try to protect them. Secondly is that the Saudi government wan t that the manufacturing and the in -country value addi tion should

happen in Saudi. So, like they are following the Indian Prime Minister , they are following Trump, so they want like you should do production in Saudi and there are norms which they are setting up for the in -count ry value addition. So, we will mark for that and gradually they would reserve the domestic production facilities for giving a right of first refusal, giving protection for the tariffs, giving protection for pricing and all those things. It is a process which is happening in almost all the industries . Now we wo uld no t like to comment on the let us say the initiation of the anti -dumping duty because we are a producer in Abu Dhabi, so we wo uld no t like to comment on that matter primarily because as you say that there are Indian exporters to that ju risdiction . So, we will refrain ourselves from commenting on that matter because we are an interested party , we are supplying pipe from Abu Dhabi to Saudi, but Saudi has good potential for overall water sector including the ductile pipe, including the helical p ipe and other pipes because geographically they are expanding everywhere within Saudi.
Narendra Mantri: And currently we are not selling much in Saudi market from India.
Moderator: Thank you, Ms . Dikshit. Please rejoin the queue for more questions. Next question comes from the line of Bhavik Shah with Inve xa Capital. Please go ahead.
Bhavik Shah : My fir st question is, so we saw a decline in volumes in the current quarter, and it is mainly said due to the DI volumes being decreasing in domestic. So , what gives us confidence in the next two quarters this volumes will pick up -- have you seen any traction over there?
Vinay Kumar: Let us divide the question in two parts. One is quantity , second is the price and the profitability. So, there are basically some demand had started coming back from the domestic buyers albeit it i s a lower as compared to a regular demand and where the discussions are happening that when the p ipe can come and what would the current terms and the pricing . So, this is basically opportunistic scenario for the buyers where they are trying to let us say renegotiate some of the positions. Now, state governments have been asked to arrange the funds and let us say start making the payments. So, state governments are making their own arrangements from the different multilateral and domestic institutions. So, this is where basically we believe that the things are on improvement. The profitability in the last quarter like it took a hit. The profitability can start improving from here, but as I said, because the profitab ility h as come down from let us say about 15%, 16% to let ’s say in the range of 10%. The improvement will be a gradual process. Good part is that we are a multi -product company. So, if there is a problem in one product, the other product is taking care of, and this is kind of a hedge what we have. But in the last two years we saw that all the cylinders were firing , this year

one or two cylinders having a challenge. So, once the situation will start improving, we hope that we will come back to the same scenario, but it will not be in one, two or three quarters.
Bhavik Shah: Right. And so when we say our order book

is of Rs.19 lakh crores of which Rs.7.5 lakh crores you said is of DI pipes . So, this order will get only executed as and when the payments get released. So,

like, ideally what should we take as the execution timeline of this order book , like when can we see this order book getting executed?
Vinay Kumar: Okay, so, basically the total order book for pipe right now is close to 19,25,000 tons , in which the tile is approximately 750,000 ton s. Now if I invite your attention to like what we were doing last year FY25 , FY25 f irst six months we sold close to 3 ,30,000 tons ductile pipe, right? So, and like this is and that is the time when the Sa twana facility had just started. So, today we are capable, but if everything is well , we collect money on time, everything is there , we believe that we can do even more than 7 lakh ton s of production and sale in India from all of our three blast furnaces . So, the capability and capacity is there which we have demonstrated in the past. Now , the only thing is that we do not want to sell when we do not have conviction of collecting in time. So, eventually every buyer is also having the same problem because they do not want to do additional work for them, let us say the corporations or those unless they are paid for their old running bills. So, this has become a bit vicious and this is getting sorted out, but as you know like because a lot of the chaos has happened in this process, so it will take time, for let us say settlement of the invoices of their bills, and then they are making payment to us and then they have to actually start working for the new project. So, traffic jam will be there, will take time to clean up .
Bhavik Shah: What is the one -time write off which you have taken in GIS? What my understanding was we have already written that off and no cash out flow w ill be happening, right?
Vinay Kumar: So, this write -off, see , we are showing the competitive numbers , we are referring to our presentation which we have uploaded. This was I think ‘23, ‘24, not in this year. This year there is no write -off and even last year.
Bhavik Shah: Okay, this year there is no write -off? Right. Okay. And so we stay off the job work, we will actually only recognize revenue to the extent of conversion, right? We will not take the entire revenue and entire cost of goods sold , so our actual increas e in revenue will not be much, right?
Vinay Kumar: Yes, so the total order value for this job work is let us say close to $180 million , $190 million , so only that will be the income in the top line.
Bhavik Shah: Okay, understood, sir. And so, regarding the CAPEX , you told Rs.600 crores to Rs.700 crores will be CAPEX for F Y26. So, sir, this is the consolidated CAPEX , right? This will include investments in subsidiaries in Saudi and places, right?
Vinay Kumar: No, so this is standalone and the CAPEX for the subsidiaries in Saudi and in U AE will be on the top of it in the current year as we mentioned for the earlier question up to September there is no meaningful amount which has been spent. We will see that what we can do in the next six months ’ time, which will be let us say some advances to the suppliers, some letter of credit to open, and some civil work . This year we do not expect much, maybe $20 million, $30 million but next two years will

be happening here , but that will be on the top of what we mentioned Rs.600 crores, Rs.700 crores which is only for Jin dal SAW India stand alone primarily because we have 12 facilities , we are trying some upgradation, modernization, some capacity improvement , bottlenecking, so everything we are doing in parallel so that the impact should be seen when the situation improves .
Bhavik Shah: The next year CAPEX will be much lower, right?
Vinay Kumar : I think next year also will be in t

he similar vicinity, but after that you can expect much lower CAPEX in India because every day you cannot have the same maintenance CAPEX and also as per our accounting, the ductile molds are also part of these CAPEX which is actually not the CAPEX , but this is how the accounting is done because utilization or consumption, the mold is like -based. So, this also includes the molds which are used for pipe making for all across three locations in India.
Moderator: Thank you . Ladies and gentlemen , that was the last question for today. Due to time constraints, we have reached the end of question -and-answer session. I would like to hand the conference over to Mr. Vi kash Singh for closing comments.
Vikas h Singh : On behalf Of ICICI Securities, I would like to thank Jindal SAW m anagement for giving us the opportunity to ho st the call. I hand over to Mr. V inay Kumar for his closing remark.
Vinay Kumar : Yes, thank you very much , Vikas h and C horus and to all the participant s on this call. We hope to see you in the new year FY26 for the next quarter ’s meeting unless there is another announcement prior to that. Thank you very much for attending the call.
Narendra Mantri : Thank you.

Moderator: Thank you. On behalf of IC ICI Securities Limited, that concludes this con ference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2026

January 23, 202 6

BSE Limited National Stock Exchange of India Limited,
Corporate Relation Department Listing Department,
1st Floor, New Trading Ring Exchange Plaza,
Rotunga Building Phiroze Jeejeebhoy Towers Bandra Kurla Complex
Dalal Street, Bandra (East)
Mumbai - 400 001 Mumbai – 400 051
Stock code: 500378 Stock code: JINDALSAW

SUB.: Intimation under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of Investor conference call on the quarterly Financial Earnings of the Company

Dear Sirs,

This is with reference to the captioned subject and further to our letter s dated January 13, 202 6 and January 19, 2026, please find attached the transcript of the conference call organized by the ICICI Securities Limited f or analyst and investors on the Unaudited (Standalone & Consolidated) financial results (Q 3FY26) of the Company for the quarter ended December 31, 202 5 on Monday , January 19, 2026 at 17:00 Hrs. (IST) . The same has already been uploaded on the website of the Company .

This is for your information and record please.

Thanking you,
Yours faithfully,
For JINDAL SAW L TD.,

Sunil K. Jain
Company Secretary
FCS- 3056

“Jindal Saw Limited

Q3 FY '26 Earnings Conference Call ”
January 19 , 202 6

MANAGEMENT : MR. VINAY KUMAR – PRESIDENT AND HEAD
TREASURY – JINDAL SAW LIMITED
MR. NARENDRA MANTRI – CHIEF OPERATING &
FINANCIAL OFFICER – JINDAL SAW LIMITED
MR. RAJEEV GOYAL – SENIOR VICE PRESIDENT ,
CORPORATE FINANC E – JINDAL SAW LIMITED

MODERATOR : MR. VIKASH SINGH – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Jindal Saw Q3 FY '26 Earnings Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode

and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vikash Singh from ICICI Securities Limited. Thank you, and over to you, sir.
Vikash Singh : Good evening, everyone. On behalf of ICICI Securities, I welcome you all. I would like to thank the Jindal Saw management for giving us the opportunity to host their call. On the management side, we have with us Mr. Narendra Mantri, Chief Operating and Fin ancial Officer; Mr. Vinay Kumar, President and Head Treasury; and Mr. Rajeev Goyal, Senior Vice President and Corporate Finance. Without taking any much time, I'll hand it over to Vinay sir, for his opening remarks. Over to you, sir.
Vinay Kumar: Thank you, Vikash, and let me start the call. Good afternoon, everyone, and welcome to Jindal Saw's Q3 FY '26 Earnings Call. We wish everyone a very happy and prosperous New Year. I, on behalf of Jindal Saw management, would like to extend our sincere appr eciation to ICICI Direct for their support in coordinating today's call.
The unaudited financial results for quarter 3 of fiscal year '26 were approved by the Board of Directors at its meeting on January 16, 2026. And in compliance with regulatory requirements, these results have been released to the stock exchanges. We trust y ou have had an opportunity to review the results.
We now provide an update on the operations of the company, the subsidiaries and the joint ventures. As you can see, the performance in quarter 3 improved relative to the previous quarter of the current year, but still lagged behind the comparable quarter o f the previous year. The improvement is primarily on account of higher volumes and improved productivity.
The pipe sector continued to see strong demand signals across both domestic and international markets. The company sustained a healthy order backlog, including significant projects for the water sector, which provides strong visibility for growth potential . The Pipes business reported a rise in its total order book volume, reaching 19.64 lakh metric tons in December '25 as compared to 19.25 lakh metric tons in September '25.
In Q2, we announced for securing an export contract to provide approximately 6,22,000 metric tons of HSAW pipes via [Inaudible 03:00:0] for Saudi Arabia. Production of this contract commenced in quarter 3. Q3 of FY '26 saw the start of production for our new seamless plant piercing mill. We are now stabilizing the production on this line. This enables a capacity increase to approximately 4 lakh tons per annum, strengthening our ability to provide fast, reliable services and for most of the product sizes.

The water pipe business, primarily ductile, continued to face challenges in Q3 despite a strong order backlog of over a year. Out of the total order backlog -- total order book of pipes aggregating to approximately 19.64 lakh metric tons, DI pipe order book is approximately 40%, which includes exports and supplies under Jal Jeevan Mission as well. Importantly, our overdue receivables from EPC customers working under Jal Jeevan Mission are approximately INR350 crores only, and majority of these are backed by adequate security.
While market demand remains strong, business related to water pipes has been impacted significantly by protracted payment time lines in the Indian water sector. The lengthy receivables days associated with public infrastructur

e projects continue to pose a major challenge for supply chain stability. The company is navigating complex volatile geopolitical and economic conditions including unanticipated tariffs and c hallenging water sector project implementations primarily in India by way of proactively streng thening our business resilience.
We are taking decisive strategic actions such as optimizing our Indian product portfolio, rebalancing our sales mix to optimize export and domestic opportunities. Q3 demonstrated an improvement over Q2 of FY '26. With green shoots emerging in both domestic and export markets, it appears Q2 marked the bottom of the cycle. We maintain a positive outlook on government initiatives, particularly the upcoming union budget , where we anticipate continued support for the Jal Jeevan Mission, laying a strong foundation for future business growth.
We view current market conditions as transient, supported by our robust order book, backlog, strong liquidity position and effective debt management. The company's ample working capital lines from banking system further ensures we can meet all operational requirements efficiently.
Now let me address the financials highlights of Q3 and for 9 months period of FY '26. On a stand -alone basis, the company registered a total income of INR4,157 crores, representing a sequential increase over Q2 of FY '26, which was INR3,409 crores, but a decline against Q3 of FY '26, which was INR45,503 crores.

EBITDA for Q3 FY '26 stood at INR527 crores, showcasing a significant recovery from Q2 of FY '26, which was INR335 crores, though remaining lower than Q2 of FY '25, which was INR882 crores. PAT for Q3 for this year was reported at INR227 crores, significantly higher than Q2 of this year, which was INR79 crores, but it was still lower than the Q3 of FY '25, which was INR477 crores.
On a consolidated basis, total income stood at INR4,963 crores for the quarter which is for the current Q3, up from INR4,264 crores sequentially, which is quarter -on-quarter, but still down from INR5,293 crores year -on-year basis. EBITDA improved sequentially to INR632 crores in Q3 FY '26 from INR482 crores in Q2 FY '26, though it remained below INR961 crores reported in Q3 of FY '25. Q3 FY '26 PAT was INR248 crores, up from INR139 crores in Q2 FY '26, but still down from INR479 crores in Q3 of FY '25.
And on debt side, as on 31st December 2025, the stand -alone net debt narrowed to INR3,154 crores versus INR3,310 crores as on 30 September 2025, which includes the long -term debt of INR534 crores only. The balance is working capital debt.

On the consolidation side, the net institutional debt has reduced to INR3,346 crores as compared to INR3,856 crores as at 30th September 2025. The long -term institutional debt is only INR690 crores. So after having discussed the financials and the prognosis for quarter 3, let's also talk about the operations of our subsidiaries and joint ventures.
In UAE entity, which is Abu Dhabi ductile pipe production plant, the entity maintained steady operations in Q3 of FY '26, delivering approximately 52,000 metric tons of corrosion -resistant ductile iron pipes compared to 58,000 metric tons in the previous quarter. As of 31st December '25, the subsidiary holds a robust order book valued at approximately $235 million, which is for 215,000 tons.
This ensures operational stability for next 9 to 12 months' time. The backlog is independent of the parent company's stand -alone order book, which stands at approximately USD 1.48 billion. So if you add, it would be somewhere around $1.7 billion.
Now you would note that Abu Dhabi entity is a premium supplier of ductile iron pipes to almost all the countries in MENA region. This is the only entity which produce highest -- the largest size pipes going up to 2.2 meters, which no other entity in MENA r egion, even India produces. Now

coming to Jindal Hunting, it's a joint venture with Hunting Energy Services Private Limited Singapore, in which Jindal Saw holds controlling interest of 51%. This entity generated INR137.9 crores revenue and INR44 crores of PAT in 9 months period ended FY '25, which is an increase from INR130.7 crores of revenue and INR38 crores PAT in the previous year.
Now a snapshot about the Jindal ITF versus NTPC case. The initial arguments by Jindal ITF took place in January '26. in front of the double bench of Delhi High Court. The hearing has now been fixed for 2nd February, where NTPC will make the arguments.
Now the updates on our new projects in GCC region. As you know, that Jindal Saw maintains a dominant position as a leading supplier of pipes to MENA region. With the majority of our export volumes dedicated to this market, to ensure timely delivery and sup erior quality, we established the first ductile iron pipe facility in Abu Dhabi, UAE, which is now in operations for over a decade.
In response to MENA region countries incentivizing local manufacturing as part of their respective vision statement, the Board of the company in prior meetings approved strategic investments to safeguard the market share.
Key initiatives include establishing a wholly owned seamless pipe plant in Abu Dhabi alongside announcement of joint ventures for HSAW pipe unit and the duct iron pipe facility in Kingdom of Saudi Arabia with 51% ownership in both the projects. All these p rojects are expected to be commissioned in next 24 months approximately, that is by February 28. And we can expect the impact on the financials from FY '29.
Now let us appraise you about the developments in these entities. With respect to seamless pipe plant in Abu Dhabi, the company -- Jindal Saw is expanding its Middle East footprint with a

new seamless facility in Abu Dhabi, KEZAD Zone, establishing through a step -down subsidiary named Jindal Seamless Pipe Manufacturing LLC with initial USD 20 million equity infusion.

The land has been secured near the existing ductile iron pipe plant. And the long lead equipments are being identified, order placements have been initiated and the lease deal has been signed, executed for the leasehold land. Discussions are going on with banks for financial closure to serve the region's requirement. And it's being noted this leasehold land is a developed land. There was already an existing unit. So we might save some time in terms of implementation of the seamless pipe project.

Now the saw pipe plant in Saudi, Jindal Saw Limited has established a joint venture with Buhur in the Kingdom of Saudi Arabia to develop a state -of-the-art saw pipe manufacturing facility. It is a 51% step -down subsidiary, and this entity makes a key strat egic expansion. Development is underway with lease agreements for the site being identified and finalized. JV partners have infused initial equity. For ductile pipe facility in KSA, JV agreement has been signed by the partner. Other corporate actions are i n process.

Now before concluding the presentation, let me summarize. Having experienced a dip in the first 2 quarters, the business has gained momentum in quarter 3 and is poised for continued growth. To drive global market penetration, the company is intensifying ex port efforts, building foundational demand for its upcoming expansion into the MENA region.

Our sales funnel is expanding, resulting in a strong and growing order book with significant interest from global and local markets. Our long -term debt structure remains highly sustainable, featuring a stand -alone exposure of approximately INR533 crores only notably, INR500 crores is attributable to the LIC -backed entity with a well -staggered redemption schedule between 2028 and 2030.

Trade finance and working capital are crucial for our day -to-day operations, driven by production level

s and market conditions. We are dedicated to reducing debt costs and optimizing cash flow. We are committing capital expenditures across the majority of our Indian operations. This strategic spending is designed to enhance operational efficiencies, modernize assets, reinforce regulatory compliances and ensure our readiness for dynamic market conditions.

Now before I conclude, I would say our efforts are focused on ensuring long -term viability and transforming our structure to withstand challenges. Thank you very much. I now leave the floor open for interactive discussion. My colleagues, Mr. Narendra Mantr i and Mr. Rajeev Goyal are with me to address any of the questions. Thank you very much.

Moderator: Thank you very much. We will now begin the question -and-answer session. T he first question is from the line of Sailesh Raja from B&K Securities.

Sailesh Raja : Congrats for the good set of numbers. Sir, in the last earnings call, you indicated that seamless pipe production will ramp up to 90,000 tons per quarter in 4Q from current run rate of 40,000 tons, driven by the new piercing line. So given that macro condition in seamless pipe that is very

weak, so could you explain the demand visibility and the order book that is giving you confidence in ramping up the capacity?

And how the second piercing line changes your ability to simultaneously cater both lower and higher dia segments? So how the product mix will change? And also, can you please talk about the exports opportunity here in the seamless which will help in increasing the utilization level?

Vinay Kumar: Okay. So let me address the question in such a fashion so that it becomes sequential. First, let's talk about the commissioning of the piercing line. The piercing line offers the -- let's say, it improves the production capacity in the larger sizes. Now we are capable to almost all the sizes, which improves our productivity as well as capability to deliver the product in time.

Now in terms of, let's say, the orders, the visibility and all those things, this is -- specifically for India, it depends like how much tender the ONGC and other people are floating. As of now, we have visibility, but we have visibility and there are a fe w tenders which are likely to come. But the current order book is comparatively lower than the previous order book -- previous quarter's order book .

But we are expecting a few tenders to come, which will help us to increase our production and sale of seamless pipe in, let's say, next year. And now as I mentioned that we have improved our capability for providing the production time, full range of produc ts, this will help us in terms of increasing our market share as well as the overall productivity.

Sailesh Raja : So what kind of growth that you expect in FY '27?

Vinay Kumar: What kind of?

Sailesh Raja : Growth.

Vinay Kumar: Okay. So growth -- okay, I would say this way that subject to the business coming in the market. We believe even if the business is stable or improvement, but somehow previously, we were restrained for taking or participating in the business where we had c apability restriction in terms

of the finance. So to that extent, the growth will surely come. We -- I mean, how much growth, it will really depend on the orders to win. But surely, we will -- now we have capability to, let's say, service the market with full production range.
Sailesh Raja : Okay. Okay, sir. Sir, also, can you provide the volume breakup we reported in 3Q? We have reported around 3.7 lakh tons. So can you give the breakup? LSAW, HSAW, DI, seamless? Also given that DI demand remains challenging as you highlighted in your opening remarks, could you share the current -- I missed it.
Could you please share the current DI order backlog, both domestic and exports mix? And also what are the steps that we are taking to derisk depend

ence on domestic demand through exports
or any other opportunities there to improve the DI pipes volumes?
Vinay Kumar: Okay. So as we mentioned that we have a total order book of -- in the pipe, we have a total order book of 19.64 lakh tons. This is the total order book. In this total order book, we also mentioned

that ductile comprised of 40% of this, which is -- which works out to roughly -- roughly 700,000 to 750,000 tons, and which is -- in this, the total -- I would just -- because ductile remains important for all, the total order book in terms of value for ductile is around $560 million, $570 million, in which roughly $45 million is export, okay?
So eventually if I say, let's say, a year ago, we were not focusing so much on the export market for ductile from India. Primarily, we used to service it only from Abu Dhabi. Now we have started looking for any export potential, which we were earlier ignor ing because the domestic market was very vibrant, okay? And what we tried to cover in our preface that we want to now, let's say -- strategically, we want to see that if the domestic market continues or struggles, we should have export potential in the duc tile over and above the Abu Dhabi facility also.
So this gives you some indication that today, we have roughly $45 million export order. And we are creating capability -- because in ductile, for export, you need to, let's say, do extra effort in terms of, let's say, creating your production line and also for, let's say, the logistics. All those things are being done. And hopefully, maybe in next 1 to 2 quarters' time, we would increase our export share from India irrespective of the domestic market.
Sailesh Raja : Okay. Okay. That is great, sir. Sir, one last question. In the stand -alone last year, we reported around 17 lakhs. With the seamless capacity addition, what could be our peak achievable volume number in pipes only in India, I'm asking. Also, our gross prof it to EBITDA conversion last quarter, it was 25%. You said there will be an improvement. It has increased to 30% in 3Q, as you guided. So our peak conversion rate, gross profit to EBITDA, it was around 40% we reported in FY '25. So how do you see the trend in the coming quarters?
Because whatever the efforts that we have taken in DI coke oven facility to reduce the conversion cost, that is not fully reflecting because of lower scale in DI. So is there any other -- so now you are saying volume will improve in DI. Is there any other measures that we are taking to reduce the conversion cost and fixed cost to improve our EBITDA margin? By when do you see our EBITDA margin crossing 15 percentage plus without other income, I'm asking? Last quarter, it was 12.4...
Vinay Kumar: Yes, I appreciate your question. See, this is a period when the things got distorted, okay? We were doing very well. If I can see, our EBITDA was in the vicinity of 19% to 20% in December 2024, which came down to 12.7% in December '25. Now there are a lot of factors which had actually contributed to this negative growth -- negative number by almost 6% to 7%. So the correction is happening.
And let me give you a high -level pointers instead of going into, let's say, which process will contribute more or what cost cutting can happen. Number one, that the company has -- as you know, like if you're tracking the company, company has the capability to produce at various locations. We have done, I think, 1.7 million, 1.8 million tons in previous year.
We can -- without increasing additional capacity. So I'm not saying debottlenecking. Let's say, I'm not -- let's say, if I'm not putting any new plant of any of the product, we can easily go to, let's say, 2.2 million tons, okay?

Sailesh Raja : This is including new seamless capacity or excluding.
Vinay Kumar: Now, thi

s 2.2 million seamless -- no, I mean everything. We are talking about now -- well by sitting in January, we are including everything. So what we are saying is that it might not happen next year because the situation will change. Yes, okay. So in te rms of, let's say, can we produce -- can we demonstrate that we can go up to whatever we can go? We believe that we can go to 2.2 million tons without adding additional -- any additional production line or whatever.

And if you are producing at level, the productivity improves, the cost already comes down and whatever measures we have taken in last so many time and we are doing in terms of debottlenecking, cost cutting, efficiency improvement, modernization, all that c ontributes. The whole problem comes when you are not using your facility in an optimum way because of whatever reason.

So in summarized form, we dropped from 19.5% to, let's say, 10% in September '25. And there is an uptick of almost 300 basis points in the current quarter. This will be a slow journey because we are in a business where we are -- even though we are not supp lying directly to government, but we are in the business of supplying -- its a business to government through the EPC and all. There will be a transient period, but we are hopeful and let's wait for 1st of February. If everything works well, the situation will start improving from and then we can also tell you like how much improvement has come on account of production -- producti vity, cost improvement, all those things.

Moderator: The next question is from the line of Shweta Dikshit from Systematix Group.

Shweta Dikshit : Sir, first question, just to get your qualitative view on what's happening in the Jal Jeevan Mission, what are the expectations here on? Because recent news indicates that there had been some monitoring of on -ground developments that have been there to bas ically understand where the gaps have been. So from here, what's your view on revival of government spend for this -- for the project?

And what are the expectations from the budget as well? Do we see -- are we likely to see a sharp decline in budget allocation for the scheme? And secondly, what is the run rate that we are targeting from the seamless pipe unit on a quarterly basis from 4Q onwards?

Vinay Kumar: So to answer the first question, Shweta, I think whatever you are reading, we are also reading the same. The same newspaper we read what you read. That's number one. Number two, I think let's not hazard in guessing what the government is likely to announce in the budget. It's now additional another 10 days' time or 12 days' time, whatever. It is the 1st February.

Let's wait for that because once the budget announcement is done -- because the industry or the chambers, they represent to the government, they make their noises and all. What -- it's very difficult to, let's say, project what they are thinking, what they want to do. But at least the good thing is that they started budgeting.

They have -- even though they have done INR67,000 crores to INR17,000 crores, but at least INR17,000 crores is likely to be disbursed in some time, a couple of months. And it is important to see that what they want to -- what they would announce on 1st of February in terms of whether the scheme period is getting extended, what is the amount?

I would say -- let's say, I'm speculating. Out of INR67,000 crores, INR17,000 crores, they have now said like they will disburse. Even if they would confirm INR50,000 crore s allocation for the next year, that's a very welcoming statement means now even if -- a lot of monitoring and control and all those things, they would -- but still they would release the money. And the circulation, the whole supply chain, which has virtually stopped for the Jal Jeevan Mission will start.

So that is my response to the question number one. In te

rms of seamless, see seamless, basically,
we are not creator of demand. We respond to demand. So we always try to see that what are the business potential in domestic market and export market as far a s the seamless is concerned since we are talking seamless.

One of the market for Indian seamless producers -- export market for Indian seamless producers is U.S., along with that is Canada. We don't service the Middle East from here -- from India. And we are still supplying to U.S. despite the tariffs, means that India is competitive, and we are still exporting to U.S.

Now it has to be seen that how much U.S. will budge -- and our people are now trying to, let's say, explore other export markets as well. We are also -- because we are setting up the seamless pipe mill in MENA region, we are trying to, let's say, explore o pportunities for supplying there also so that by the time we are in production, we are already present there.

Because so far, the market was good in India and U.S., we were focusing on that. But the only thing what I can say, I don't know how much we'll produce because it will be, as I said, that we respond to demand instead of creating demand, but we are capable to produce. We are capable

to supply. Putting a number to this is a guess.
Shweta Dikshit : Understood, sir. Next question from my side would be when you had mentioned something in your opening remarks that the implementation of seamless pipe unit in Abu Dhabi could take lower -than-expected time. I missed your full remark on that. Could you just explain that?
Vinay Kumar: Yes, yes. So basically, as you know, like in any part of the world, if you are setting up a greenfield project, the first important thing is, let's say, land. And at a lot of places, the lands are not developed, and it takes considerable amount of time and cost to develop that land. For example, there are, let's say, you have to fill the land or whatever you have to do.
Eventually, fortunately, the leasehold land, what we have signed with KEZAD, which is a local authority, land authority and all, this -- on this plot of land, there was already a manufacturing facility, which manufacturing facility further moved out. They perhaps went into bankruptcy or whatever.

And there are some sort of structure is also built in. And we could get this land through auction and -- along with the structure. This saves some time. We need not to do the development on this land in terms of filling the land or doing whatever. There is a boundary is already available. There's some -- not 100% shed is available, but even a good amount of quantity of shed is available, this gives -- this will reduce some of the implementation time. We are already -- because we are already a seamless pipe producer, we know like what equipm ent will have to go, who will supply and all.
Our teams are already in constant discussion and negotiations for those. We have inducted $20 million equity in the company for payment of the land and also for making some advances payment to the equipment. So we believe that we are in advanced stage of i nitiation of the project, which gives us confidence that we can complete this project, let's say, within 2 years' time.
Shweta Dikshit : Understood, sir. Sir, my last question. Of the 370,000 tons that we've done in India this quarter, what would be the proportion of DI pipes? I'm just trying to understand when you say that the order backlog is more than 1 year, what could be the oldest order that has been lying in the order book, but still not mee ting execution?
Vinay Kumar: I would -- because we don't give the product -wise, let's say, the site -wise breakup, but I would say that ductile sale in this quarter is comparatively higher than the Q2. That's one. Secondly, in terms of the backlog, we have already sounded that we have backlog of almost 1 year, which is 40% o

f the total order book. And you can calculate it's roughly 750,000 tons of orders we still have, which has roughly $45 million of orders on the export side. And this has a reasonable amount of the produc ts -- the orders from the EPC contractors, which are backed by JJM.
And now the good -- I mean, if you are tracking the sector, there are state governments which are -- the center has asked states to start working, initiating -- initiate their own funds arrangement and start giving the orders. So now couple of business opp ortunities are coming or a couple of businesses are coming, which are not backed by JJM, where the funding is being organized by state and will be given by them without going to the central government.
So all those things are coming, and we expect to get our proportionate share from the new business opportunities, which are not backed by JJM. And on the top of that, if the JJM issues got sorted out, this order book execution will be much faster.
Moderator: The next question is from the line of Abhishek Maheshwari from SkyRidge Funds Manager LLP.
Abhishek Maheshwari : Many congratulations for good numbers. Sir, I was pleased to see that the debtors turnover has improved this quarter compared to the previous quarter. So are we starting to see receivable days come down again? And was this primarily due to SAW pipes and th e job work order? Or are we seeing improvement in DI pipes also? I'll get to my second question after your first answer.

Vinay Kumar: Okay. So Abhishek, thanks for the question. Eventually, this is a routine thing. Eventually -- see, we do export, we do import. Our exports are 30%. Sometimes the retention monies and some money gets stuck because of retention or contractual event, and tha t's where it gets reflected in receivables. We have received the retention monies or money which was stuck as a usual process.

So that is -- and if you remember -- if you see that we have said in our preface that trade finance is an integral part of the pipe business. The only thing what we can do is optimize, improvise the system, reduce the cost. It can -- I don't think this can come down to almost 0 unless we are doing the business only against advances. But it's a process. We constantly keep doing efforts in terms of collections, in terms of securitization and all those things. But yes, there is improvement.
And unfortunately, the ductile business is not being done in the way it should have been done. We have capability, capacity. So if we are selling lesser pipe, the old realization is coming and the new realization we are trying to secure so that it is not g oing into the overdue bucket. So that's what it is.
Abhishek Maheshwari : Second question is regarding the follow -up of first only. So you have a very healthy DI order book backlog. And now we are dependent on the EPC players to kind of do the call for the pipes and then the EPC is dependent on government to release payment. So is it that your machinery in DI is now stuck because of your order backlog? Or can you take new export orders or new -- because I just wanted to understand if you'll be able to take new orders and execute them or you are stuck with the se backlogs?
Vinay Kumar: So okay. So let's put it this way. This is how the business is done globally. The ductile business globally is done through EPC contractors. If I'm exporting, I'm also exporting only to that EPC contractor. This is how -- it's not unique to India, it's glo bal. That's one. Number two, India was doing very well for the last 15, 20 years in terms of the, let's say, the water business, whether this administration or even the previous administration, the focus on the urbanization and the water was v ery prominent.
It somehow, like it goes jammed because of x, y, z reason, which is known to everyone, that's getting delayed. If you ask with the perspe

ctive, we don't think that there is a dead end. We think
it was a pause, and it was -- it may be good for future. It ma y be good for governance and everything. And once it is reset, the things might be done in a much faster way.
Now coming to your second question that primarily you are saying, do we have alternate markets in terms of whether we can do domestic -- more domestic, more exports, which export market and all? Now we are the only supplier as of now from India who has man ufacturing facility in India and Middle East. Of course, now our peer group company is also going global. They are setting up the plant in KSA.
So effectively, the whole process -- we mentioned also that whole process of setting up a ductile iron pipe plant in Abu Dhabi way back in 2012, '13, '14, it will cater to the MENA region growing market from the backyard of MENA region, which is like suppl y anywhere in the

MENA region from UAE or Abu Dhabi. Now having said that, Indian market was growing very rapidly.
And a testimony to that is that India, which had only 2 or 3 producers of ductile pipe, now they have more than half a dozen ductile players. The capacity is more than 4 million tons, which used to be 1 million tons. So the capacity of -- so much of captive will come when there is a demand.
So it's question . The things we'll correct. We have to give some time. And hopefully, every player will do better. And till that time, you have to be adaptable to the changes and make the change in strategy. And the change in the strategy is while we were not looking at the export market vigorously because the domestic market, we were not able to service domestic market efficiently because of the high demand. Now we are looking to the exports also. So we don't want this to be a permanent issue.
For that, we have suffered for some time. For example, if we have capacity of, let's say, close to 7 lakh tons, which -- so we can do, let's say, close to 160,000, 170,000, 180,000 tons per quarter, we are reduced to roughly, let's say, 1,00,000, 125,000 tons per quarter. But do we want to stay here? No. We have 3 blast furnaces . So we are working overtime . We are adapting to the changes. We are working on the strategy that how to take it forward from here; how to, let's say, run all the machines; how to, let's say, increase the production and productivity.
Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.
Deepak Poddar : Many congratulations for a good set of numbers. Sir, just wanted to understand, first upon the interest cost. I mean, we have been seeing a decline in our interest cost since last 2 quarters. So how should one look at going forward? And what was the reason of the decline?
Vinay Kumar: So basically -- so hybrid interest cost remains the same. The absolute amount is marginally low primarily because of -- can you hear me? I think there's some disruption.
Deepak Poddar : No, I can hear you, sir.

Vinay Kumar: Okay. So the utilization has come down. The overall business as compared to last year is a bit low. So if you can hear me, sir, let me continue because I can hear my -- echo of my voice. So it is the interest cost. Besides the rate of interest, hybrid rate of interest remains the same. But the absolute number has come down for 2 reasons. Number one, lesser utilization.
And number two is some negotiation of the cost on account of, let's say, the instrument which is letter of credit, bank guarantee and that. But otherwise, broadly, the interest rate absolute -- I mean, the average percentage of my interest cost is broadly the same. Long -term debt has come down. It is now in the vicinity of only [Inaudible 00:42:24]
Deepak Poddar : Okay. Okay. I understood. How should one see it going forward?
Vinay Kumar: So I think if the volume increases, let's put it this way. As I said that it i

s a working -- it is a trade
finance dependent business. If the volume increase -- and hopefully, the volume should increase.

Let's say, if you go from here to 2.2 million tons in the next 2 years' time, the working capital intensity would increase a bit. The cost would also increase. So this has to be seen in relation to the top line as well.
Deepak Poddar : Okay. Okay. So ideally, when your top line increases, your interest cost will also kind of see a jump?
Vinay Kumar: Yes. But percentage -wise, it will come down. Percent interest finance cost to top line will come down.
Deepak Poddar : Understood. Understood. Fair enough. And my second question is on your -- I mean, in the previous call as well, I think you did mention that third quarter, you expect to be better than second quarter. And by fourth quarter, you expect things to normalize. Now we have seen the, I mean, improvement in third quarter. So I mean, normalization in fourth quarter is what we are looking at?
Vinay Kumar: No, no. So normalization doesn't mean that what we did in the last year, which is '24, '25, because normalization means the situation will start improving. So we don't see and we don't expect that we will reach to 20% in next quarter. What we expect in fou rth quarter, in any case, is always better than the third quarter, but fourth quarter is likely to be comparatively better than the third quarter.
Deepak Poddar : Okay. So fourth quarter, we expect to be better than the third quarter, right?
Vinay Kumar: Correct.
Deepak Poddar : Okay. And in terms of margins also, you did mention -- I think one of the participants did ask about whether we can have a 15% EBITDA margin. Is there any time line? When we can come back to our previous high margins in terms of 15% to 17%. How should one look at that going forward?
Vinay Kumar: We would love to do 25% margin.
Deepak Poddar : I'm saying 15% to 17%, yes.
Vinay Kumar: Yes, I said we would love to do 25% margin. The only challenge is because, as we said that we don't create demand, we respond to demand, we respond to the situation. For example -- and you would have seen this across the industries and across the players i n the pipe sector also, we are one of those players who have multiple products, multiple locations, multiple markets. We are still surviving. We are doing better than a couple of others. But yes, effort always remain to do better than the prev ious.
But these kind of scenarios, which you also know like the global geopolitical issues and the domestic issues, specifically related to Jal Jeevan Mission, this will derail the whole thing. If this would not have happened, presume, that the water business co ntinued as it was doing, perhaps we would not have gone down to this level. We would be continuing from our -- what we were doing last year.

So eventually, the cycle has somehow -- it has taken a pause. From here to take the momentum, it will take some time. And as the previous question was there that we have to see that how the government responds, how the government opens up, what they say in the budget? If they don't address this issue, we have a challenge. We have to then look for other options. We are basically talking optimism. We are talking everything optimistically that everything will work well.
The government will also do positive, that they will start sending the checks to the EPC

contractors and all. But I think 2 February will be very important for all of us, especially the pipe
sector companies doing ductile pipe.
Deepak Poddar : And what is our export revenue share?
Vinay Kumar: In totality, it is 30%.
Deepak Poddar : 30%.
Moderator: The next question is from the line of Rajesh Agarwal from Moneyore.
Rajesh Agarwal : Sir, my question is on volume growth. Suppose -- last quart

er, whatever order we had, we had
the same order, and we have executed around INR5,000 crores. This means this quarter, we got
an order for INR5,000 crores?
Management: Yes. So this time also, if you see the order book is a little bit on an upside basis, like we had
earlier $1.45 billion. Now this is $1.48 billion. So in terms of this number, it is on higher side
and also the execution is on the higher side. So if you com bine both the numbers, the orders are
much higher than the previous quarters.
Rajesh Agarwal : Okay. So this run rate and the momentum will be maintained, your outlook on that?
Management: Yes, we expect that because the sales funnel is strong. So there is large inquiries from overseas
as well as domestic. So this momentum seems to be continuing.
Rajesh Agarwal : So next year, we can expect a volume growth, 15%, 20% volume growth?
Management: So we can't comment on the percentage, but yes, definitely, the volume growth we are expecting.
Continuing -- given the circumstances, the conditions are improving.
Rajesh Agarwal : Okay. And then there's a scope of operating leverage margin improvement can also happen next
year?
Management: That should be again our expectation that, that should happen.
Rajesh Agarwal : Okay. And sir, the job work order is at good margin, no?
Management: So Job work order is, as we earlier mentioned that we always protect our per ton margins based
on the production capacity. So that is very much in line of that.

Rajesh Agarwal : Okay. And sir, any feedback from government about the Jal Jeevan money, which has got struck
any?
Management: So that is something which we earlier mentioned in the call that whatever there is in the news
about the JJM and Jal Jeevan Mission schemes, we are also hearing the same thing. We expect
that there will be some positive news in the upcoming budget and this should be normalized in
the coming years.
Rajesh Agarwal : Budget has not been an issue. See, government had provided last year there is an increase, but
there's some corruption CBI, then it went to the PMO. So not update on that because -- it is not
because of the budget. It is because of the correction at the st ate level. And I think I read an
article the matter is pending at the PMO. So the PMO has to take a decision on releasing money
or whatever. So...
Management: No, you're right that there was certain news about the leakages and all. What we are envisaging
that the budget allocation is they keep the budget allocation at the same level what they did in
the last year. Make sure it is positive about the JJM scheme per se. And there is no negativity at
the moment after all the institutes and all the news coming in the public domain.
Rajesh Agarwal : Okay. And the ground report is what? There is still a requirement 70%, 80% work is done. So
the requirement is there still for the DI pipes?
Management: Yes, demand -- so that way you can actually very well expect that our order book remains same.
There is no cancellation orders in the JJM scheme bag orders. So that is continued. There is no
cancellation per se. Apart from this, the new demand, which Vinay ji has mentioned that is
coming from the state government side. They are not depending on the central government aid
under this scheme. So there are multiple schemes which are opening up. And if the things are
going well with JJM scheme, it will be an add -on business as far as the industry is concerned.
Rajesh Agarwal : So going forward, what will be our export component then? Export component, we are focusing
more on export now because of the local issue. So export component will also increase?
Management: Yes. That is our strategy that we should increase the export component in DI sector. Earlier, it
was very minimal, less than 5%. Now it is increasing. And our focus would be to maintain that
export portfolio a

little bit large so that we are not depending on domestic market.
Rajesh Agarwal : Okay. So all DI pipes, export orders are from Middle East?
Management: Yes, largely.
Moderator: The next question is from the line of Darshan Gangar from First Water Capital.
Darshan Gangar : So with respect to the DI segment, just wanted some sense on the EBITDA per ton. So the broad

understanding was that they have corrected from a high of INR18,000 to INR20,000 per ton to INR8,000 to INR10,000 in 2Q. So what would be the range for third quarter or the current situation?

Vinay Kumar: So Darshan, generally, we don't discuss product -wise margins in our call because that is a policy company is adopting. But you are right, there is a compression on the margins because now the market is different. Earlier, it was supplier market where the s upplies were short and demand was high.
Now because of the stoppage in the JJM scheme fund release, situation is reversed. Now the supplies are higher and the demand is low. So there is a compression on the margin in DI sector. But product -wise margins, we are not discussing.
Darshan Gangar : Okay. My second question is like given the moderation in crude price and the benign outlook on crude going forward, so is there any impact on visibility of the oil and gas capex happening in the -- region, like which might impact our future capex?
Vinay Kumar: So in oil and gas sector, generally, what we have seen that the volatility in the oil prices on a short -term basis, it is not impacting the demand where the projects are based on the multiple year projections. So generally, the demand is -- and again, the oil and gas sector is for transportation more. Until and unless there is a reduction in the consumption of oil and gas, we don't foresee any issues in terms of consistent demand in this sector world over. So short -term price volatility in the oil sector, generally, it is not hampering the demand.
Moderator: Ladies and gentlemen, due to time constraint, that was the last question for today. I now hand the conference over to the management for closing comments. Thank you, and over to the management.
Vinay Kumar: Yes. Thank you very much. And on behalf of my colleagues and the management of Jindal Saw Limited, we place our appreciation to ICICI Direct and all the participants of this call. And we hope that things will look better. We hope the budget would be positi ve, and we would have lesser questions on ductile iron pipe next time. Look forward to meet you again in the next call. Thank you very much.
Moderator: Thank you. On behalf of Jindal Saw Limited, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.

Call: May 2026

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